LECTURE NOTES - I - IV SEMESTER

ACADEMIC YEAR: 2024 – 25 **BATCH: 2023-2027**

SUBJECT: ORGANIZATIONAL BEHAVIOUR [OB] **COURSE CODE: CSHS405**

UNIT - I

1. FOCUS AND PURPOSE

1.1. DEFINITION, NEED AND IMPORTANCE OF ORGANIZATIONAL BEHAVIOUR

1.2. NATURE AND SCOPE OF ORGANIZATIONAL BEHAVIOUR

1.3. FRAME WORK OF ORGANIZATIONAL BEHAVIOUR

1.4. ORGANIZATIONAL BEHAVIOUR MODELS

1.1. DEFINITION, NEED AND IMPORTANCE OF ORGANIZATIONAL BEHAVIOUR

INTRODUCTION TO ORGANIZATIONAL BEHAVIOUR

Managers make a lot of mistakes. Some come from inexperience. Others reflect lack of knowledge and some are just dumb. But few mistakes could be considered as stupid as what managers did. However, managers commonly make other mistakes due to their lack of knowledge. This is where the organizational behavior comes into play.

THE IMPORTANCE OF INTERPERSONAL SKILLS

Recognition of the importance of developing managers' interpersonal skills is closely tied to the need for organizations to get and keep high – performing employees. Regardless of labour market conditions, outstanding employees are always in short supply. We have come to understand that technical skills are necessary, but they are not enough to succeed in management. In today's increasingly competitive and demanding workplace, managers can't succeed on their technical skills alone. They also have to have good people skills.

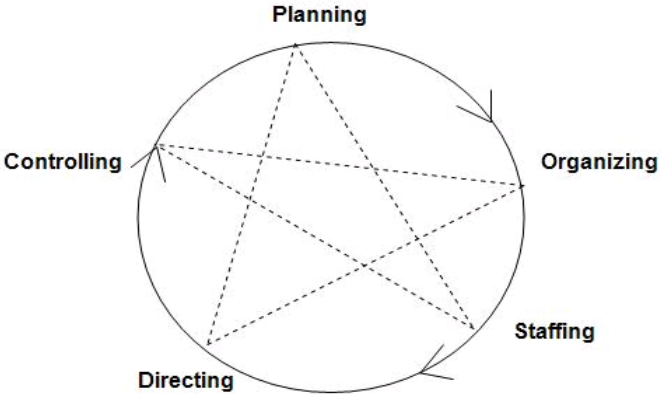
WHAT MANAGERS DO?

Managers [Administrators] are individuals who achieve goals through other people. They make decisions, allocate resources and direct the activities of others to attain goals.

WHERE MANAGERS WORK? Managers do their work in an organization, which is a consciously coordinated social unit, composed of two or more people that functions on a relatively continuous basis to achieve a common goal or set of goals.

FUNCTIONS OF MANAGEMENT

Figure1a: Functions of management



- **Planning**

Planning is a process that includes defining goals, establishing strategy, and developing plans to coordinate activities.

- **Organizing**

It is a process of determining what tasks are to be done, who is to do them, how the tasks are to be grouped, who reports to whom, and where decisions to be made.

- **Staffing**

The managerial function of staffing involves manning the organization structure through proper and effective selection, appraisal and development of the personnel's to fill the roles assigned to the workforce.

- **Directing**

It is a function that includes motivating employees, directing others, selecting the most effective communication channels and resolving conflicts.

- **Controlling**

It is a process which includes monitoring activities to ensure that things are accomplished as planned and correcting any significant deviations.

MANAGEMENT ROLES

In the late 1960s, Henry Mintzberg, a graduate student at MIT [Massachusetts Institute of Technology, Cambridge], undertook a careful study of 5 executives to determine what those managers did on their jobs. On the basis of his observations, Mintzberg concluded that managers perform 10 different, highly interrelated roles or sets of behaviours, attributable to their jobs. These 10 roles can be grouped as being primarily:

1. **Interpersonal roles**
2. **Informational roles and**
3. **Decisional roles**

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Interpersonal	
Figurehead	Symbolic head; required to perform a number of routine duties of a legal or social nature
Leader	Responsible for the motivation and direction of employees
Liaison	Maintains a network of outside contacts who provide favors and information

Informational	
Monitor	Receives wide variety of information; serves as nerve center of internal and external information of the organization
Disseminator	Transmits information received from outsiders or from other employees to members of the organization
Spokesperson	Transmits information to outsiders on organization's plans, policies, actions, and results; serves as expert on organization's industry

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Decisional	
Entrepreneur	Searches organization and its environment for opportunities and initiates projects to bring about change
Disturbance handler	Responsible for corrective action when organization faces important, unexpected disturbances
Resource allocator	Makes or approves significant organizational decisions
Negotiator	Responsible for representing the organization at major negotiations

MANAGEMENT SKILLS

Still another way of considering what managers do is to look at the skills or competencies they need to achieve their goals. Robert Katz has identified 3 essential management skills viz. technical, human and conceptual.

- **Technical skills**

The ability to apply specialized knowledge or expertise.

- **Human skills**

The ability to work with, understand and motivate other people, both individually and in groups.

- **Conceptual skills**

The mental ability to analyze and diagnose complex situations.

EFFECTIVE VERSUS SUCCESSFUL MANAGERIAL ACTIVITIES

Fred Luthans and his associates studied more than 450 managers. What they found was that these managers all engaged in 4 managerial activities and they are as follows.

1. **Traditional management**

Decision making, planning and controlling

2. **Communication**

Exchanging routine information and processing paper work

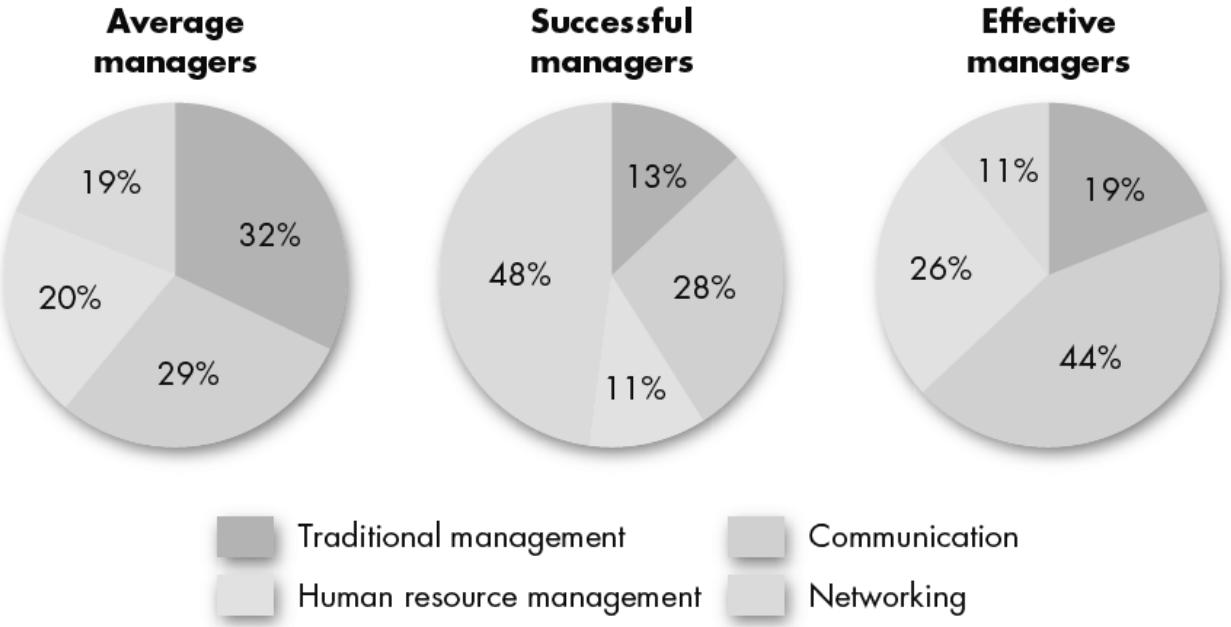
3. **Human resource management**

Motivating, disciplining, managing conflict, staffing and training

4. **Networking**

Socializing, politicking

Figure 1b: Allocation of managerial activities by time



DEFINITIONS OF ORGANIZATIONAL BEHAVIOUR

- Organizational behavior is defined as actions and attitudes of individuals and groups toward one another and toward the organization as a whole, and its effect on the organization's functioning and performance.
- Organizational behavior is defined as the study which deals with all aspects of human behavior that occur within the context of an organization. It entails the study of how individuals behave as individuals and in groups within an organization.
- Organizational behavior is the study of human behavior, attitudes and performance in organizations.
- Organizations are social inventions for accomplishing common goals through group effort. Organizational behavior is concerned with the attitudes and behaviours of individuals and groups in organizations and can be understood in terms of three levels of analysis: the individual, the group, and the organization.
- A field of study that investigates the impact that individuals, groups and structure have on behavior within organizations, for the purpose of applying such knowledge toward improving an organization's effectiveness.

ELEMENTS OF ORGANIZATIONAL BEHAVIOUR

The key elements in the organizational behaviour are people, structure, technology and the environment in which the organization operates.

- **People**

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People make up the internal and social system of the organization. They consist of individuals and groups. The groups may be big or small; formal or informal; official or unofficial. Groups are dynamic and they work in the organization to achieve their objectives.

- **Structure**

Structure defines the formal relationships of the people in organizations. Different people in the organization are performing different type of jobs and they need to be related in some structural way so that their work can be effectively coordinated.

- **Technology**

Technology such as machines and work processes provide the resources with which people work and affects the tasks that they perform. The technology used has a significant influence on working relationships. It allows people to do more and work better but it also restricts' people in various ways.

- **Environment**

All organizations operate within an external environment. It is the part of a larger system that contains many other elements such as government, family and other organizations. All of these mutually influence each other in a complex system that creates a context for a group of people.

NEED AND IMPORTANCE OF ORGANIZATIONAL BEHAVIOUR

Organizations are all around us. We are born in an organization, we live, work and most probably will die in an organization. Yet most of us do not understand how people function, behave and interact between each other within these organizations. We also do not understand if people shape an organization or an organization shapes people. In the beginning, people create an organization and shape its mission and culture and later more people join the organization. This new group of people adjust themselves within the existing organizational culture. Sometimes they also influence organizational culture by bringing new and unique skills to the organization. Sometimes they learn from each and at other times, external forces like competition, political and cultural changes compel them to learn new technical, communication or interpersonal skills. All these internal and external factors help an organization and its people to evolve to cope with the ever-changing world. Until recently, managers paid little attention to Organizational Behavior or soft skill training. The industrial revolution created the need for hard [technical] skills. People worked in the production line and were not required to think or interact to each other. However, things have changed; instead of standing behind the production lines, they now sit in front of a computer and control a robot who works in the production line. Now, people need more technical skills, but they also need skills to communicate and work within a group. The great English poet Samuel Butler put it together more eloquently, "Any fool can paint a picture, but it takes a wise man to be able to sell it." If the "fool" is the metaphor for hard skill then the "wise man" would be the soft skill; but the soft skill of the wise man is useless without the hard skill of the fool; the harmonizing of both skills sells

the picture. Therefore, the study of Organizational Behavior is not considered pop psychobabble anymore. A comparison between old and new organizations makes the picture clear.

IMPORTANCE OF ORGANIZATIONAL BEHAVIOUR: SOME EVIDENCE

Recent research shows that soft skill training should start at the University. Graham and Krueger pointed out those soft skills are not well-appreciated and understood among students - students consider decision making, computer and math competencies as the most important skills. However, in an extensive study done on career paths of corporate CFOs by Baker and Phillips shows high level of importance put on soft skills by the CFOs. The following table [Baker & Phillips shows the most important skills that someone should acquire to be a CFO.

Figure1c: Skills required being a CFO

Skill	Percentage
Communication [Oral and Written]	13.3%
Management and Leadership	12.4
Financial [e.g. Cash Management and Financial Analysis]	10.1
People and Interpersonal	9.5
Analytical and Critical Thinking	9.1
Technical [e.g. Mathematics and Statistics]	7.4
Accounting and Taxation	6.3
Computer	4.4
Negotiation	1.7
Other [e.g. Foreign Language, Strategic Planning and Organizational Skills]	25.7
Total	**100.0%**

To summarize the researches on OB, there is more evidence that the teaching and implementation of soft skills should get higher priority in education and company training process, but it should only complement hard skill, not substitute for it. Today's postindustrial hi-tech organization requires knowledge intensive work environment and demands creativity form its workers. Most organizations are now encouraging team approach to solve problems. Workers are not only needed to learn new technical skills but also how to communicate, delegate, negotiate, and motivate with each other.

1.2. NATURE AND SCOPE OF ORGANIZATIONAL BEHAVIOUR

Organizational behaviour is an applied behavioral science that is built on contributions from a number of behavioral disciplines such as psychology, sociology, social psychology, anthropology and economics.

So now let us see how these disciplines are related to organizational behavior.

- **Psychology**

Psychology is the study of human behavior which tries to identify the characteristics of individuals and provides an understanding why an individual behaves in a particular way. This thus provides us with useful insight into areas such as human motivation, perceptual processes or personality characteristics.

- **Sociology**

Sociology is the study of social behavior, relationships among social groups and societies, and the maintenance of social order. The main focus of attention is on the social system. This helps us to appreciate the functioning of individuals within the organization which is essentially a socio-technical entity.

- **Social psychology**

Social psychology is the study of human behaviour in the context of social situations. This essentially addresses the problem of understanding the typical behavioral patterns to be expected from an individual when he takes part in a group.

- **Anthropology**

Anthropology is the science of mankind and the study of human behaviour as a whole. The main focus of attention is on the cultural system, beliefs, customs, ideas and values within a group or society and the comparison of behaviour among different cultures. In the context of today's organizational scenario, it is very important to appreciate the differences that exist among people coming from different cultural backgrounds as people are often found to work with others from the other side of the globe.

- **Economics**

Any organization to survive and sustain must be aware of the economic viability of their effort. This applies even to the non-profit and voluntary organizations as well.

1.3. FRAMEWORK OF ORGANIZATIONAL BEHAVIOUR

Figure1d: Major elements of a good organizational behavior system

Organizations achieve their goals by creating, communicating and operating an organizational behaviour system. Organizational behaviour system defines organizational structure and culture and explains their impact on employees. These systems exist in every organization, but sometimes in varying forms. They have a greater chance of being successful, though, if they have been consciously created, regularly examined and updated to meet new and emerging conditions. The primary advantage of organizational behaviour system is to identify the major human and organizational variables that affect organizational outcomes. For some variables managers can only be aware of them and acknowledge their impact whereas for other variables, managers can exert some control over them. The outcomes are measured in terms of quantity and quality of products and services, level of customer service, employee satisfaction and personal growth and development.

1.4. ORGANIZATIONAL BAHAVIOUR MODELS

Keith Davis recognizes four different models of OB. These models show evolution of the thinking and behaviour on the part of management and managers alike. The four major models or frameworks that organizations operate out of:

- **Autocratic**

The basis of this model is power with a managerial orientation of authority. The employees in turn are oriented towards obedience and dependence on the boss. The employee need that is met is subsistence. The performance result is minimal.

- **Custodial**

The basis of this model is economic resources with a managerial orientation of money. The employees in turn are oriented towards security and benefits and dependence on the organization. The employee need that is met is security. The performance result is passive cooperation.

- **Supportive**

The basis of this model is leadership with a managerial orientation of support. The employees in turn are oriented towards job performance and participation. The employee need that is met is status and recognition. The performance result is awakened drives.

- **Collegial**

The basis of this model is partnership with a managerial orientation of teamwork. The employees in turn are oriented towards responsible behavior and self-discipline. The employee need that is met is self-actualization. The performance result is moderate enthusiasm.

Although there are four separate models, almost no organization operates exclusively in one. There will usually be a predominate one, with one or more areas over-lapping in the other models.

Figure 1e: Four models of organizational behaviour

	Autocratic	**Custodial**	**Supportive**	**Collegial**
Model depends on	Power	Economic resources	Leadership	Partnership
Managerial orientation	Authority	Money	Support	Teamwork
Employee orientation	Obedience	Security and benefits	Job performance	Responsibility
Employee psychological result	Dependence on boss	Dependence on organization	Participation	Self-discipline
Employees needs met	Subsistence	Maintenance	Higher-order [Status and recognition]	Self-actualization
Performance result	Minimum	Passive cooperation	Awakened drives	Moderate enthusiasm

CHALLENGES AND OPPORTUNITIES OF ORGANIZATIONAL BEHAVIOUR

1. **Responding to globalization**

- Increased foreign assignments
- Working with people from different cultures
- Coping with anticapitalism backlash
- Overseeing movements of jobs to countries with low cost labour

2. **Managing workforce diversity**

- Embracing diversity
- Changing U.S. demographics
- Implications for managers

3. **Improving quality and productivity**

- Quality management
- Process Reengineering

4. **Responding to the labour shortage**

- Changing work force demographics
- Fewer skilled labourers
- Early retirements and older workers

5. **Improving customer service**

- Increased expectation of service quality
- Customer – responsive culture

6. **Improving people skills**
7. **Empowering people**
8. **Stimulating innovation and change**
9. **Coping with "Temporariness"**
10. **Working in networked organizations**
11. **Helping employees to balance work and life**
12. **Improving ethical behaviour**

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QUESTION BANK

TWO MARKS

1. Define OB.
2. What is the importance of interpersonal skills?
3. What managers do?
4. What are the functions of management?
5. What are the three essential management skills identified by Robert Katz?
6. What are the elements / components of OB?
7. What are the major behavioural science disciplines that contribute to OB?

ELEVEN MARKS

1. Discuss about the importance of OB.
2. Discuss about Henry Mintzberg's managerial roles.
3. Brief on framework of OB with a diagram.
4. What are different models of OB?
5. List out the challenges and opportunities of OB.

UNIT - II

2. INDIVIDUAL BEHAVIOUR

2.1. PERSONALITY

- **TYPES**
- **FACTORS INFLUENCING PERSONALITY**
- **THEORIES**

2.2. LEARNING

- **TYPES OF LEARNERS**
- **THE LEARNING PROCESS**
- **LEARNING THEORIES**

2.3. ORGANIZATIONAL BEHAVIOUR MODIFICATION

2.4. MISBEHAVIOUR

- **TYPES**
- **MANAGEMENT INTERVENTION**

2.5. EMOTIONS

- **EMOTIONAL LABOUR**
- **EMOTIONAL INTELLIGENCE**
- **THEORIES**

2.6. ATTITUDES

- **CHARACTERISTICS**
- **COMPONENTS**
- **FORMATION**
- **MEASUREMENT**

2.7. VALUES

2.8. PERCEPTIONS

- **IMPORTANCE**
- **FACTORS INFLUENCING PERCEPTION**
- **INTERPERSONAL PERCEPTION**

2.9. IMPRESSION MANAGEMENT

2.10. MOTIVATION

- **IMPORTANCE**
- **TYPES**
- **EFFECTS ON WORK BEHAVIOUR**

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.1. PERSONALITY

DEFINITION AND MEANING OR PERSONALITY

Personality is a complex, multi-dimensional construct and there is no simple definition of what personality is. Maddi defines personality as, ˝A stable set of characteristics and tendencies that determine those commonalities and differences in the psychological behavior and that may not be easily understood as the sole result of the social and biological pressures of the moment". Gordon Allport nearly 70 years ago said personality is “the dynamic organization within the individual of those psychological systems that determine his unique adjustments to his environment.” For our purposes, we should think of personality as the sum total of ways in which an individual reacts to and interacts with others. We most often describe it in terms of the measurable traits a person exhibits. From the above definitions, we can infer that all individuals have some universally common characteristics. Yet they differ in some other specific attributes. This makes it difficult for the managers to assume that they can apply same reward types or motivation techniques to modify different individual behaviors. The definition, however, does not mean that people never change. In simple terms, it asserts that individuals do not change all at once. Their thoughts, feelings, values and actions remain relatively stable over time. Changes in individual's personality can, however, occur gradually over a period of time. The managers should, therefore, attempt to understand certain dimensions of personality. This can enable them to predict the behavior of their employees on a daily basis. Some personality theorists stress the need of identifying person-situation as interaction. This is equivalent to recognizing the social learning aspects related to personality. Such a social learning analysis is one of the most comprehensive and meaningful ways included in the overall study of organizational behavior. From this perspective, personality means the way people affect others. It also involves people's understanding themselves, as well as their pattern of inner and outer measurable traits, and the person and situation interaction. People affect others depending primarily upon their external appearance such as height, weight, facial features, color and other physical aspects and traits.

PERSONALITY TRAITS

Enduring characteristics that describe an individual’s behavior. Popular characteristics include shy, aggressive, submissive, lazy, ambitious, loyal, and timid. When someone exhibits these characteristics in a large number of situations, we call them personality traits.

SIXTEEN PRIMARY PERSONALITY TRAITS

1.	Reserved	vs.	Outgoing
2.	Less intelligent	vs.	More intelligent
3.	Affected by feelings	vs.	Emotionally stable
4.	Submissive	vs.	Dominant
5.	Serious	vs.	Happy-go-lucky
6.	Expedient	vs.	Conscientious
7.	Timid	vs.	Venturesome
8.	Tough-minded	vs.	Sensitive
9.	Trusting	vs.	Suspicious
10.	Practical	vs.	Imaginative
11.	Forthright	vs.	Shrewd
12.	Self-assured	vs.	Apprehensive
13.	Conservative	vs.	Experimenting
14.	Group dependent	vs.	Self-sufficient
15.	Uncontrolled	vs.	Controlled
16.	Relaxed	vs.	Tense

MEASURING PERSONALITY

There are three main ways in which personality is measured.

1.Self – report surveys [By the individual]

2.Observer ratings surveys [By the co-worker]

3.Projective measures

- **Inkblot Test [What inkblots seem to resemble]**
- **Thematic Apperception Test [TAT] – [Writes a story about each picture]**

Figure2a: Inkblot test

Figure2b: Thematic Apperception Test [TAT]

USE OF ASSESSMENTS OF INDIVIDUAL DIFFERENCES IN ORGANIZATIONS

In organizations, assessments of individual differences are carried out at the time of selection and during other times in an employee's career. Personality tests can help in the following ways in an organization.

1. **Screening**
2. **Selection**
3. **Succession planning**
4. **Career planning**
5. **Team building**
6. **Management development**

TYPES OF PERSONALITY

THE MYERS – BRIGGS TYPE INDICATOR [MBTI]

The MBTI is the most widely used personality assessment instrument in the world. It's a 100 question personality test that asks people how they usually feel or act in particular situations. On the basis of their answers, individuals are classified as:

1. **Extraverted vs. Introverted**

Extraverted individuals are outgoing, sociable and assertive. Introverts are quiet and shy.

2. **Sensing vs. Intuitive**

Sensing types are practical and prefer routine and order. They focus on details. Intuitives rely on unconscious processes and look at the big picture.

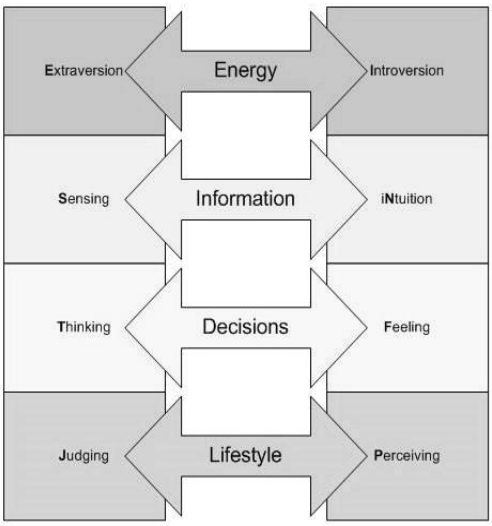
3. **Thinking vs. Feeling**

Thinking types use reason and logic to handle problems. Feeling types rely on their personal values and emotions.

4. **Judging vs. Perceiving**

Judging types want control and prefer their world to be ordered and structured. Perceiving types are flexible and spontaneous.

Figure2c: MBTI



THE BIG FIVE PERSONALITY MODEL / FIVE FACTOR MODEL [FFM]

The MBTI may lack for strong supporting evidence, but the same cannot be said for the five – factor model of personality typically called the Big Five Model, of the Big Five. The Big Five factors are as follows:

1. Openness to experience

Openness is a general appreciation for art, emotion, adventure, unusual ideas, imagination, curiosity, and variety of experience. The trait distinguishes imaginative people from down-to-earth, conventional people. People who are open to experience are intellectually curious, appreciative of art, and sensitive to beauty. They tend to be, compared to closed people, more creative and more aware of their feelings. They are more likely to hold unconventional beliefs. People with low scores on openness tend to have more conventional, traditional interests. They prefer the plain, straightforward, and obvious over the complex, ambiguous, and subtle. They may regard the arts and sciences with suspicion or even view these endeavors as uninteresting.

Sample openness statements

- I have a rich vocabulary.
- I have a vivid imagination.
- I have excellent ideas.
- I am quick to understand things.
- I use difficult words.
- I spend time reflecting on things.
- I am full of ideas.
- I am not interested in abstractions. (reversed)
- I do not have a good imagination. (reversed)
- I have difficulty understanding abstract ideas. (reversed)

2. Conscientiousness

Conscientiousness is a tendency to show self-discipline, act dutifully, and aim for achievement against measures or outside expectations. The trait shows a preference for planned rather than spontaneous behavior. It influences the way in which we control, regulate, and direct our impulses.

Sample conscientiousness statements

- I am always prepared.
- I pay attention to details.
- I get chores done right away.
- I like order.
- I follow a schedule.

- I am exacting in my work.
- I leave my belongings around. (reversed)
- I make a mess of things. (reversed)
- I often forget to put things back in their proper place. (reversed)
- I shirk my duties. (reversed)

3. Extraversion

Extraversion is characterized by positive emotions and the tendency to seek out stimulation and the company of others. The trait is marked by pronounced engagement with the external world. Extraverts enjoy being with people, and are often perceived as full of energy. They tend to be enthusiastic, action-oriented individuals who are likely to say "Yes!" or "Let's go!" to opportunities for excitement. In groups they like to talk, assert themselves, and draw attention to themselves. Introverts lack the social exuberance and activity levels of extraverts. They tend to seem quiet, low-key, deliberate, and less involved in the social world. Their lack of social involvement should not be interpreted as shyness or depression. Introverts simply need less stimulation than extraverts and more time alone. They may be very active and energetic, simply not socially.

Sample extraversion statements

- I am the life of the party.
- I don't mind being the center of attention.
- I feel comfortable around people.
- I start conversations.
- I talk to a lot of different people at parties.
- I don't talk a lot. (reversed)
- I keep in the background. (reversed)
- I have little to say. (reversed)
- I don't like to draw attention to myself. (reversed)
- I am quiet around strangers. (reversed)

4. Agreeableness

Agreeableness is a tendency to be compassionate and cooperative rather than suspicious and antagonistic towards others. The trait reflects individual differences in general concern for social harmony. Agreeable individuals value getting along with others. They are generally considerate, friendly, generous, helpful, and willing to compromise their interests with others. Agreeable people also have an optimistic view of human nature. They believe people are basically honest, decent, and trustworthy. Disagreeable individuals place self-interest above getting along with others. They are generally unconcerned with others' well-being, and are less likely to extend themselves for other

people. Sometimes their skepticism about others' motives causes them to be suspicious, unfriendly, and uncooperative.

Sample agreeableness statements

- I am interested in people.
- I sympathize with others' feelings.
- I have a soft heart.
- I take time out for others.
- I feel others' emotions.
- I make people feel at ease.
- I am not really interested in others. (reversed)
- I insult people. (reversed)
- I am not interested in other people's problems. (reversed)
- I feel little concern for others. (reversed)

5. Neuroticism / Emotional stability

Neuroticism is the tendency to experience negative emotions, such as anger, anxiety, or depression. It is sometimes called emotional instability. Those who score high in neuroticism are emotionally reactive and vulnerable to stress. They are more likely to interpret ordinary situations as threatening, and minor frustrations as hopelessly difficult. Their negative emotional reactions tend to persist for unusually long periods of time, which means they are often in a bad mood. These problems in emotional regulation can diminish the ability of a person scoring high on neuroticism to think clearly, make decisions, and cope effectively with stress. At the other end of the scale, individuals who score low in neuroticism are less easily upset and are less emotionally reactive. They tend to be calm, emotionally stable, and free from persistent negative feelings. Freedom from negative feelings does not mean that low scorers experience a lot of positive feelings.

Sample neuroticism items

- I am easily disturbed.
- I change my mood a lot.
- I get irritated easily.
- I get stressed out easily.
- I get upset easily.
- I have frequent mood swings.
- I often feel blue.
- I worry about things.
- I am relaxed most of the time. (reversed)

Common acronyms for this model are **OCEAN**, **NEOAC** or **CANOE.**

Trait	Description
Openness	Being curious, original, intellectual, creative, and open to new ideas.
Conscientiousness	Being organized, systematic, punctual, achievement oriented, and dependable.
Extraversion	Being outgoing, talkative, sociable, and enjoying social situations.
Agreeableness	Being affable, tolerant, sensitive, trusting, kind, and warm.
Neuroticism	Being anxious, irritable, temperamental, and moody.

Figure2d: Big Five personality traits

OTHER PERSONALITY TRAITS RELEVANT TO OB

Although the Big Five traits have proven to be highly relevant to OB, they don't exhaust the range of traits we can use to describe someone's personality. Now we will look at other, more specific, personality attributes that have been found to be powerful predictors of behavior in organizations.

- **Core self – evaluation**

People differ in the degree to which they like or dislike themselves and whether they see themselves as capable and effective. This self – perspective is the concept of core self – evaluation. People who have positive core self – evaluations like themselves and see themselves as effective, capable and in control of their environment. Those with negative core self – evaluations tend to dislike themselves, question their capabilities, and view themselves as powerless over their environment.

- **Machiavellianism**

Machiavellianism is manipulating or influencing other people as a primary way of achieving one's goal. An individual tends to be Machiavellian, if he tends to be logical in assessing the system around, willing to twist and turn facts to influence others, and try to gain control of people, events and situations by manipulating the system to his advantage.

- **Narcissism**

Narcissism is the tendency to be arrogant, have a grandiose sense of self – importance, require excessive admiration, and have a sense of entitlement.

- **Self – monitoring**

Self – monitoring is a personality trait that measures an individual's ability to adjust his or her behavior to external, situational factors.

- **Risk taking**

People differ in their willingness to take chances. This propensity to assume or avoid risk has been shown to have an impact on how long it takes managers to make a decision and how much information they require before making a choice. Studies showed that high risk taking managers made more rapid decisions and used less information in making their choices than did the low risk taking managers. Interestingly, decision accuracy was the same for both groups.

- **Locus of Control**

Locus of control is the degree to which an individual believes that his or her behavior has direct impact on the consequences of that behavior. Some people, for example, believe that if they work hard they will certainly succeed. They strongly believe that each individual is in control of his or her life. They are said to have an internal locus of control. By contrast, some people think that what happens to them is a result of fate, chance, luck or the behavior of other people, rather than the lack of skills or poor performance on their part. Because- these individuals think that forces beyond their control dictate the happenings around them, they are said to have an external locus of control. As a personality attribute, locus of control has clear implications for organizations. For example, certain individuals have an internal locus of control, which means they have a relatively strong desire to participate in the management of their organizations and have a' freedom to do their jobs. Thus, they may prefer a decentralized organization where they have a right of decision-making and work with a leader who provides them freedom and autonomy. They may like a reward system that recognizes individual performance and contributions. Conversely, people with an external locus of control, are likely to prefer a more centralized organization where they need not take any decisions. They may incline to structured jobs where standard procedures are defined for them. They may prefer a leader who makes most of the decisions and a reward system that considers seniority rather than merit.

- **Introversion and Extroversion**

Introversion is the tendency of individuals, which directs them to be inward and process feelings, thoughts and ideas within themselves. Extroversion, on the contrary, refers to the tendency in individuals to look outside themselves, searching for external stimuli with which they can interact. While there is some element of introversion as well as extroversion in all of us, people tend to be dominant as either extroverts or introverts. Extroverts are sociable, lively and gregarious and seek outward stimuli or external exchanges. Such individuals are likely to be most successful while working in the sales department, publicity office, personal relations unit, and so on, where they can interact face to face with others. Introverts, on the other Hand, are quiet, reflective, introspective, and intellectual people, preferring to interact with a small intimate circle of friends. Introverts are more

likely to be successful when they can work on highly abstract ideas such as R&D work, in a relatively quiet atmosphere. Since managers have to constantly interact with individuals both in and out of the organization and influence people to achieve the organization's goals, it is believed that extroverts are likely to be more successful as managers.

- **Self-Esteem and Self-Concept**

Self-esteem denotes the extent to which individuals consistently regard themselves as capable, successful, important and worthy individuals. Self-esteem is an important personality factor that determines how managers perceive themselves and their role in the organization. Self-esteem is important to self-concept, i.e., the way individuals, define themselves as to who they are and derive their sense of identity. High self-esteem provides a high sense of self-concept, which, in turn, reinforces high self-esteem. Thus, the two are mutually reinforcing. Individuals with a high self-esteem will try to take on more challenging assignments and be successful. Thus, they will be enhancing their self-concept i.e., they would tend to define themselves as highly valued individuals in the organizational system. The higher the self-concept and self-esteem, the greater will be their contributions to the goals of the organization, especially when the system rewards them for their contributions.

- **Authoritarianism and Dogmatism**

Authoritarianism is the extent to which an individual believes that power and status differences are important within' hierarchical social systems like organizations. For example, an employee who is highly authoritarian may accept directives or orders from his superior without much questioning. A person who is not highly authoritarian might agree to carry out appropriate and reasonable directives from his boss. But he may also raise questions, express disagreement and even refuse to carry out requests if they arc for some reason objectionable. Dogmatism is the rigidity of a person's beliefs and his or her openness to other viewpoints. The popular terms 'close-minded' and 'open-minded' describe people who are more and less .dogmatic in their beliefs respectively. For example, a manager may be unwilling to listen to a new idea related to doing something more efficiently. He is said to be a person who is close-minded or highly dogmatic. A manager who is very receptive to hearing about and trying out new ideas in the same circumstances might be seen as more open-minded or less dogmatic. Dogmatism can be either beneficial or detrimental to organizations, but given the degree of change in the nature of organizations and their environments, individuals who are, not dogmatic are most likely to be useful and productive organizational members.

- **Type A and B Personalities**

Type A persons feel a chronic sense of time urgency, are highly achievement-oriented, exhibit a competitive drive, and are impatient when their work is slowed down for any reason. Type B persons are easy-going individuals who do not feel the time urgency, and who do not experience the

competitive drive. Type A individuals are significantly more prone to heart attacks than Type B individuals. While Type A persons help the organization to move ahead in a relatively short period of time they may also suffer health problems, which might be detrimental to both themselves and the organization in the long run.

- **Work-Ethic Orientation**

Some individuals are highly work-oriented while others try to do the minimum Work that is necessary to get by without being fired on-the-job. The extremely work oriented person gets greatly involved in the job. Extreme work ethic values could lead to traits of "workahollism" where work is considered as the only primary motive for living with very little outside interests. For a workaholic turning to work can sometimes become a viable alternative to facing non-work related problems. A high level of work ethic orientation of members is good for the organization to achieve its goals. Too much "workahollism", however, might lead to premature physical and mental exhaustion and health problems, which is dysfunctional for both organization and the workaholic members.

FACTORS / DETERMINANTS INFLUENCING PERSONALITY

Personality does not evolved by a single factor. It is a mixture of a lot of things. Some of those factors are psychological, some are physical, some are biological and some are even hereditary.

1. Brain

Brain is one of the most important factors of personality determinant. It is generally believed that the father and the child adopt almost the same type of brain stimulation and the later differences are the result of the environment in which the child has been grown up.

2. Physical Factors

One of the most important factors in determining personality is the ‘Physical Characteristics’ of an individual. It is believed that this factor plays a vital role in determining one’s behavior in any organization. Physical features may involve the height of a person (short or tall), his color (white or black), his health status (fat or skinny) and his beauty (handsome or ugly). These factors are involved when interacting with any other person and thus contribute in the personality development in many ways.

3. Social Factors

Social factors also play a vital role in determining one’s personality. The things that revolve and evolve around us on a regular basis determine our personality. The society that we live in, the cultural environment that we face daily, the community we get interacted to, all are included in this factor. Relationships, co-ordination, co-operation, interaction, environment in the family, organizations, workplaces, communities, societies all contribute in way or another as personality determinants.

4. Cultural and Religious Factors

The culture in which one lives in that may involve traditional practices, norms, customs, procedures, rules and regulations, precedents and values, all are important determinants of personality. Moreover, the creed, religion and believes are also very important factors of personality determinants.

5. Heredity Factor

Heredity refers to factors determined at conception. Physical stature, facial attractiveness, gender, temperament, muscle composition and reflexes, energy level, and biological rhythms are generally considered to be either completely physiological or inherent psychological makeup. The heredity approach argues that the ultimate explanation of an individual's personality is the molecular structure of the genes, located in the chromosomes.

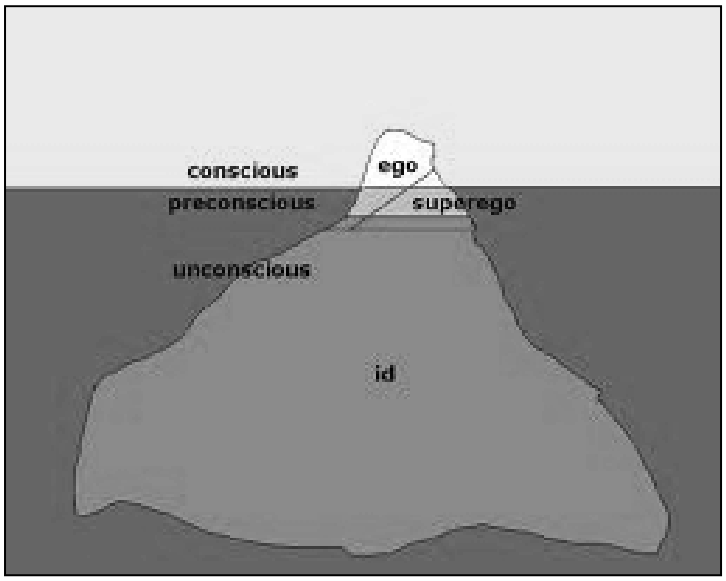
THEORIES OF PERSONALITY

Psychologists and other human behavior theorists developed personality theories based on research studies. These personality theories are grouped into:

1. Psychoanalytical theories

Various psychologists contributed to the development of psychoanalytic theory. These psychologists include Sigmund Freud, Carl Jung, Alfred Adler, Karen Horney and Eric Fromm. **Sigmund Freud** made significant contributions to the theory compared to other psychologists. Sigmund Freud, based on his research, concluded that unconscious framework motivates the man costly. There are three aspects in the unconscious framework viz.,

Figure2e: Freud's theory of the personality



- **The Id**

The Id is the primary principle of all human life. It is the mental agency containing everything inherited. It seeks gratification for biological needs. It is the unconsciousness part of human personality. The biological needs include hunger, thirst and sexual needs. These needs would be the

driving force for thinking and behaving throughout the life. According to the Id, the man removes the tension of unsatisfied biological needs by forming a mental image of the object would satisfy the needs. Thus, the Id concept is related to the imaginary and illusionary world.

- **The Ego**

The ego is related to the reality principle. It is the conscious and logical part of human personality. Ego is based on the realities of the external environment through intellect and reason. The Id wants immediate pleasure through imagination while the ego wants a real pleasure.

- **The Super Ego**

Super ego represents a system of personal and societal values, norms, ethics and attitudes. It acts as an ethical constraint on behavior. This can be treated as conscience. Super ego acts as a norm to the ego in order to determine which behavior is right and which behavior is wrong. Thus, the super ego judges whether the behavior / action is correct or incorrect based on the culture, norms and values of the society concerned.

These three aspects are interrelated with each other.

Example

- **The Id**

A fresh management graduate develops a mental image of a General Manager's position in a multinational company.

- **The Ego**

The job market, competition from other candidates like CAs, ICWAs, MHRM, CFAs etc. and recession in the industry make him to realize the reality and aspire for a junior management position.

- **The Super Ego**

The fresh management graduate aspiring for a General Manager's position and forced to accept a junior management's position by the environment.

2. Socio – psychological theories

The society's needs and psychological factors of the individual shape the personality. The individual and the society cannot live in isolation. These two interact with and are interdependent on each other. The individual contributes to the achievement of society's needs. Similarly, society assists the individual in fulfilling his needs. The psychological factors of the individual and the sociological factors of the society interact with each other. Thus, this theory is inclusive of social factors and psychological factors. Contributors to this theory include Alder, Fromni, Horney and Sullivan. The contributions of the socio – psychologists are as follows:

- **Fomm** stressed on the importance of social context. These contributions include building social relations, making the work more social relevance, making the employee to have the feel of social sets in his work and output.

- **Sullivan and Horney** stressed on interpersonal behaviour. These contributions include developing transactional abilities, viewing the people positively, developing positive attitude etc.
- **Alder** emphasized on different variables. These contributions include career networking, religious beliefs, balancing family and work requirements etc.
- **Horney** stressed on predominant interpersonal behaviours like being compliant, aggressive and detached. Compliant people are dependent on others, aggressive people are motivated by the need of power and detached people are self – sufficient.

3. Trait theories

Catell developed set of traits such as:

- **Surface traits**

Surface traits include wise – foolish, affectionate – cold, sociable – seclusive, honest – dishonest etc. Individuals keep their actual feelings inside and exhibit the traits desirable by the situation. Individuals would like to be good to others at their own cost. Similarly, individuals maintain social relations, develop friendship and networks.

- **Source traits**

Source traits include Maturity – realism, good nature and trustworthiness, critical – suspicious etc. Individuals with source traits possess characteristics like maturity of mind, judgmental, analyzing and understanding people and situations more accurately.

4. Holistic / Self theories

Self theory emphasizes on the totality of the human behaviour. This theory is also known as Organismic theory. This theory treats the organism as a whole. Carl Rogers contributed four factors viz.,

- **Self – image**

Self –image is the way one sees himself / herself. Self – image is the set of beliefs of oneself who or what he is.

- **Ideal self**

The ideal self denotes the way one would like to be. The self – image is the realities of a person while the ideal self is the ideal position as expected / perceived by him. The ideal self motivates the person.

- **Looking glass- self**

The looking glass – self is the perception of an individual about how others perceive his / her characteristics and qualities. Looking glass – self is perception of others' perception and is the outcome of face – to – face interaction with others from the very beginning of life.

- **Real life**

The real life is what one actually is. In other words, real life is the real characteristics, values and attitudes of one self. The person adjusts and readjusts himself based on the responses of others and the environmental influences.

2.2. LEARNING

DEFINITION OF LEARNING

Learning can be defined as any relatively permanent change in behavior that occurs as a result of experience.

CHARACTERISITCS OF LEARNING

- **Learning involves change**

Learning involves a change in behavior, though this change is not necessarily an improvement over previous behavior. Learning generally has the connotation of improved behavior, but bad habits, prejudices, stereotypes, and work restrictions are also learned.

- **Change must be relatively permanent**

The behavioral change must be relatively permanent. Any temporary change in behavior is not a part of learning.

- **Behavioral issues**

The change in the knowledge and wisdom should produce different attitudes and values. These new attitudes and values should change the behavior. Then only it is called learning. In other words, the new attitudes and values not accompanied by change in behavior are not called learning.

- **Experience - based**

Learning is based on experience. Experience may be direct or indirect, personal or through observation or through reading.

IMPORTANCE OF LEARNING

The fast growing information and knowledge make learning as the order of the day not only for individual but also for the organizations. People learn not only information but the behavior. Therefore, we should understand the concept of learning in order to understand the behavior of the individuals, groups and the organization.

TYPES OF LEARNERS

Learners are categorized into three types. They are as follows:

VISUAL LEARNERS	AUDITORY LEARNERS	KINESTHETIC LEARNERS
WRITE IT	**SAY IT**	**DEMONSTRATE IT**
Provide written materials and exercises	State the information	monstrate how a principle works
Vrite key words on board or flip chart	k audience to describe specific info	k them to practice the technique

Ask them to write a response	Provide discussion periods	Encourage underlining and highlighting key words
Use visuals or graphics	Encourage questions	Provide real-life simulations
sk them to be recorder in a group	Foster small group participation	Offer hands-on activities
Involve them through visual/spatial sense	Utilize audiovisuals and audio cassettes	Involve them physically

THE LEARNING PROCESS

The learning process is a mental and habit formation process. Attention is paid to certain stimuli used for learning which are recognized and translated into reinforcement and behavior.

STEPS IN LEARNING PROCESS

1. **Stimuli**

Stimuli are any objects and language which draw the attention of people. Employees get stimuli from the actions of their superiors.

2. **Attention**

The degree of attention depends upon the nature of stimuli. All stimuli are not paid attention to technical and interesting stimuli are highly attended. Career oriented stimuli are generally accepted by employee.

3. **Recognition**

Attention paid – stimuli are recognized as acceptable factors of improvement and new life styles. Employees paying attention to stimuli are recognizing the stimuli for learning process.

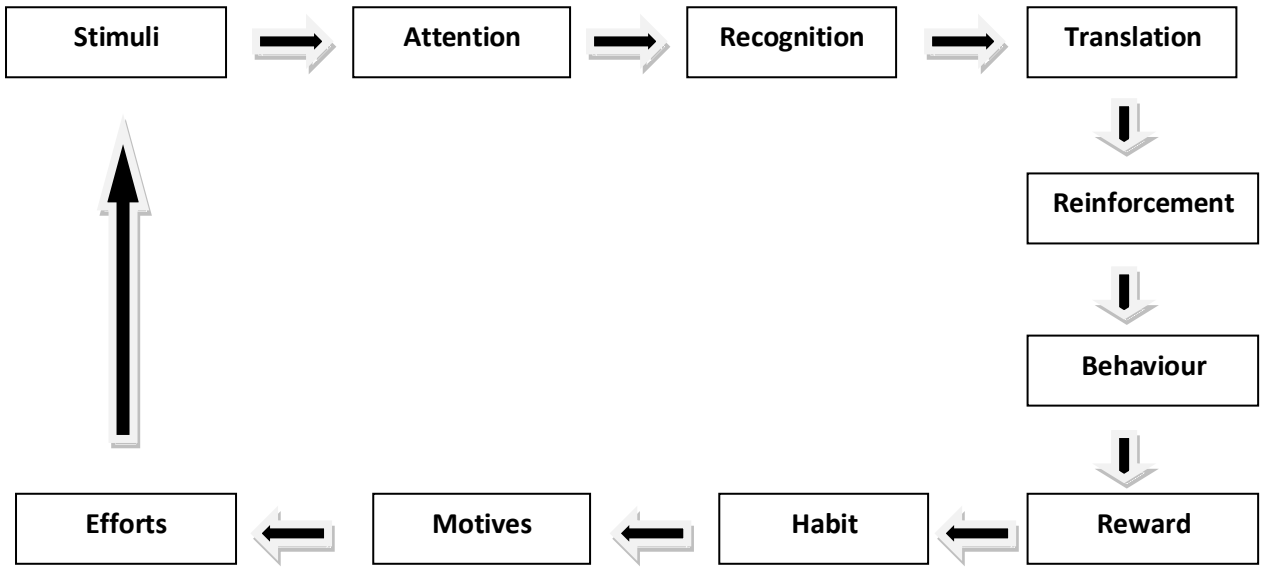
4. **Translation**

Recognized stimuli are evaluated at the mental level to eliminate the irrelevant points for accepting a part of the stimulus for changing behavior.

5. **Reinforcement**

Reinforced perception is learning. The perception process includes stimuli, attention, recognition, translation and behavior. Perception leads to learning, but perception itself is not learning unless it is reinforced.

Figure 2f: Learning process



6. Behaviour

Learning changes behavior through reinforcement of perceived knowledge. It makes permanent change in behavior. A temporary change in behavior is not learning. Positive behavior gives rewards to employees.

7. Reward

Employees expects rewards for learning. If the translated behavior provides a reward, it is accepted, otherwise it is not accepted.

8. Habits

A permanent change in behavior becomes a habit which helps continuous improvement in behavior and performance. Employees develop the habit of self – appraisal and development.

9. Motives

Motives depend on the level of satisfaction. Employees getting more satisfaction through learning develop high motives. Less satisfied learners have low motives. Learning is complete only when motives are fully realized and translated into efforts.

10. Efforts

Habits help achieve good efforts and performance. This is a continuous process. Efforts are the automatic outcome of good habits which are acquired through the learning process.

LEARNING THEORIES

There are three theories of learning viz.,

1. Behaviouralistic theories

- **Classical conditioning**

Ivan Pavlov conducted classical conditioning experiment using dogs as subjects. Classical conditioning came out of experiments to teach dogs to salivate in response to the ringing of a bell. Pavlov measured the amount of saliva secreted by a dog. Pavlov presented meat powder to the dog [unconditioned stimulus], and then he noticed a great deal of salivation [unconditioned response]. When he merely rand a bell [neutral stimulus] the dog had no salivation. Next, Pavlog presented the meat powder along with ringing the bell. After doing this several times, he rang the bell without presenting the meat. This time the dog salivated to do the bell alone. The dog had become classically conditioned to salivate [conditioned response] to the sound of the bell [conditioned stimulus]. Thus, the classical conditioning reveals that the stimulus elicits response i.e., Stimulus → Response.

- **Operant conditioning**

Skinner felt that classical conditioning cannot explain the more complex human behaviors. He felt that human behavior affects or is affected by the environment. This behavior is explained by operant conditioning. Operant conditioning emphasis that learning occurs as a consequences of behavior i.e., Response → Stimulus. Employees work for more hours to get more salary or not to be fired. If the management pays more salary to those employees who work for more hours, then the employees repeat their behavior of working for more hours. Paying more salary is called reinforcement. Reinforcement strengthens a behavior and increases the likelihood of repeating that behavior.

2. Cognitive theories

Cognitive theories emphasis on the cognitive process. Cognitive learning theories establish the relationship between cognitive environmental cues and expectations. **Edward Tolman** conducted an experiment using white rats as subjects. He found that a rat could learn to run through a complex maze with purpose and direction toward a goal [food]. The rat learned to expect that certain cognitive cues associated with the choice point might eventually led to food. Tolman's approach is depicted as Stimulus → Stimulus. In other words, learning is the association between the cue and expectancy. Employees expect higher salaries, promotions, and high quality of work life. Employees learn that they can achieve their expectations by working productively. The realization of working productively is the result of cognitive environmental cues.

3. Social learning theories

People learn through different means like observation of others, direct experiences and indirect experiences. Learning through various means is called social learning. People learn from various models like parents, teachers, peers, leaders etc. The influence of model is significant in social learning theory. There are four processes through which the model influences the individuals. These four processes include:

1. Attention processes

People learn from the critical features of the models like leadership skills, attractiveness, timely decision – making etc.

2. Retention process

The level of influence of the model depends on the level to what extent the individual remembers the model.

3. Motor reproduction processes

People may times imitate the models. Children imitate their parents and teachers. This is because, observation is covered into action.

4. Reinforcement processes

Individuals prefer to exhibit the behavior of the model, if such behavior results in rewards. People may more attention to and learn the positively reinforced behaviors from the models.

SHAPING: A MANAGERIAL TOOL

Shaping behavior is a systematic reinforcing each successive step that moves an individual closer to the desired response.

METHODS OF SHAPING BEHAVIOUR

There are four ways to shape behavior. They are as follows:

1. Positive reinforcement

Following a response with something pleasant is called positive reinforcement.

2. Negative reinforcement

Following a response by the termination or withdrawal of something unpleasant is called negative reinforcement.

3. Punishment

Punishment is causing an unpleasant condition in an attempt to eliminate an undesirable behavior.

4. Extinction

Eliminating any reinforcement that is maintaining a behavior is called extinction.

SCHEDULES OF REINFORCEMENT

The two major types of reinforcement schedules are:

1. Continuous reinforcement schedule

Reinforcing a desired behavior each time it is demonstrated.

2. Intermittent reinforcement schedule

Reinforcing a desired behavior often enough to make the behavior worth repeating but not every time it is demonstrated.

The intermittent reinforcement schedule can be of two types. They are:

1. **Ratio schedules**

Ratio schedules depend on how many response the subject makes. The individual is reinforced after giving a certain number of specific types of behavior.

The ratio schedules can be of two types. They are:

1. **Fixed – ratio schedule**

   Initiating rewards after a fixed or constant number of responses.

2. **Variable – ratio schedule**

   Varying the reward relative to the behavior of the individual.

2. **Interval schedules**

Interval schedules depend on how much time has passed since the previous reinforcement. With interview schedules, the individual is reinforced on the first appropriate behavior after a particular time has elapsed.

The interval schedules can be of two types. They are:

1. **Fixed – interval schedule**

   Spacing rewards at uniform time intervals

2. **Variable – interval schedule**

   Distributing rewards in time so that reinforcements are unpredictable.

2.3. ORGANIZATIONAL BEHAVIOUR MODIFICATION [OB – Mod]

Emery Air Freight [now part of FedEx] illustrates the use of behavior modification, or what has become more popularly called OB Mod. It represents the application of reinforcement concepts to individual in the work setting. The typical OB Mod program follows a five – step problem solving model. The five steps are as follows:

1. **Identify critical behaviors**

The first step in the OB Mod, therefore, is to identify the critical behaviors that make a significant impact on the employee's job performance.

2. **Develop baseline data**

The second step requires the manager to develop some baseline performance data. This is obtained by determining the number of times the identified behavior is occurring under present conditions.

3. **Identify behavioral consequences**

The third step is to perform a functional analysis to identify the behavioral contingencies or consequences of performance. This tells the manager the antecedent cues that emit the behavior and the consequences that are currently maintaining it.

4. **Develop and implement an intervention strategy**

Once the functional analysis is complete, the manager is ready to develop and implement an intervention strategy to strengthen desirable performance behaviors and weaker undesirable behaviors.

5. **Evaluate performance improvement**

The final step in the OB – Mod is to evaluate performance improvement. That is to evaluate whether employees underwent a relatively permanent change in behavior.

2.4.MISBEHAVIOR

DEFINITION OF ORGANIZATIONAL MISBEHAVIOUR [OMB]

Organizational Misbehavior can be defined as "any intentional action by members of organizations that violate core organizational and / or societal norms. A crucial element in the definition is the intention underlying the misbehavior.

TYPES OF ORGANIZATIONAL MISBEHAVIOUR

Intention serves as the basis for the distinction among three types of organizational misbehavior. They are as follows:

1. **OMB Type S**

Misbehavior that intends to benefit the self.

2. **OMB Type O**

Misbehaviour that intends to benefit the organization.

3. **OMB Type D**

Misbehaviour that intends to inflict damage.

CAUSES OF OMB INTENTIONS

1. **OMB Type S**

Mostly instrumental and calculative forces [gain or loss, reward or punishment]

2. **OMB Type O**

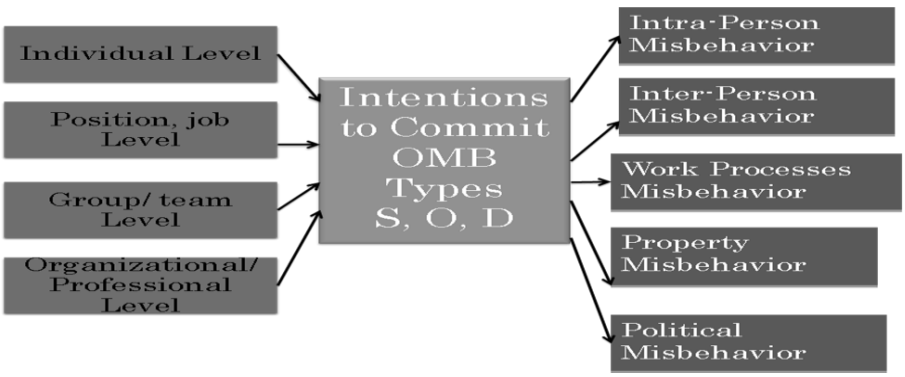
Mostly affective forces of commitment and loyalty [identification]

3. **OMB Type D**

Could be either or both.

GENERAL MODEL OF OMB

Figure 2g: General model of OMB



- **Intra – person**
- **OMB**

Improper behaviours of individuals [workers, managers] directed at themselves.

- **Inter – person OMB**

Improper behavior directed at others [colleagues, employees, supervisors, customers, clients]

- **Work processes OMB**

Behaviours that may harm job performance and work processes in the organization.

- **Property OMB**

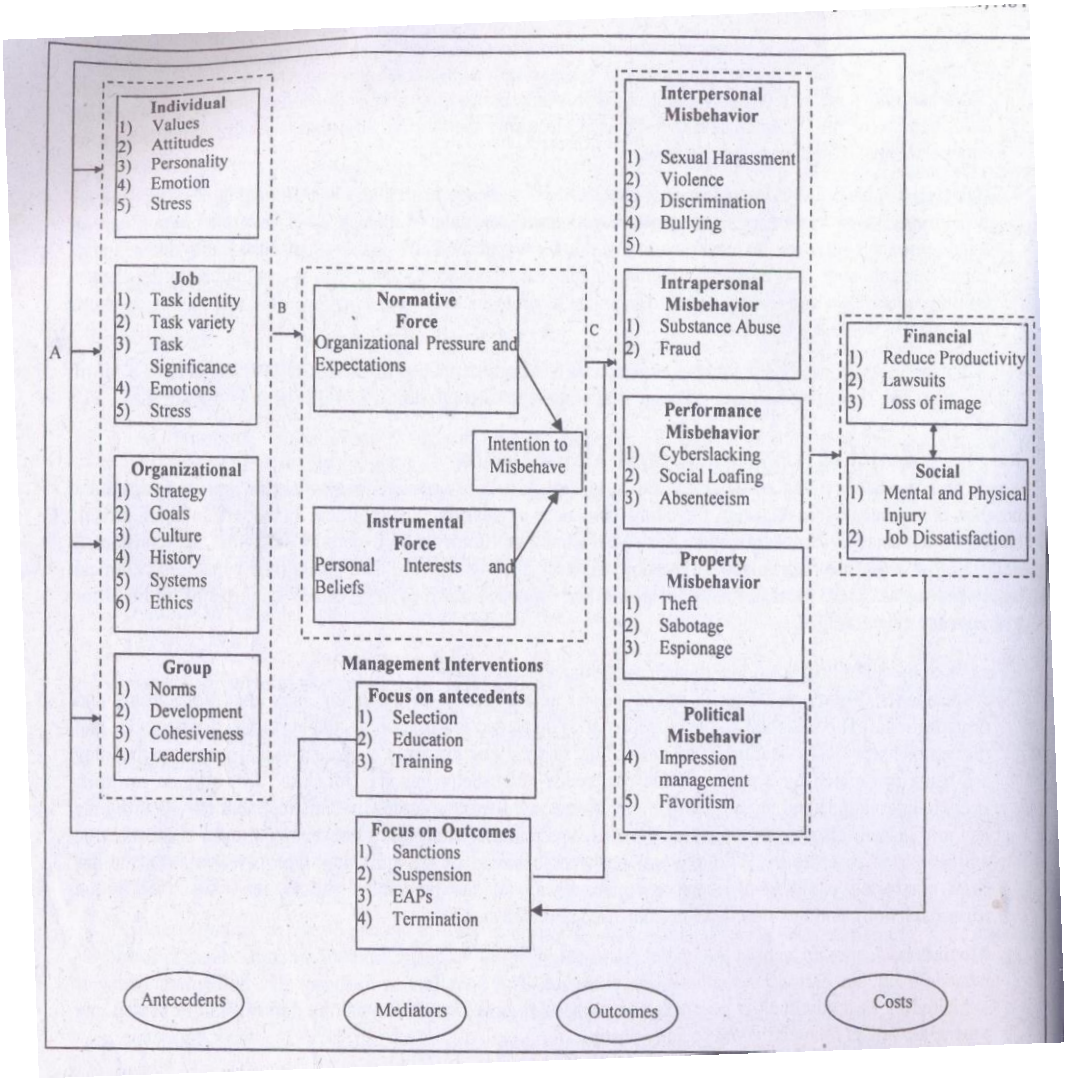
Misbehaviour which intentionally abuses the organization's resources and assets.

- **Political OMB**

Misbehavior aimed at gaining control over resources, and territory, by means of aggressive influence, and subversive means and tactics.

MANAGEMENT INTERVENTIONS IN ORGANIZATIONAL MISBEHAVIOUR

Figure2h: Management interventions in Organizational Misbehavior



AUTHOR: BOOVANESWARI.S, ASSISTANT PROFESSOR, MVIT, CSE.

Management interventions are the actions taken by managers [representing the organization] to prevent, control, or respond to harmful misbehavior. Figure 2h displays three specific points for management intervention viz., A, B & C. At 'A', management can carefully screen and refuse to hire "risky" individuals. Management also can intervene at the other antecedent points [job, group and organizational]. The problem with interventions at these points is that the person is already employed. The most efficient intervention point is during the pre-employment phase. Management intervention 'B' requires affecting the normative force, as well as the instrumental force. The goal of this intervention point is to reduce the possibility of a job, group, or organizational antecedent triggering misbehavior. The attention of an intervention at 'C' shifts from prevention to deterrence. The manager works to reduce the possibility of the intention to misbehave. A member of a team that values being a part of the unit may learn that misbehavior could mean being transferred to another unit. He / She may decide that staying with the preferred unit is important and elect to behave properly. The threat of a transfer may be powerful enough to evoke a change in behavior plans. These intervention points offer managers different opportunities and challenges. If properly executed, that can possibly reduce the consequences or costs or misbehavior.

2.5.EMOTIONS

DEFINITION AND MEANING OF EMOTIONS

Emotions can be defined as intense feelings that are directed at someone or something.

- Caused by specific event
- Very brief in duration [seconds or minutes]
- Specific and numerous in nature [many specific emotions such as anger, fear, sadness, happiness, disgust, surprise]
- Usually accompanied by distinct facial expressions
- Action oriented in nature

SOURCES OF EMOTIONS

- **Personality**

Personality predisposes us to certain emotions. Some people feel anger and guilt more readily than others. Others feel calm and relaxed no matter what the situation.

- **Time of day and week**

Negative emotions are highest at the beginning of the week. [Sundays and Mondays] Positive emotions are highest at the end of the week [Thursday to Saturday]. People are generally in lower spirits in the morning. During the day, our emotions improve and then decline in the evening.

- **The weather**

There is a belief that people have more positive emotions on bright sunny days than rainy ones.

- **Stress**

Stressful daily events negatively affect employee's emotions. The effects of stress are cumulative even if the stress is not severe. Constant, prolonged exposure to stress leads to depression and negative feelings.

- **Social interaction**

Social activities increase positive emotions and have little effect on negative emotions.

- **Sleep**

Sleep quality affects emotions. Sleep deprived workers are tend to have greater feelings of fatigue, anger and hostility.

- **Exercise**

Exercise modestly enhances people's positive emotions.

- **Age**

Young people do not experience more positive emotions than older people. Negative emotions seem to occur less as people get older. Emotional experience tends to improve with age. As we age, we feel fewer negative emotions.

- **Gender**

Contrasted with men, women are more in touch with their emotions, show greater emotional expression, experience emotions more intensely, more likely to display positive

EMOTIONAL LABOUR

DEFINITION

Emotional Labour is defined as an employee's expression of organizationally desired emotions during interpersonal transactions at work.

EMOTIONAL DISSONANCE

DEFINITION

Emotional Dissonance is defined as inconsistencies between the emotions people feel and the emotions they project.

FELT Vs. DISPLAYED EMOTIONS

- **Felt emotions**

An individual's actual emotions

- **Displayed emotions**

Emotions that are organizationally required and considered appropriate in a given job.

SURFACE Vs. DEEP ACTING

- **Surface acting**

Hiding one's inner feelings and forgoing emotional expressions in response to display rules.

- **Deep acting**

Trying to modify one's true inner feelings based on display rules.

AFFECTIVE EVENTS THEORY [AET]

Understanding emotions at work has been significantly helped by a model called affective events theory (AET). AET demonstrates that employees react emotionally to things that happen to them at work and that this influences their job performance and satisfaction. The theory begins by recognizing that emotions are a response to an event in the individual work environment. The work environment includes everything surrounding the job — characteristics of the job such as the variety of tasks and degree of autonomy, job demands, and requirements for expressing emotional labor. This environment created work events that can be hassles, uplifts, or both. Examples of events that employees frequently see as hassles are colleagues who refuse to carry their share of work, conflicting directions by different by different mangers, and excessive time pressures. Examples of uplifting events include meeting a goal, getting support from a colleague and receiving recognition for an accomplishment. These work events trigger positive or negative emotional reactions. But the events-reaction relationship is moderated by the employee's personality and mood. Personality pre-disposes people to respond with greater or lesser intensity to the event. For instance, people who score low on emotional stability are more likely to react strongly to negative events. And the individual's mood introduces the reality that general affect cycle creates fluctuations. So a person's emotional response to a given event can change depending on his or her mood. Emotions influence a number of performance and satisfaction variables such as organizational citizenship behavior, organizational commitment, intentions to quit, and level of effort.

In addition, tests of the theory suggest that,

(1) An emotional episode is actually a series of emotional experiences precipitated by a single event. It reflects elements of both emotions and mood cycles

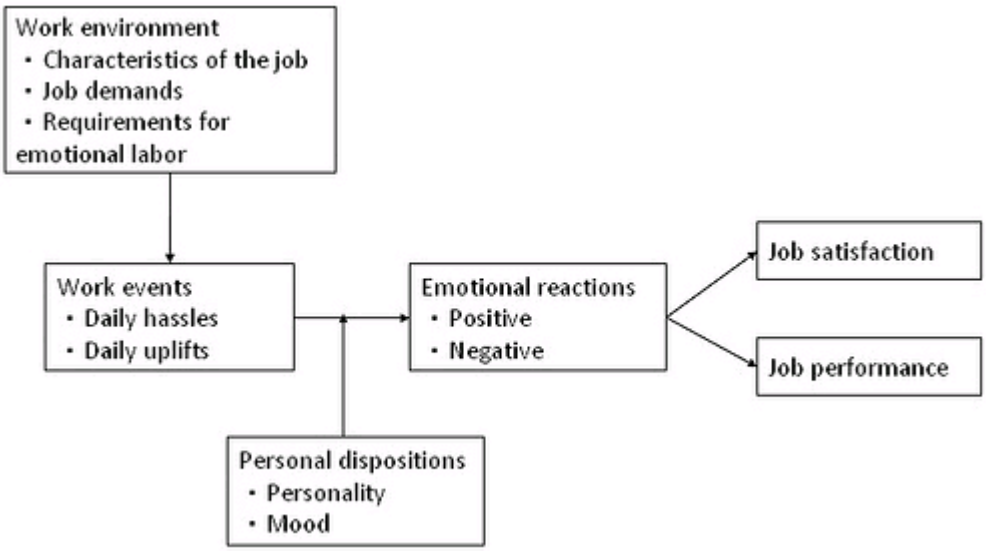
(2) Job satisfaction is influenced by current emotions at any given time along with the history of emotions surrounding the event

(3) Since moods and emotions fluctuate over time, their effect on performances also fluctuates

(4) Emotion driven behaviors are typically short in duration and of high variability

(5) Because emotions tend to be incompatible with behaviors required to do a job, they typically have a negative influence on job performance (even for positive emotions like happiness and joy).

Figure 2i: Affective Events Theory [AET]



An example might help better explain AET. Mr. Y works as an aero-nautical engineer for Boeing. Because of the downturn in the demand for commercial jets, he has just learnt that the company is considering retrenching 10,000 employees. This could include Y. This event is likely to elicit a negative emotional reaction. Y has now a fear that he might lose his job and primary source of income. And because Y is prone to worry a lot and obsess about problems, his feelings of insecurity are increased. This event also puts into place a series of sub-events that create an episode. Y talks with his boss and he is assured that his job is safe. But Y hears rumors that his department is high on the list to be eliminated; he then runs into a former colleague who was laid six months ago and still has not found work. This in turn creates emotional ups and downs. One day Y is feeling more upbeat and that he survive the cuts. The next day, he is depressed and anxious, convinced that his department will be eliminated. These swings in emotions take his attention away from work and result in reduced job performance and satisfaction. His response is also magnified because this is the fourth large layoff that Boeing has initiated in the past three years. In summary, AET offers two important messages. First, emotions provide valuable insights into understanding employee behavior. The model demonstrates how daily hassles and uplifts influence employee performance and satisfaction. Second, emotions in organizations and the events that cause them should not be ignored, even when they appear to be minor. This is because they accumulate. It's not the intensity of hassles and uplifts that lead to emotional reactions, but more the frequency with which they occur.

EMOTIONAL INTELLIGENCE [EI]

DEFINITION

Emotional Intelligence is defined as the ability to detect and to manage emotional cues and information.

THE CASE FOR EI

- Intuitive appeal
- EI predicts criteria that matter
- EI is biologically based

THE CASE AGAINST EI

- EI is too vague concept
- EI cannot be measured
- The validity of EI is suspect

OB APPLICATIONS OF EMOTIONS

- Selection
- Decision Making
- Creativity
- Motivation
- Leadership
- Negotiation
- Customer Service
- Job Attitudes

THEORIES / MODELS OF EI

There are three main models of EI. They are as follows:

1.Ability based EI model [Peter Salovey and John D.Mayer's]

The model proposes that EI includes four types of abilities and they are:

- **Perceiving emotions**

The ability to detect and interpret emotions in faces, pictures, voices, and cultural artifacts – including the ability to identify one's own emotions. Perceiving emotions represents a basic aspect of EI, as it makes all other processing of emotional information possible.

- **Using emotions**

The ability to harness emotions to facilitate various cognitive activities, such as thinking and problem solving. The emotionally intelligent person can capitalize fully upon his or her changing moods in order to best fit the task at hand.

- **Understanding emotions**

The ability of comprehend emotional language and ability to appreciate complicated relationships among emotions. For example, understanding emotions encompasses the ability to be sensitive to slight variations between emotions, and the ability to recognize and describe how emotions evolve over time.

- **Managing emotions**

The ability to regulate emotions in both ourselves and in other. Therefore, the emotionally intelligent person can harness emotions, even negative ones, and manage them to achieve intended goals.

2.Mixed model of EI

- **Emotional competencies [Daniel Goleman]**

This model outlines four main EI constructs. They are as follows:

1.Self – awareness

The ability to read one's emotions and recognize their impact while using gut feelings to guide decisions.

2.Self – management

Involves controlling one's emotions and impulses and adapting to changing circumstances.

3.Social awareness

The ability to sense, understands, and reacts to other's emotions while comprehending social networks.

4.Relationship for management

The ability to inspire, influence, and develop others while managing conflict.

- **Bar – on model of Emotional Social Intelligence [ESI] – [Reuven Bar – on]**

Reuven defines EI as being concerned with effectively understanding oneself and others, relating well to people, and adapting to and coping with the immediate surroundings to be more successful in dealing with environmental demands. Bar – on posits that EI develops over time and that it can be improved through training, programming, and therapy. Bar – on hypothesizes that those individuals with higher than average EQ are in general more successful in meeting environmental demands and pressures. He also notes that a deficiency in EI can mean a lack of success and the existence of emotional problems. Problems in coping with one's environment are thought, by Bar – on, to be especially common among these individuals lacking in the subscales of reality testing, problem solving, stress tolerance, and impulse control. In general, Bar – on considers emotional intelligence and cognitive intelligence to contribute equally to a person's general intelligence, which then offers an indication of one's potential to success in life.

3.Trait EI model [Petrides, et al.,]

This model proposed a conceptual distinction between the ability based model and a trait based model of EI. Trait EI refers to a collection of behavioural dispositions and self – perceptions concerning one's ability to recognize, process, and utilize emotion – laden information. This definition of EI encompasses bahavioural dispositions and self perceived abilities and is measured by self report, as opposed to the ability based model which refers to actual abilities as they express themselves in performance based measures. Trait EI should be investigated within a personality framework. The conceptualization of EI as a personality trait leads to a construct that lies outside the taxonomy of human cognitive ability. This is an important distinction as much as it bears directly on the operationalization of the construct and the theories and hypothesis that are formulated about it.

2.6. ATTITUDES

DEFINITION

Attitudes are evaluative statements – either favorable or unfavorable about objects, people, or events. They reflect how one feels about something.

CHARACTERISTICS OF ATTITUDE

- Difficult to measure
- May create inflexibility and stereotypes
- Demonstrated by behavior
- Formed largely from the continuous process of socialization
- Can be a positive or negative attitude
- Once formed not easily changed

COMPONENTS OF ATTITUDE

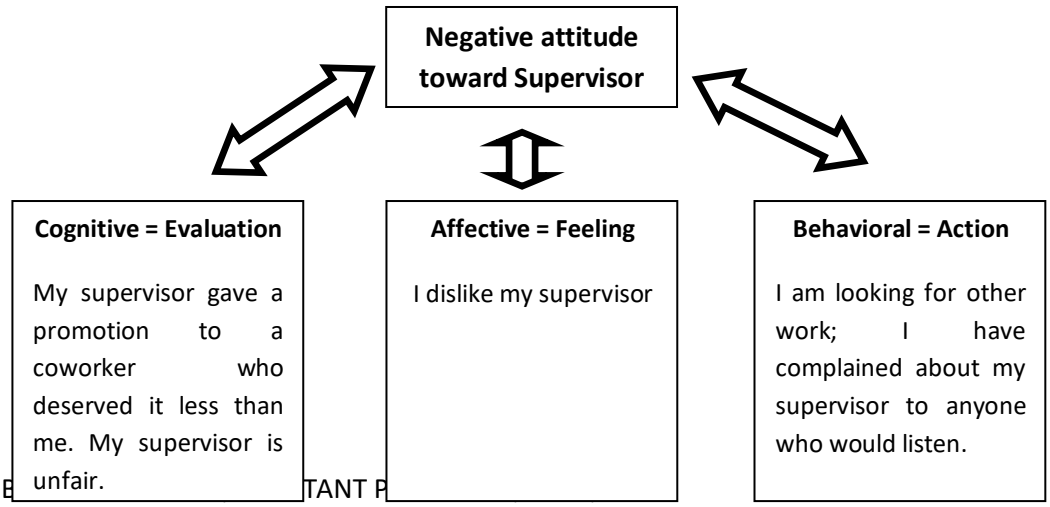
There are three main components of attitude and they are as follows:

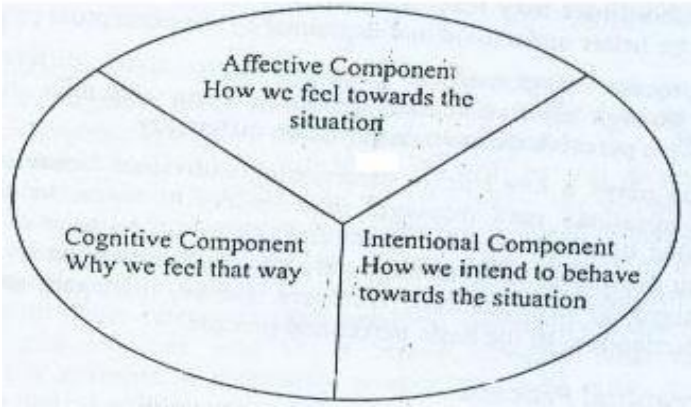
1.Cognitive component

The opinion or belief segment of an attitude.

Figure 2h: The components of an Attitude

Cognition, affection and behavior are closely related





2.Affective component

The emotional or feeling segment of an attitude.

3.Behavioural component

An intention to behave in a certain way toward someone or something

ATTITUDE FORMATION

Individual attitude are formed over time as a result of repeated personal experiences with ideas, situations or people. One of the very important ways to understand individual behaviour in an organization is that of studying attitude, which is situationally specific and learned.

Attitudes are acquired through:

- **Social learning**
  - **Classical conditioning**

    Classical conditioning theory shows that when initially neutral social stimuli are paired repeatedly with positive or negative stimuli, subjects will develop positive or negative attitudes towards the previously neutral stimuli.
  - **Operant / Instrumental conditioning**

    As per this theory, persons are rewarded for expressing the "correct" attitudes / punished for "incorrect".
  - **Observational learning or Modeling**

    Persons form attitudes by observing and imitating models they like and admire.
- **Social comparison**

Social comparison is our tendency to compare ourselves with others to judge whether our view of social reality is correct or not.

- **Genetic factors**

Genetic factors may influence general dispositions [e.g. tendency to positive effect] and conditionability that may influence formation of more specific attitudes.

MEASUREMENT OF ATTITUDES

There are several ways to measure attitudes. They are as follows:

1. Ranking

Rank order preference.

Ranking tasks require that the respondent rank order a small number of objects in overall performance on the basis of some characteristic or stimulus.

2. Rating

Estimates magnitude of a characteristic.

Rating asks the respondent to estimate the magnitude of a characteristic, or quality, that an object possesses. The respondent's position on a scale[s] is where he or she would rate an object.

Different types of scaling techniques for measuring attitudes are as follows:

- **Simple attitude scaling**

It is the most basic form of attitude scaling and it requires that an individual agree with a statement or respond to a single question. This type of self – rating scale merely classifies respondents into one of two categories.

Example: The president should run for re – election. – Agree / Disagree

- **Category scaling**

A category scale is a more sensitive measure than a scale having only two response categories and it provides more information. Questions working are an extremely important factor in the usefulness of these scales.

Example:

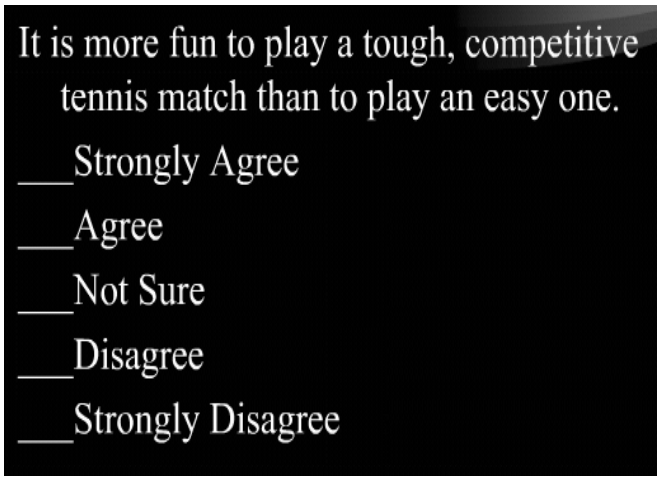
How important were the following in your decision to visit San Diego (check one for each item)

	VERY IMPORTANT	SOMEWHAT IMPORTANT	NOT TOO IMPORTANT
CLIMATE	_____	_____	_____
COST OF TRAVEL	_____	_____	_____
FAMILY ORIENTED	_____	_____	_____
EDUCATIONAL/ HISTORICAL ASPECTS	_____	_____	_____
FAMILIARITY WITH AREA	_____	_____	_____

- **Method of Summated rating: The Likert scale**

An extremely popular means for measuring attitudes. Respondents indicate their own attitudes by checking how strongly they agree or disagree with statements.

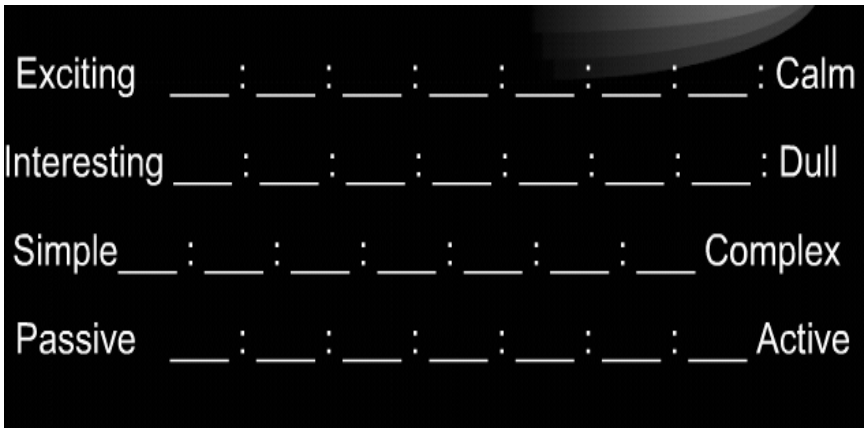
Example:



- **Semantic differential scaling**

A series of seven - point bipolar rating scales. Bipolar adjectives, such as good and bad, anchor both ends [or poles] of the scale. A weight is assigned to each position on the rating scale. Traditionally, scores are 7,6,5,4,3,2,1 or +3, +2, +1, 0,
-1,-2,-3.

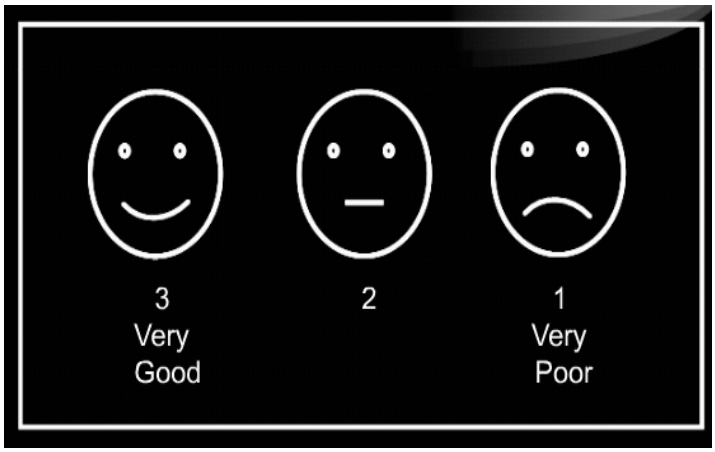
Example:



- **Graphic rating scale**

A graphic rating scale presents respondents with a graphic continuum.

Example:



3. Sorting

Arrange or classify concepts.

Sorting might present the respondent with several concepts typed on cards and require that the respondent arrange the cards into a number of piles or otherwise classify the concepts.

4. Choice

Selection of preferred alternative.

Choice between two or more alternatives is another type of attitude measurement. It is assumed that the chosen object is preferred over the other.

2.7. VALUES

DEFINITION

Values are constellation of likes, dislikes, viewpoints, inner inclinations, rational and irrational judgments, prejudices, and association pattern that determine a person's view of the world.

- ***Edwards Spranger***

Values are global beliefs that guide actions and judgments across a variety of situations.

- ***Milton Rokeach***

CHARACTERISTICS OF VALUES

- Part of culture
- Learned responses
- Inculcated
- Social phenomenon
- Gratifying responses
- Adaptive process

IMPORTANCE OF VALUES

- Values lay the foundations for the understanding of attitudes and motivation.
- Personal value system influences the perception of individuals.
- Value system influences the manager's perception of individuals.
- Personal value system influences the way in which a manager views the other individuals and the groups of individuals in the organization.
- Value system also influences a manager's decisions and his solutions to the various problems.
- Values influence the attitudes and behaviours. An individual will get more job satisfaction if his values align with the organization's policies. If the organization's policies are different from his views and values, he will be disappointed; the disappointment will lead to job dissatisfaction and decline in performance.

- The challenge and re – examination of established work values constitute important cornerstones of the current management revolution all over the world. Hence, an understanding of the values becomes a necessity.

CONSTRAINTS IN PRACTICING VALUES IN ORGANIZATIONS

- Lack of awareness about one's own values and practice.
- Choices and decisions based on habits, fears, and expectations of others rather than own values.
- Differing standards for self and others.
- Tendency to avoid pain / loss rather than actively seek meaning and well being.
- People making choices based on values different from others feeling they are alone.
- Blindness to group processes and larger entities.
- People holding incompatible values, often with materialistic and self – serving values taking priority.
- End values not supported by process values and skills.

2.8. PERCEPTIONS

DEFINITION

Perception may be defined as a process by which individuals organize and interpret their sensory impressions in order to give meaning to their environment.

- ***Stephen P Robbins***

NATURE / FEATURES OF PERCEPTION

- Perception is an intellectual process.
- Perception is a cognitive or psychological process
- Perception is a subjective process

IMPORTANCE OF PERCEPTION

- Facilitates understanding of human behavior
- Helps in behavior prediction
- Determination of needs
- Effective subordinate dealing

FACTORS INFLUENCING PERCEPTION

1.Characteristics of the perceiver [Internal factors]

- **Needs and motives**

People's perception is determined by their inner needs. A need is a feeling of tension or discomfort when one thinks he is missing something or requires something. People with different needs usually experience different stimuli. Similarly people with different needs select different items to remember or respond to.

- **Self – concept**

The way a person views the world depends a great deal on the self – concept or image he has about himself. The self – concept plays an important role in perceptual selectivity. It can be thought of as an internal form of attention – getting and is largely based on the individual's complex psychological make – up.

- **Beliefs**

A person's beliefs have profound influence on his perception. Thus, a fact is conceived not on what is but what a person believes it to be. The individual normally censors stimulus inputs to avoid disturbance of his existing beliefs.

- **Past experience**

A person's past experience mould the way he perceives the current situation. If a person has been betrayed by a couple of friends in the past, he would tend to distrust any new friendship that he might be in the process of developing.

- **Current psychological state**

The emotional and psychological states of an individual are likely to influence how things are perceived. If a person is depressed, he is likely to perceive the same situation differently than if he is elated.

- **Expectations**

Expectations affect what a person perceives. Expectations are related with the state of anticipation of particular behavior from a person. In the organizational setting, expectations affect people's perception. Thus, a technical manager may expect ignorance about the technical feature of a product from the non – technical people.

2.Characteristics of the target or perceived [External factors]

- **Size**

The bigger the size of the perceived stimulus, the higher is the probability that is perceived. Size attracts the attention of an individual. It establishes dominance and enhances perceptual selection.

- **Intensity**

High intensity increases the chances of selection. If the message is bright, if sentences are underlined, it gets more attention than in normal case. The greater the intensity of stimulus, the more likely it will be noticed.

- **Frequency**

Repeated external stimulus is more attention – attracting than a single time. Repetition increases our sensitivity and alertness to the stimulus. Thus, greater the frequency with which a sensory stimulus is presented, the greater the chances we select it for attention.

- **Status**

Perception is also influenced by the status of the perceiver. High status people can exert greater influence on perception of an employee than low status people.

- **Contrast**

Stimuli that contrast with the surrounding environment are more likely to be attention catching than the stimuli that blend in. A contrasting effect can be caused by colour / size or any other factor that is unusual. The contrast principle states that external stimuli that stand out against the background or which are not what are expected will receive better attention.

3.Characteristics of the situation

The context in which objects or events is seen, is important. Elements in the surrounding environment influence our perception. The time at which an object or event is seen can influence attention, as can location, light, heat, or any number of situational factors.

INTERPERSONAL PERCEPTION

Interpersonal perception is an area of research in social psychology which examines the beliefs that interacting people has about each other. This area differs from social cognition and person perception by being interpersonal rather than intrapersonal, and thus requiring the interaction of at least two actual people. People all have beliefs about the other people that they know. A woman might believe that her parents are harsh, that her lover is kind and her friend is intelligent. These beliefs guide people in various ways. They help people to predict and explain the behavior of others. A man may believe that because his girl friend is intelligent, she can do complicated crossword puzzles. Beliefs about others are also useful when one person has to describe another person to a third party. However, their primary utility lies in helping people to guide their interactions with others. Beliefs about other tell people whom they should avoid, with whom they should leave their car when they go on as long trip and whom they should ask for advice when they have a personal problem. So people's beliefs about others have important consequences in their everyday lives.

2.9. IMPRESSION MANAGEMENT

Impression management is a process people use to control the perceptions or impressions about themselves, a bit like personal branding. Individuals may believe they are being judged or perceived based on their outward appearance, personality or other subjective opinions by other people. Impression management attempts to control these perceptions from other people through the development of self presentation methods and techniques used to control outward perceptions or impressions. Common self presentation methods include authentic, ideal or tactical styles of

impression management. An authentic self presentation is used when an individual wants to present himself to other people the same way he perceives himself. This authenticity allows individuals to behave in a manner consistent with their daily image and personality. This presentation often involves disclosing information about oneself to solidify the authentic brand. The ideal impression management presentation is the attempt to present one's self how he desires to behave or be viewed, rather than presenting himself in an authentic manner. Closely tied to the ideal brand is the tactical presentation. A tactical brand is used by individuals who wish to present a public image that reflects positively on them. This technique is used to create a behavior or personality that is consistent with outside perceptions of how an individual should act or behave.

PURPOSE OF IMPRESSION MANAGEMENT

There are two main motives that govern self – presentation and they are as follows:

1.Instrumental

We want to influence others and gain rewards. There are three instrumental goals.

- **Ingratiation**

When we try to be happy and display our good qualities so that others will like us.

- **Intimidation**

Intimidation is aggressively showing anger to get others to hear and obey us.

- **Supplication**

When we try to be vulnerable and sad so people will help us and feel bad for us.

2.Expressive

We construct an image of ourselves to claim personal identity, and present ourselves in a manner that is consistent with that image. If we feel like this is restricted, we exhibit reactance / be defiant. We try to assert our freedom against those who would seek to curtail our self – presentation expressiveness. A classic example is the idea of the "preacher's daughter", the notion that her suppressed personal identity and emotions cause an eventual backlash at her family and community. Concerning the strategies followed to establish a certain impression, the main distinction is between defensive and assertive strategies. Whereas defensive strategies include behaviors like avoidance of threatening situations or means of self – handicapping, assertive strategies refer to more active behavior like the verbal idealization of the self, the use of status symbols or similar practices.

2.10. MOTIVATION

DEFINITION

Motivation refers to the way in which urges, drives, desires, aspirations, and strivings or needs direct, control or explain the behavior of human beings".

- ***Dalton E. McFarland***

Motivation is the willingness to exert high levels of effort toward organizational goals, conditioned by the effort and ability to satisfy some individual need".

- ***Stephen P Robbins***

CHARACTERISTICS OF MOTIVATION

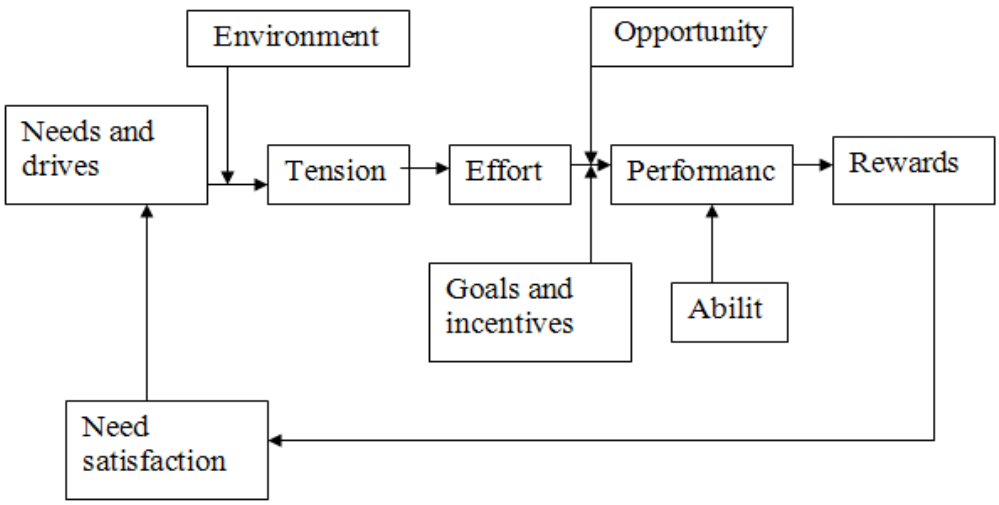
- Motivation is a psychological phenomenon
- Motivation is dynamic and situational
- Motivation is not easily observed phenomenon
- Motivation is a goal oriented process
- Motivation is influenced by social and cultural norms
- Motivation is a continuous process

IMPORTANCE OF MOTIVATION

- Motivation sets in motion the action of people
- Motivation improves the efficiency of work performance
- Ensures achievement of organizational goals
- Motivation creates friendly and supportive relationships
- Motivation leads to the stability in the work place
- Acceptance of organizational changes

PROCESS OF MOTIVATION

Figure 2i: Motivation process



In the initiation a person starts feeling lack nesses. There is an arousal of need so urgent, that the bearer has to venture in search to satisfy it. This leads to creation of tension, which urges the person to forget everything else and cater to the aroused need first. This tension also creates drives and attitudes regarding the type of satisfaction that is desired. This leads a person to venture into the

search of information. This ultimately leads to evaluation of alternatives where the best alternative is chosen. After choosing the alternative, an action is taken. Because of the performance of the activity satisfaction is achieved which than relieves the tension in the individual.

TYPES OF MOTIVATION

- **Positive versus Negative motivation**

Positive motivation

Positive motivation is a response which includes enjoyment and optimism about the tasks that you are involved in.

Negative motivation

Negative motivation involves undertaking tasks because there will be undesirable outcome. Example: Failing a subject, if tasks are not completed.

- **Rational versus Emotional Motivation**

Rational motivation

The term rationality is associated with persons who carefully weigh the pros and cons of all the alternatives and then choose the one that gives them the greatest utility. In the marketing context we can say that consumers who are rational will select the goals after ascertaining various objective criteria such as size, weight, price, etc.,

Emotional motivation

As against this emotional motive are those goals, which are selected on the basis of emotion's involvement. Usually such goals are selected purely on personal or subjective criteria such as desire for recognition of status, fear, esteem, love, etc.

- **Primary versus secondary motivation**

Primary motivation

This mainly pertains to motives involved with our need for self-preservation. This includes needs such as hunger and thirst, warmth, avoidance of pain and other primary motives which influence a person's behaviour at a very basic level.

Secondary motivation

More known in psychology as "learned" motivation, this type of "drives" differ from one person to another. In many ways they involve a person's own sense of values and priorities in life. Many of the behaviour derived from secondary motivation are conscious ones. That is, a person consciously desires a particular goal or result, and behaves in a way that brings them closer to that particular goal. What drives them to do something or to act in a particular way is the longing for something which they currently do not have or possess.

- **Financial and Non – financial motivation**

Financial motivation

These are monetary in natures as they involve flow of money from the organization to its staff. The examples financial benefits are wages, salaries, allowances, bonus, fringe benefits, etc.

Non – financial motivation

Non – financial motivation do not involve much financial commitments on the part of the organization. They do not add to the money income of those who receive them. They take the form of job enrichment, participative management, praise, opportunity for growth, etc.

- **Intrinsic versus Extrinsic motivation**

Intrinsic motivation

It refers to motivation that is driven by an interest or enjoyment in the task itself, and exists within the individual rather than relying on any external pressure.

Extrinsic motivation

Extrinsic motivation comes from outside of the individual. Common extrinsic motivations are rewards like money and grades, coercion and threat of punishment. Competition is in general extrinsic because it encourages the performer to win and beat others, not to enjoy the intrinsic rewards of the activity. A crowd cheering on the individual and trophies are also extrinsic incentives.

EFFECT OF MOTIVATION ON WORK BEHAVIOUR

Motivation is a term in organizational behavior which leads the employee inside the organization to attain the specific goals and objectives. The goal oriented behavior come when only a kind of intrinsic or extrinsic motivational force is there, enforcing the employees to fill the gap between the tension recognition and the goal attainment. When a motivated employee attains its specific goal, a positive reinforcement is brought along the work performance. According to the instrumental theory of work motivation and learning, if this positive reinforcement is compensated through any intrinsic or extrinsic reward, the situation / stimulus becomes instrumental into the habit of employees and they feel more satisfied inside the organization. Thus, it can be overlooked that motivation, job satisfaction and their outcomes are closely bound with each other. Increase in one factor automatically gives an increment in another factor. Motivation is termed as a major factor behind the job satisfaction. The overall effects of job satisfaction through motivation are as follows:

- **Job satisfaction through motivation and job performance**

Happy workers are more likely to be productive workers, although it is hard to tell which way the causality runs. However, some researchers used to believe that the relationship between job satisfaction and job performance was a management myth. But a review of 300 studies suggested that the correlation is pretty strong. As we move from the individual level to that of the organization, we also find support for the satisfaction – performance relationship. When satisfaction and

productivity data are gathered for the organization as a whole, we find that organizations with more satisfied employees tend to be more effective then organizations with fewer satisfied employees.

- **Job satisfaction through motivation and OCB**

It seems logical to assume that job satisfaction should be a major determinant of an employee's Organizational Citizenship Behaviour [OCB]. Satisfied employees would seem more likely to talk positively about the organization, help others, and go beyond the normal expectation in their job. Moreover, satisfied employees might be more prone to go beyond the call of duty because they want to reciprocate their positive experiences. Consistent with this thinking, early discussion of OCB assumed that it was closely linked with satisfaction. More recent evidence, however, suggests that satisfaction influences OCB, but through perceptions of fairness.

- **Job satisfaction through motivation and customer satisfaction**

Employees in service jobs often interact with customers. Since the management in service organizations should be concerned with pleasing those customers, it is reasonable to ask : Is employee satisfaction related to positive customer outcomes? For front line employees who have regular contact with customers, the answer is "Yes". The evidence indicates that satisfied employees increase customer satisfaction and loyalty. Why? In service organizations, customer retention and defection are highly dependent on how front – line employees deal with customers. Satisfied employees are more likely to be friendly, upbeat, and responsive – which customers appreciate. And because satisfied employees are less prone to turnover, customers are more likely to encounter familiar faces and receive experienced service. These qualities build customer satisfaction and loyalty. In addition, the relationship seems to apply in reverse. Dissatisfied customers can increase an employee's job dissatisfaction. Employees who have regular contact with customers report that rude, thoughtless, or unreasonably demanding customers adversely affect the employees' job satisfaction.

- **Job satisfaction through motivation and absenteeism**

A consistent negative relationship is found between satisfaction and absenteeism, but the correlation is moderate to weak. While it certainly makes sense that dissatisfied employees are more likely to miss work, other factors have an impact on the relationship and reduce the correlation coefficient. For example, organizations that provide liberal sick leave benefits are encouraging all their employees – including those who are highly satisfied – to take days off. Assuming that you have a reasonable number of varied interests, you can find work satisfying and yet still take off work to enjoy a 3 day weekend or tan yourself on a warm summer day if those days come free with no penalties.

- **Job satisfaction through motivation and turnover**

Satisfaction is also negatively related to turnover, but the correlation is stronger than what we found for absenteeism. Yet, again, other factors such as labour market conditions, expectations about

alternative job opportunities, and length of tenure with the organization are important constraints on the actual decision to leave one's current job. Evidence indicates that an important moderator of the satisfaction – turnover relationship is the employee's level of performance

- **Job satisfaction through motivation and workplace deviance**

Job dissatisfaction predicts a lot of specific behaviours, including unionization attempts, substance abuse, stealing at work, undue socializing, and tardiness. Researchers argue that these behaviours are indicators of a broader syndrome that we would term deviant behavior in the workplace [or employees' withdrawal]. The key is that if employees do not like their work environment, they will respond somehow. It is not always easy to forecast exactly how they will respond. One worker's response might be to quit. But another may respond by taking work time to surf the internet, taking work supplies home for personal use and so on. If employers want to control the undesirable consequences of job dissatisfaction, they had best attack the source of the problem – the dissatisfaction – rather than trying to control the different responses.

THEORIES OF MOTIVATION

1) Abraham Maslow's "Need Hierarchy Theory"

One of the most widely mentioned theories of motivation is the hierarchy of needs theory put forth by psychologist Abraham Maslow. Maslow saw human needs in the form of a hierarchy, ascending from the lowest to the highest, and he concluded that when one set of needs is satisfied, this kind of need ceases to be a motivator.

As per his theory these needs are:

(i) Physiological needs

These are important needs for sustaining the human life. Food, water, warmth, shelter, sleep, medicine and education are the basic physiological needs which fall in the primary list of need satisfaction. Maslow was of an opinion that until these needs were satisfied to a degree to maintain life, no other motivating factors can work.

(ii) Security or Safety needs

These are the needs to be free of physical danger and of the fear of losing a job, property, food or shelter. It also includes protection against any emotional harm.

(iii) Social needs

Since people are social beings, they need to belong and be accepted by others. People try to satisfy their need for affection, acceptance and friendship.

(iv) Esteem needs

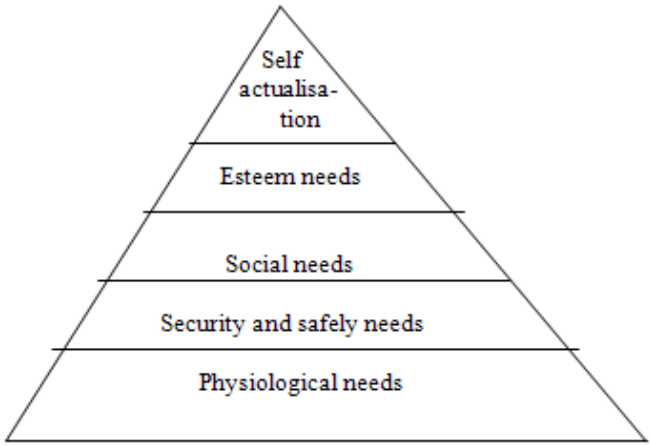
According to Maslow, once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others. This kind of need produces such satisfaction as power,

prestige status and self-confidence. It includes both internal esteem factors like self-respect, autonomy and achievements and external esteem factors such as states, recognition and attention.

(v) Need for self-actualization

Maslow regards this as the highest need in his hierarchy. It is the drive to become what one is capable of becoming; it includes growth, achieving one's potential and self-fulfillment. It is to maximize one's potential and to accomplish something.

Figure 2j: Maslow's Need Hierarchy Theory



As each of these needs is substantially satisfied, the next need becomes dominant. From the standpoint of motivation, the theory would say that although no need is ever fully gratified, a substantially satisfied need no longer motivates. So if you want to motivate someone, you need to understand what level of the hierarchy that person is on and focus on satisfying those needs or needs above that level. Maslow's need theory has received wide recognition, particularly among practicing managers. This can be attributed to the theory's intuitive logic and ease of understanding. However, research does not validate this theory. Maslow provided no empirical evidence and other several studies that sought to validate the theory found no support for it.

2) "Theory X and Theory Y" of Douglas McGregor

McGregor, in his book "The Human side of Enterprise" states that people inside the organization can be managed in two ways. The first is basically negative, which falls under the category X and the other is basically positive, which falls under the category Y. After viewing the way in which the manager dealt with employees, McGregor concluded that a manager's view of the nature of human beings is based on a certain grouping of assumptions and that he or she tends to mold his or her behavior towards subordinates according to these assumptions.

Under the assumptions of theory X

- Employees inherently do not like work and whenever possible, will attempt to avoid it.

- Because employees dislike work, they have to be forced, coerced or threatened with punishment to achieve goals.
- Employees avoid responsibilities and do not work fill formal directions are issued.
- Most workers place a greater importance on security over all other factors and display little ambition.

In contrast under the assumptions of theory Y

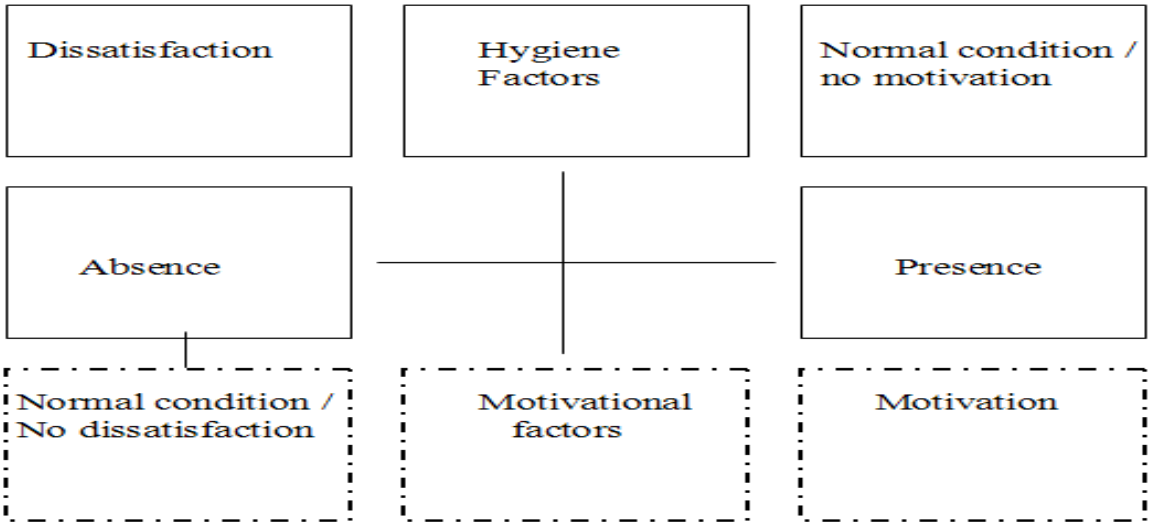
- Physical and mental effort at work is as natural as rest or play.
- People do exercise self-control and self-direction and if they are committed to those goals.
- Average human beings are willing to take responsibility and exercise imagination, ingenuity and creativity in solving the problems of the organization.
- That the way the things are organized, the average human being's brainpower is only partly used.

On analysis of the assumptions it can be detected that theory X assumes that lower-order needs dominate individuals and theory Y assumes that higher-order needs dominate individuals. An organization that is run on Theory X lines tends to be authoritarian in nature, the word "authoritarian" suggests such ideas as the "power to enforce obedience" and the "right to command." In contrast Theory Y organizations can be described as "participative", where the aims of the organization and of the individuals in it are integrated; individuals can achieve their own goals best by directing their efforts towards the success of the organization. However, this theory has been criticized widely for generalization of work and human behavior.

3) Frederick Herzberg's motivation-hygiene theory

Frederick has tried to modify Maslow's need Hierarchy theory. His theory is also known as two-factor theory or Hygiene theory. He stated that there are certain satisfiers and dis-satisfiers for employees at work. Intrinsic factors are related to job satisfaction, while extrinsic factors are associated with dissatisfaction. He devised his theory on the question: "What do people want from their jobs?" He asked people to describe in detail, such situations when they felt exceptionally good or exceptionally bad. From the responses that he received, he concluded that opposite of satisfaction is not dissatisfaction. Removing dissatisfying characteristics from a job does not necessarily make the job satisfying. He states that presence of certain factors in the organization is natural and the presence of the same does not lead to motivation. However, their non-presence leads to de-motivation. In similar manner there are certain factors, the absence of which causes no dissatisfaction, but their presence has motivational impact.

Figure2k: Frederick Herzberg's motivation-hygiene theory



Examples of Hygiene factors

Security, status, relationship with subordinates, personal life, salary, work conditions, relationship with supervisor and company policy and administration.

Examples of Motivational factors

1. Growth prospectus.
2. Job advancement.
3. Responsibility.
4. Challenges.
5. Recognition.
6. Achievements.

4) Vroom's Valence x Expectancy theory

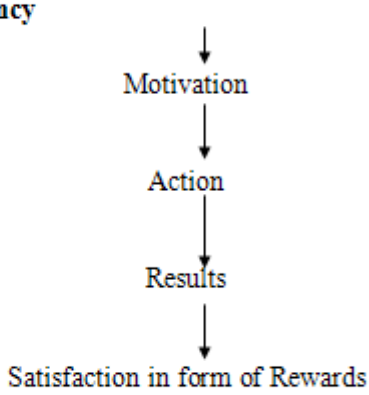
The most widely accepted explanations of motivation have been propounded by Victor Vroom. His theory is commonly known as expectancy theory. The theory argues that the strength of a tendency to act in a specific way depends on the strength of an expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual to make this simple, expectancy theory says that an employee can be motivated to perform better when there is a belief that the better performance will lead to good performance appraisal and that this shall result into realization of personal goal in form of some reward. Therefore **Motivation = Valence x Expectancy.**

The theory focuses on three things:

- **Efforts and performance relationship**
- **Performance and reward relationship**
- **Rewards and personal goal relationship**

This leads us to a conclusion that:

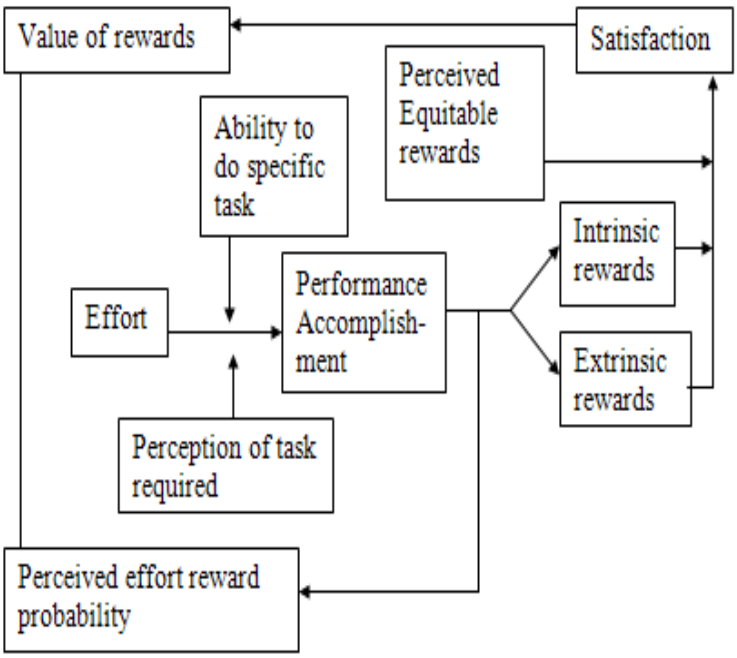
Valance x Expectancy



5) The Porter and Lawler Model

Lyman W. Porter and Edward E. Lawler developed a more complete version of motivation depending upon expectancy theory.

Figure 2l: The Porter and Lawler Model



Actual performance in a job is primarily determined by the effort spent. But it is also affected by the person's ability to do the job and also by individual's perception of what the required task is. So performance is the responsible factor that leads to intrinsic as well as extrinsic rewards. These rewards along with the equity of individual lead to satisfaction. Hence, satisfaction of the individual depends upon the fairness of the reward.

6) Clayton Alderfer's ERG Theory

Alderfer has tried to rebuild the hierarchy of needs of Maslow into another model named **ERG i.e. Existence – Relatedness – Growth**. According to him there are 3 groups of core needs as mentioned above. The existence group is concerned mainly with providing basic material existence. The second group is the individuals need to maintain interpersonal relationship with other members in the group. The final group is the intrinsic desire to grow and develop personally. The major conclusions of this theory are:

1. In an individual, more than one need may be operative at the same time.
2. If a higher need goes unsatisfied than the desire to satisfy a lower need intensifies.
3. It also contains the frustration-regression dimension.

7) McClelland's Theory of Needs

David McClelland has developed a theory on three types of motivating needs:

1. **Need for Power**
2. **Need for Affiliation**
3. **Need for Achievement**

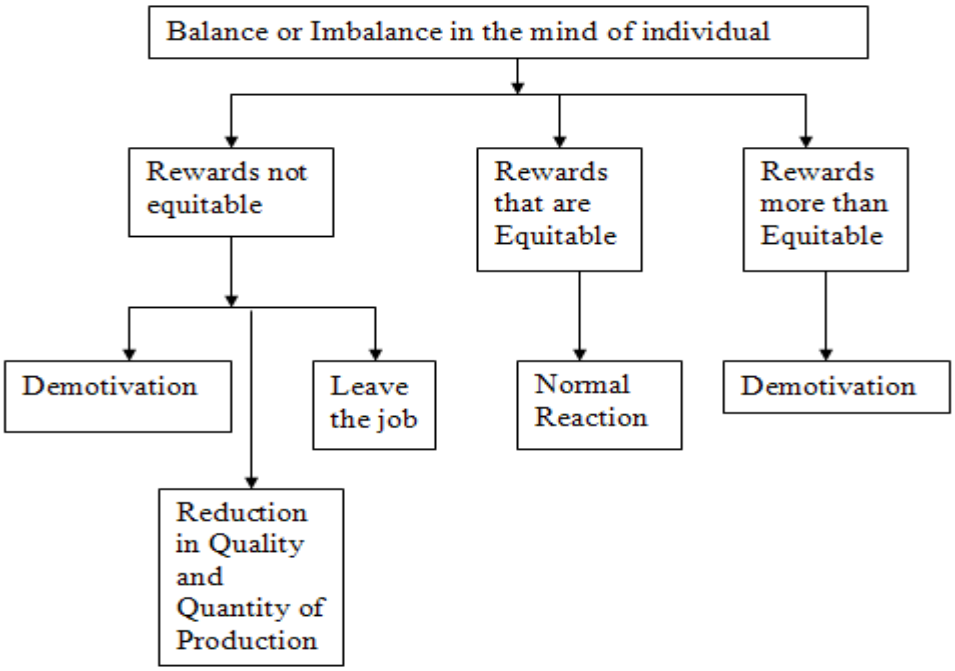
Basically people for high need for power are inclined towards influence and control. They like to be at the center and are good orators. They are demanding in nature, forceful in manners and ambitious in life. They can be motivated to perform if they are given key positions or power positions. In the second category are the people who are social in nature. They try to affiliate themselves with individuals and groups. They are driven by love and faith. They like to build a friendly environment around themselves. Social recognition and affiliation with others provides them motivation. People in the third area are driven by the challenge of success and the fear of failure. Their need for achievement is moderate and they set for themselves moderately difficult tasks. They are analytical in nature and take calculated risks. Such people are motivated to perform when they see at least some chances of success. McClelland observed that with the advancement in hierarchy the need for power and achievement increased rather than Affiliation. He also observed that people who were at the top, later ceased to be motivated by this drives.

8) Equity Theory

As per the equity theory of J. Stacey Adams, people are motivated by their beliefs about the reward structure as being fair or unfair, relative to the inputs. People have a tendency to use subjective judgment to balance the outcomes and inputs in the relationship for comparisons between different individuals. If people feel that they are not equally rewarded they either reduce the quantity or quality of work or migrate to some other organization. However, if people perceive that they are rewarded higher, they may be motivated to work harder.

Figure 2m: Equity Theory

$$\frac{\text{Out comes by a person}}{\text{Inputs by a person}} = \frac{\text{Out comes by another person}}{\text{Input by another person}}$$



9) Reinforcement Theory

B.F. Skinner, who propounded the reinforcement theory, holds that by designing the environment properly, individuals can be motivated. Instead of considering internal factors like impressions, feelings, attitudes and other cognitive behavior, individuals are directed by what happens in the environment external to them. Skinner states that work environment should be made suitable to the individuals and that punishment actually leads to frustration and de-motivation. Hence, the only way to motivate is to keep on making positive changes in the external environment of the organization.

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QUESTION BANK

TWO MARKS

1. Define Personality.
2. List out the primary personality traits.
3. What are the ways to measure personality?
4. Brief on Locus of Control.
5. What is Dogmatism?
6. Differentiate between Introversion and Extroversion.
7. Differentiate between Type A & Type B personality.
8. What are the factors / determinants influencing personality?
9. Define Learning.
10. What are the characteristics of learning?
11. Define OMB.
12. What are the types of OMB?
13. Define Emotion.
14. What are the sources of emotions?
15. Define Emotional Labour.
16. Define Emotional Dissonance.
17. Define EI.
18. Define Attitude.
19. What are the characteristics of attitude?
20. What are the components of attitude?
21. Define Value.
22. What are the characteristics of value?
23. Define Perception.
24. What are the features of perception?
25. What are the factors influencing perception?
26. Write a note on Interpersonal perception.
27. Define Motivation.
28. What are the characteristics of motivation?

ELEVEN MARKS

1. What are the different types of personality?
2. Brief on Big Five personality model.
3. What are different theories of personality?
4. What are the types of learners?
5. Brief on learning process.
6. What are the different theories of learning?
7. What are the methods of shaping behavior?
8. Discuss about the 5 step OB Mod problem solving model.
9. Discuss about the theories of EI.
10. What are the different ways to measure attitude?
11. Discuss about the importance of motivation.
12. Brief on motivation process.
13. What are the different types of motivation?
14. What are the different theories of motivation?
15. How motivation will effect on work behavior?

UNIT - III

3. GROUP BEHAVIOUR

3.1. ORGANIZATION STRUCTURE

- FORMATION

3.2. GROUPS IN ORGANIZATION

- INFLUENCE OF INFORMAL GROUPS IN ORGANIZATION
- GROUP DYNAMICS
- EMERGENCE OF INFORMAL LEADERS AND WORKING NORMS
- GROUP DECISION MAKING TECHNIQUES
- INTERPERSONAL RELATIONS IN GROUPS
- COMMUNICATION WITHIN GROUPS
- CONTROL IN GROUPS

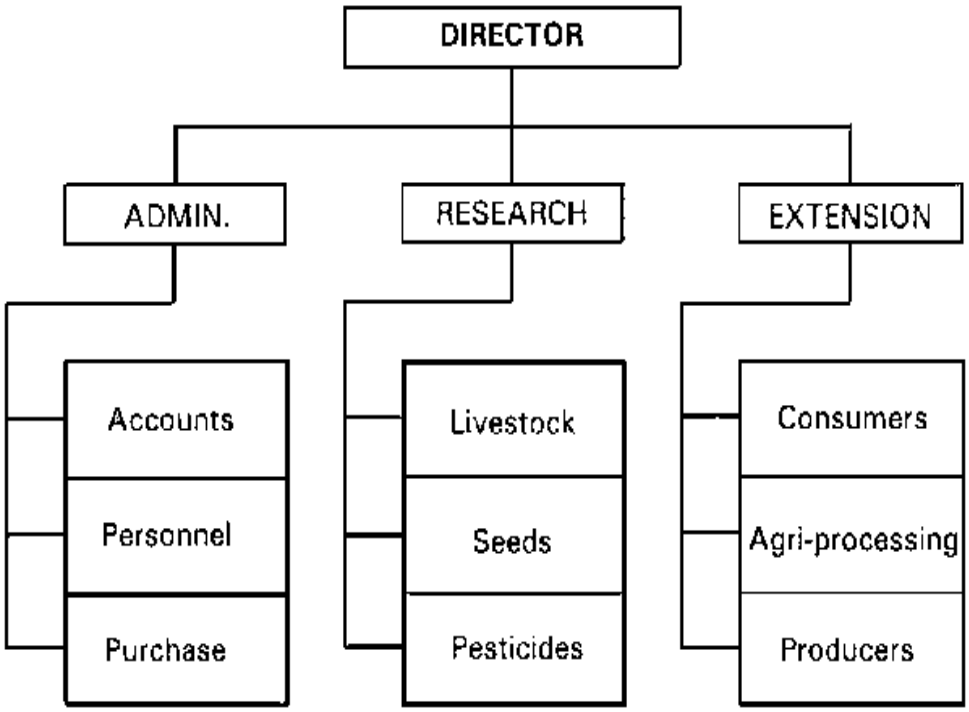
3.3. TEAM BUILDING

3.1. ORGANIZATION STRUCTURE

MEANING

Organizational structure refers to the hierarchical arrangement of various positions in an enterprise. It also defines the relationship between various positions, departments and persons. It helps in allocating authority and responsibility formally and decides who is to report to whom and who is to direct to whom. It defines the position of persons in the organization, i.e., who is superior to whom and who are his subordinates. Organizational structure defines the formal relationship into managerial hierarchy. The organizational structure looks like a pyramid with a narrow top and broad bottom below.

Figure3a: Organization Structure



FEATURES OF GOOD ORGANIZATION STRUCTURE

- **Simplicity**

An organizational structure should be basically simple. The concept of simplicity implies that various organizational relations should be kept minimum possible.

- **Flexibility**

An organization structure should be flexible enough so that changes can be incorporated whenever needs arise. The structure is design do not only for a time period but a distant future also. As such continuity must be maintained in the organizational structure over the period of time.

- **Clear line of authority**

Whatever the form of structure is adopted, there should be clear lines of authority running from top to bottom or in horizontal directions.

- **Application of ultimate responsibility**

The concept of ultimate responsibility suggests that although a superior manager assigns some of the work to his subordinates, he is ultimately responsible for performance of total work.

- **Proper delegation of authority**

The concept of ultimate responsibility can work only when there is proper delegation of authority at various levels of the organization. Delegation of authority refers to authorizing a manager to make certain decisions.

- **Minimum possible managerial levels**

As far as possible, there should be minimum managerial levels. Greater the number of managerial levels, longer is the line of communication in the chain of command and the communication has to travel along the line creating problems of delay and distortion.

- **Principles of unity of direction and command**

Principles of unity of direction and unity of command should be followed that is an employee should receive orders from only one superior.

- **Proper emphasis on staff**

Line functions should be separated from staff functions and adequate emphasis should be placed on important staff activities.

- **Provision for top management**

In corporate form of organization, it is imperative to provide some means by which shareholder and members of the board of directors participate in management process. Normally shareholders are indifferent so far as day – to – day management affairs of the company are concerned.

ELEMENTS OF ORGANIZATIONAL STRUCTURE

- Work specialization
- Departmentalization

- Chain of command
- Unity of command
- Span of management'
- Centralization and Decentralization
- Formalization

FORMATION OF ORGANIZATIONAL STRUCTURE

The following are the steps in the formation of organizational structure:

- **Determination of organizational goals and identification of related activities**

Organization goals must be well and clearly spelt – out. Based on the goals, all activities that are required should be identified and broken down into smallest sub – activities that may be assigned as a task or a job to the worker. This is applicable to both managerial and operational functions in the organization.

- **Grouping of activities**

All identical activities should be grouped, keeping in mind formation of various departments or divisions, A set of activities could be further sub – divided and assigned to a particular section of a department.

- **Delegation of authority**

A person cannot perform his duties unless he has been given adequate authority to accomplish the assigned task, He cannot be made responsible and accountable if requisite authority has not been given. Authority, responsibility, and accountability are tied together. An individual employee cannot be held responsible without authority. When jobs, activities are classified, divided, and grouped under executives at various levels, it would give birth to a rough skeleton on which an organization structure is established. Formulating an organization structure on the basis of the content of the job and subsequently making placements or various people is generally carried out. However, first assigning a job and later shaping an organization structure can also happen. Some thinkers are of the opinion that beginning to allot the task should be made at the top level coming down to the bottom level. While others feel that the bottom level tasks should be allotted at the beginning and gradually moving up the ladder and making allocation. It is not important as to which approach is taken in making an organization structure, what is important is grouping or jobs and activities, delegation of authority and utilization or resources to its full capacity. It is also important to keep in mind that each job is confirmed to a single person, and adequate care is taken for narrow specialization within the structure of the organization.

TYPES OF ORGANIZATION STRUCTURE

There are different types of organizational structures and a company should choose the one that best suits their needs.

Traditional Structures

These are the structures that are based on functional division and departments. These are the kind of structures that follow the organization's rules and procedures. They are characterized by having precise authority lines for all levels in the management. Under types of structures under traditional structures are:

- **Line Structure**

This is the kind of structure that has a very specific line of command. The approvals and orders in this kind of structure come from top to bottom in a line. Hence the name line structure. This kind of structure is suitable for smaller organizations like small accounting firms and law offices. This is the sort of structure that allows for easy decision-making, and also very informal in nature. They have fewer departments, which makes the entire organization a much decentralized one.

- **Line and Staff Structure**

Though line structure is suitable for most organizations, especially small ones, it is not effective for larger companies. This is where the line and staff organizational structure comes into play. Line and structure combines the line structure where information and approvals come from top to bottom, with staff departments for support and specialization. Line and staff organizational structures are more centralized. Managers of line and staff have authority over their subordinates, but staff managers have no authority over line managers and their subordinates. The decision-making process becomes slower in this type of organizational structure because of the layers and guidelines that are typical to it, and let’s not forget the formality involved.

Figure3b: Line structure

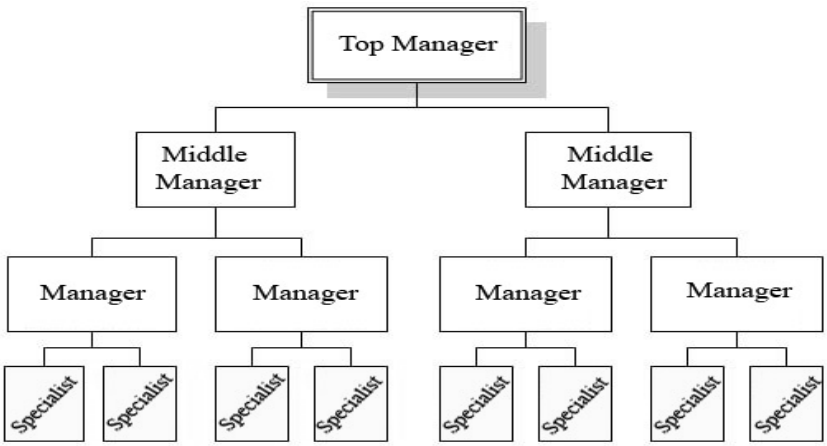
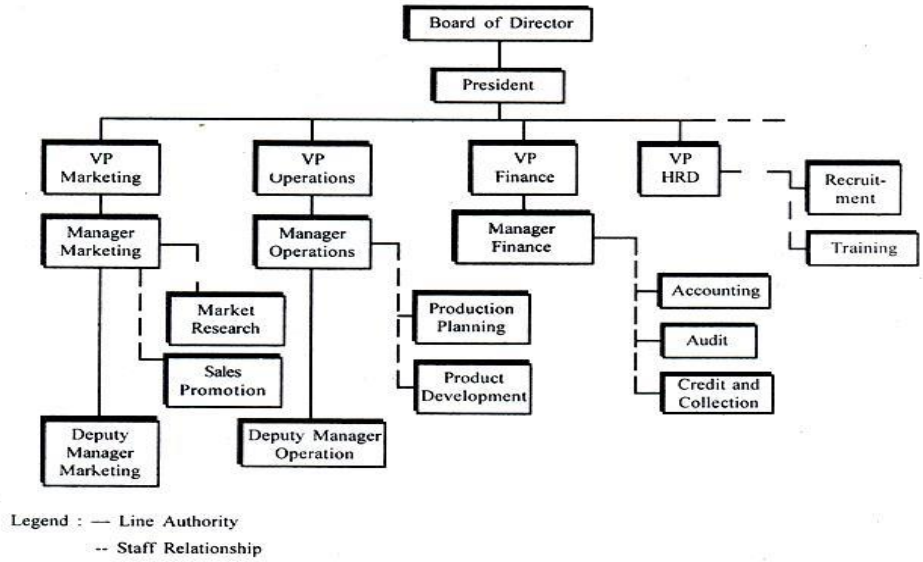


Figure3c: Line and Staff structure



- **Functional structure**

This kind of organizational structure classifies people according to the function they perform in their professional life or according to the functions performed by them in the organization. The organization chart for a functional based organization consists of Vice President, Sales department, Customer Service Department, Engineering or production department, accounting department and Administrative department.

Figure3d: Functional structure

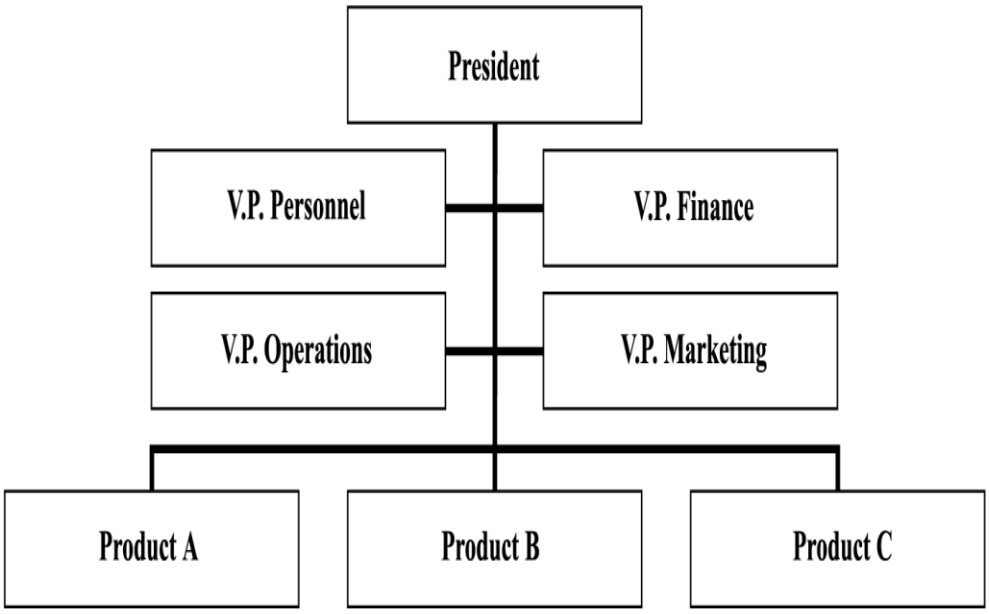
Divisional Structures

This is the kind of structure that is based on the different divisions in the organization. These structures can be further divided into:

- **Product structure**

A product structure is based on organizing employees and work on the basis of the different types of products. If the company produces three different types of products, they will have three different divisions for these products.

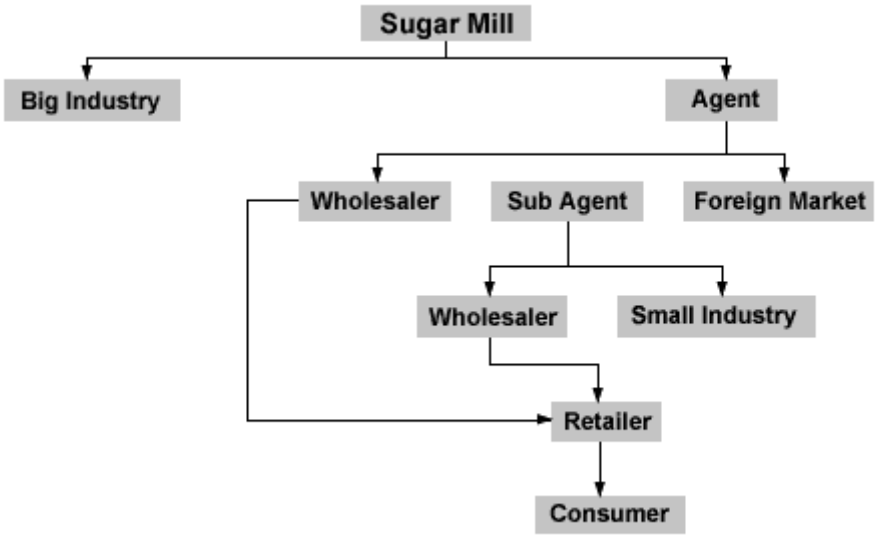
Figure3e: Product structure



- **Market Structure**

Market structure is used to group employees on the basis of specific market the company sells in. A company could have 3 different markets they use and according to this structure, each would be a separate division in the structure.

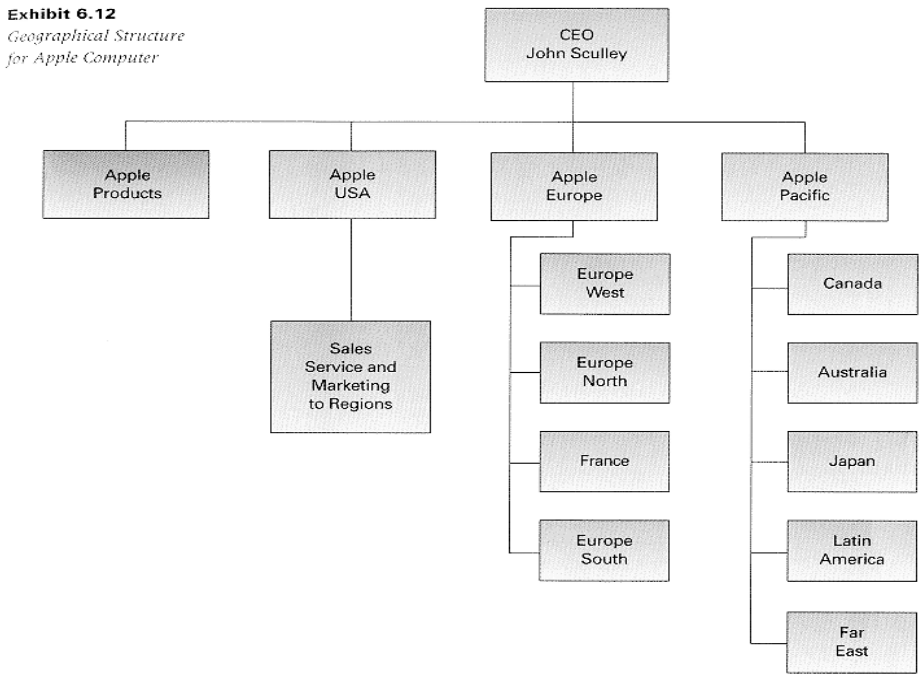
Figure3f: Market structure



- **Geographic structure**

Large organizations have offices at different place, for example there could be a north zone, south zone, west and east zone. The organizational structure would then follow a zonal region structure.

Figure3g: Geographic structure

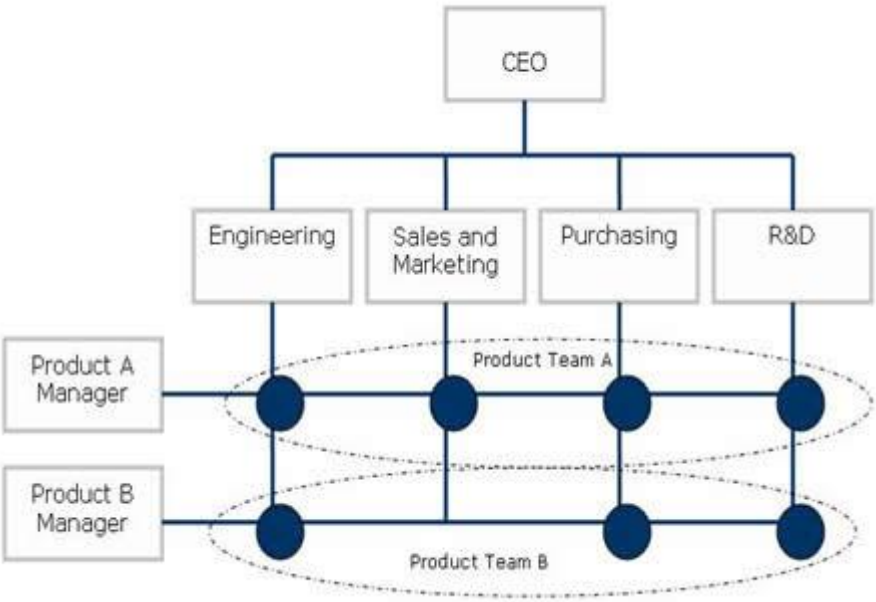


- **Matrix Structures**

This is a structure, which is a combination of function, and product structures. This combines both the best of both worlds to make an efficient organizational structure. This structure is the most complex organizational structure.

It is important to find an organizational structure that works best for the organization, as the wrong set up could hamper proper functioning in the organization.

Figure3h: Matrix structure



The new organization structure or management style

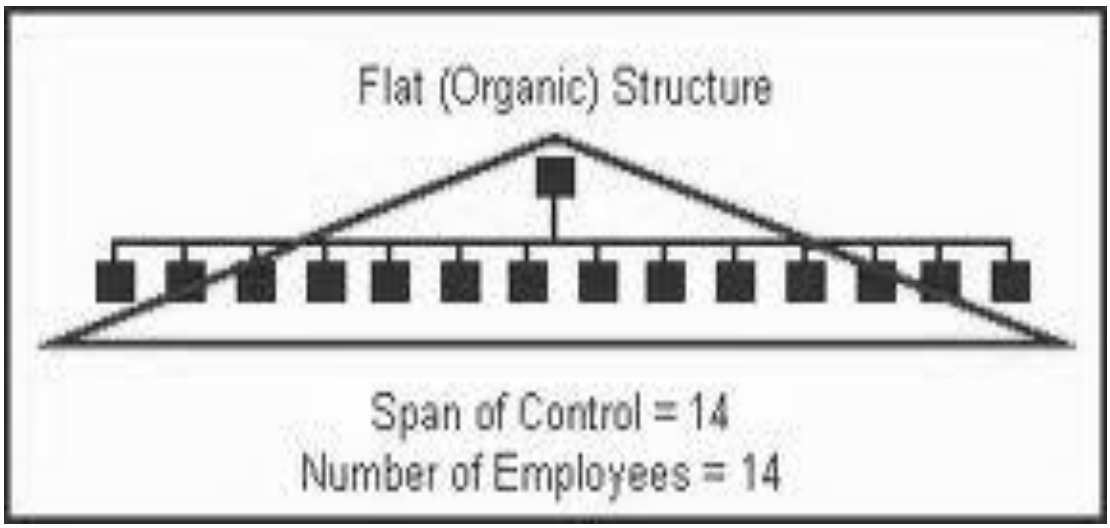
The new organization structure has no clearly defined boundary separating management from employees. It is a more flat and open structure known as the "humanistic" or "organic" style of management whereby employees and managers are seen as equal partners working towards a common goal. It is a more humane and "long-term thinking" style of management that permits the decision-making process to be distributed throughout the organization as a way of tapping onto the creativity and experience of its staff.

Among the more common aspects of this new style of management are as follows:

1. Self-managing individuals and work teams.
2. People become more multi - skilled so there are fewer job classifications.
3. Greater investment in learning and training for everyone.
4. Few status distinctions.
5. More goal-oriented and less emphasis on how people do the work.
6. Incentives for employees to perform work are less financially-based (eg. salary).
7. Greater employment security.
8. A policy that decisions will be made by consensus.
9. Flexible outsourcing arrangements.
10. A flexible (yet stable) management structure. Flexible to the point of learning from its employees and stable in the sense that it is developing long-term quality solutions for the organization.

The only potential problem with this management style is what happens if the organization suddenly finds itself in a survival situation. Would the staff be too complacent and happy achieving the goals of the organization without finding ways of being able to quickly respond to the emergency? Perhaps they may expect other people to have the skills to handle the problem?

Figure3i Flat / Organic structure



3.2. GROUPS IN ORGANIZATION

DEFINITION

A group is a set of two or more individuals who are jointly characterized by a network of relevant communications, a shared sense of collective identity and one or more shared dispositions with associated normative strength.

- ***David H Smith***

A group may de defined as a social phenomenon in which two or more persons decide to interact with one another, share common ideology and perceive themselves as a group.

- ***Edgar H Schien***

CHARACTERISITICS OF A GROUP

- **Social interaction**

One of the most obvious characteristics of group is that they are composed of two or more people in social interaction. In other words, the members of group must have influence on each other. The interaction between parties may either verbal or non - verbal, but the parties must have some impact on.

- **Stable structure**

Group also must posses a stable structure. Although groups can change, and often do, there must be some stable relationships that keep group members together and functioning as an unit.

- **Common Interest**

Another characteristic of groups is that their members share common interests or goals.

- **Perceive themselves as part of group**

Finally, to be a group, the individuals involved must perceive themselves as a group. Group is composed of people who recognize each other as a member of their group and can distinguish these individuals from non - members.

TYPES OF GROUPS

In an organization, there are three types of groups, which are as follows:

- **Functional or formal groups**

Functional groups are the groups formed by the organization to accomplish different organizational purposes. According to A L Stencombe, "a formal group is said to be any social arrangement in which the activities of some persons are planned by others to achieve a common purpose". These groups are permanent in nature. They have to follow rules, regulations and policy of the organization. A formal organizational group includes departments such as the personnel department, the advertising department, the quality control department and the public relations department.

- **Task group**

Tasks groups are the groups formed by an organization to accomplish a narrow range of purposes within a specified time. These groups are temporary in nature. They also develop a solution to a problem or complete its purpose. Informal committees, task forces and work teams are included in task groups. The organization after specifying a group membership, assigns a narrow set of purposes such as developing a new product, evaluating a proposed grievance procedure, etc.

- **Informal group**

Informal groups are the groups formed for the purposes other than the organizational goals. Informal groups form when individuals are drawn together by friendship, by mutual interests or both. These groups are spontaneous. According to Keith David, "the network of persons and social relations which is not established or required form an informal organization". These are the groups formed by the employees themselves at the workplace while working together. The organization does not take any active interest in their formation. Informal groups are very effective and powerful. These groups work as an informal communication network forming a part of the grapevine to the organizations. They are also like a powerful force, which an organization cannot avoid. Some managers consider them to be harmful to the interest of an organization. They suspect their integrity and consider as a virtual threat. Some managers do not consider them as threat and seek the help of group members in getting the organizational task accomplished. Informal groups are of following types:

- **Interest group**

Interest groups are the groups formed to attain a common purpose. Employees coming together for payment of bonus, increase in salary, medical benefit and other facilities are the examples of interest groups.

- **Membership group**

Membership groups are the groups of individuals' belonging to the same profession and knowing each other. For example, teachers of the same faculty in a university.

- **Friendship group**

Friendship groups are the groups of individuals belonging to same age group, having similar views, tastes and opinions. These groups can also be formed outside the plant or office and can be in the form of clubs and associations.

- **Reference group**

Reference groups are the group where individuals shape their ideas, beliefs, values etc. They want support from the group.

INFLUENCE OF INFORMAL GROUPS IN ORGANIZATION

Influence is defined as the ability to effect the perceptions, attitudes, or behaviors of others. Informal groups are important not only from the view point of their members; they have a great utility from

organization's point of view also. They help the organization in better administration by performing the following functions:

- **Filling in gaps in manager's abilities**

Informal organization may act to fill in gaps in a manager's abilities. For example, if a manager is weak in planning, one of his subordinates may help him informally in such a situation.

- **Solving work problems**

Informal organization helps in solving the work problems of members. It allows them sharing job knowledge and taking decisions which affect a number of jobs.

- **Better coordination**

Informal groups evolve short - cuts and eliminate red tapism. They facilitate smooth flow of information and quick decision - making. All these ensure better coordination among various individuals and departments.

- **Channel of communication**

Informal groups act to fill up the communication gaps, which arise in the organization. Informal communication cuts across the hierarchical and departmental boundaries and transmits information with greater speed.

- **Restraint on managers**

Informal groups do not allow the managers to cross their limits. They restrict them from acquiring unlimited power and from using their power injudiciously.

- **Better relations**

A manager can build better relations with subordinates through informal contacts. He can consult the informal leaders and seek their cooperation in getting the things done from the workers.

- **Norms of behaviour**

Informal groups develop certain norms of behaviour, which differentiate between good and bad conduct and between legitimate and illegitimate activities. These bring discipline and order among the employees.

- **Satisfied workforce**

Cohesive informal groups provide satisfaction to the workers. As a result, labour turnover and absenteeism are reduced and organization's productivity is increased.

- **Developing future executives**

Informal groups recognize talented workers as their leaders. Such leaders can be picked by the management to fill vacancies at the junior executive level in the future.

GROUP DYNAMICS

MEANING

The term "Group Dynamics" contains two terms : Group and Dynamics. Group is basically a collectively of two or more persons. Dynamics comes from Greek word and meaning is force. Group dynamics is a social process by which people interact face - to - face in small groups. It encompasses the dynamic of interaction patterns within the group, the subtle and the non - subtle pressures exerted by group members, the manner in which decisions are made in the group, how work gets done and how member needs are satisfied. **Kurt Levin** popularized the term Group Dynamics in 1930's.

FEATURES OF GROUP DYNAMICS

- **Perception**

Every member of the group have face - to - face meetings. They develop some impression or perception about each other and give their reactions to each other. Each member perceives the group differently, which he reveals at some situations.

- **Motivation**

Members join groups because they expect that the group will solve their problems. They want progress and promotion which are achieved through group performance. Employees join groups to get their pay and working problems redressed.

- **Group goals**

Group goals are targets towards which input, process and output are directed. If people of a group accept responsibility, group activities are evolved and workers perform successfully.

- **Group organization**

Group is an organization which is composed of different organs to attain certain objectives. A group has the structural elements of an effective organization. Similarly, it has a set of norms that regulate the functions of the group. A number of individuals in the group have definite status, role relationship, set of values and own regulating behaviour.

- **Interdependency**

The main feature of a group is the members' interdependence. If the individuals start supporting each other and interact with each other, they form a group. If they develop it as a permanent system, it becomes an organization. Interdependence must be dynamic.

- **Interaction**

Members of a group must interact with each other. If they are interdependent but do not interact, the group's goals are not achieved. If any problem arises, the interaction of all the members is needed to solve the problem.

- **Entity**

A group has its own identity. It has similarity and proximity. It is felt and realized but cannot be seen. The collection of individual experiences becomes the guidelines for the members. Vicinity and proximity have given birth to the group.

IMPORTANCE OF GROUP DYNAMICS

- Group dynamics is increasingly important in an organization due to changes in an organization.
- Managers can bring out higher performance by weighing the characteristics of members who assigned with particular job / task.
- Group members have task - relevant expertise and appropriate interpersonal skills for accomplishment of tasks.
- The size of the group has also plays significant role in improving the group's performance.
- In the case of mid - sized groups, it consists of five to seven members that seem to be an optimum size in an organization.
- In the case of smaller groups, it can often intensify individual differences in team work.
- In the case of large groups which tend to be when working in groups than when working alone.
- Provide free riding is particularly likely when members exhibit individualism rather than collectivism.

EMERGENCE OF INFORMAL LEADERS

Groups are unique and evolving entities. The individuals within the group help determine the way the group will operate by selecting their leaders from those who have the special skills or abilities needed by their group. An informal leader is someone within an organization or work unit who, by virtue of how he or she is perceived by his peers is seen as worthy of paying attention to, or following. The major thing that distinguishes an informal leader from a formal one is that the informal leader does not hold a position of power or formal authority over those that choose to follow him or her. The ability for an informal leader to influence or lead others rests on the ability of that person to evoke respect, confidence, and trust in others, and it is not uncommon for an informal leader to not intentionally try to lead. Informal leaders can be exceedingly valuable to organizations, and to the success of formal leaders, or, if informal leaders do not support the formal leaders and their agendas and vision, they can function as barriers in the organization. However, a successful leader of one group will not necessarily be the acknowledged leader in another. Although elected to an office, a person may not have the required capabilities or be seen by others as directing the group activities. This is especially true when other group members are more clearly expressing leadership qualities. In this situation, the other individuals can be helpful or disruptive to the established leadership.

WORKING NORMS OF GROUPS

Group norms are the informal rules that groups adopt to regulate members' behavior. Norms are characterized by their evaluative nature; that is, they refer to what should be done. Norms represent value judgments about appropriate behavior in social situations. Although they are infrequently written down or even discussed, norms have powerful influence on group behavior. If each individual in a group decided how to behave in each interaction, no one would be able to predict the behavior of any group member; chaos would reign. Norms guide behavior and reduce ambiguity in groups.

Groups do not establish norms about every conceivable situation but only with respect to things that are significant to the group. Norms might apply to every member of the group or to only some members. Norms that apply to particular group members usually specify the role of those individuals. Norms vary in the degree to which they are accepted by all members of the group: some are accepted by almost everyone, others by some members and not others. For example, university faculty and students accept the faculty norm of teaching, but students infrequently accept the norm of faculty research. Finally, norms vary in terms of the range of permissible deviation; sanctions, either mild or extreme, are usually applied to people for breaking norms. Norms also differ with respect to the amount of deviation that is tolerable. Some norms require strict adherence, but others do not. Understanding how group norms develop and why they are enforced is important to managers. Group norms are important determinants of whether a group will be productive. A work group with the norm that its proper role is to help management will be far more productive than one whose norm is to be antagonistic to management. Managers can play a part in setting and changing norms by helping to set norms that facilitate tasks, assessing whether a group's norms are functional, and addressing counterproductive norms with subordinates.

Norms usually develop slowly as groups learn those behaviors that will facilitate their activities. However, this slow development can be short-circuited by critical events or by a group's decision to change norms. Most norms develop in one or more of four ways:

(1) explicit statements by supervisors or coworkers

(2) critical events in the group's history

(3) primacy, or by virtue of their introduction early in the group's history

(4) carryover behaviors from past situations

Why are group norms enforced? The most important reason is to ensure group survival. They are also enforced to simplify or make predictable the expected behavior of group members. That is, they are enforced to help groups avoid embarrassing interpersonal problems, to express the central values of the group, and to clarify what is distinctive about it.

GROUP DECISION MAKING

MEANING

Group decision making is a type of participatory process in which multiple individuals acting collectively, analyze problems or situations, consider and evaluate alternative courses of action, and select from among the alternatives a solution or solutions. The number of people involved in group decision-making varies greatly, but often ranges from two to seven. The individuals in a group may be demographically similar or quite diverse. Decision-making groups may be relatively informal in nature, or formally designated and charged with a specific goal. The process used to arrive at decisions may be unstructured or structured. The nature and composition of groups, their size, demographic makeup, structure, and purpose, all affect their functioning to some degree. The external contingencies faced by groups (time pressure and conflicting goals) impact the development and effectiveness of decision-making groups as well. In organizations many decisions of consequence are made after some form of group decision-making process is undertaken. However, groups are not the only form of collective work arrangement. Group decision-making should be distinguished from the concepts of teams, teamwork, and self managed teams. Although the words teams and groups are often used interchangeably, scholars increasingly differentiate between the two. The basis for the distinction seems to be that teams act more collectively and achieve greater synergy of effort. Katzenback and Smith spell out specific differences between decision making groups and teams:

- The group has a definite leader, but the team has shared leadership roles
- Members of a group have individual accountability; the team has both individual and collective accountability.
- The group measures effectiveness indirectly, but the team measures performance directly through their collective work product.
- The group discusses, decides, and delegates, but the team discusses, decides, and does real work.

GROUP DECISION MAKING TECHNIQUES

There are many methods or procedures that can be used by groups. Each is designed to improve the decision-making process in some way. Some of the more common group decision-making methods are brainstorming, dialetical inquiry, nominal group technique, and the Delphi technique.

Brainstorming

Brainstorming involves group members verbally suggesting ideas or alternative courses of action. The "brainstorming session" is usually relatively unstructured. The situation at hand is described in as much detail as necessary so that group members have a complete understanding of the issue or problem. The group leader or facilitator then solicits ideas from all members of the group. Usually, the group leader or facilitator will record the ideas presented on a flip chart or marker board. The "generation of alternatives" stage is clearly differentiated from the "alternative evaluation" stage, as

group members are not allowed to evaluate suggestions until all ideas have been presented. Once the ideas of the group members have been exhausted, the group members then begin the process of evaluating the utility of the different suggestions presented. Brainstorming is a useful means by which to generate alternatives, but does not offer much in the way of process for the evaluation of alternatives or the selection of a proposed course of action. One of the difficulties with brainstorming is that despite the prohibition against judging ideas until all group members have had their say, some individuals are hesitant to propose ideas because they fear the judgment or ridicule of other group members. In recent years, some decision-making groups have utilized electronic brainstorming, which allows group members to propose alternatives by means of e-mail or another electronic means, such as an online posting board or discussion room. Members could conceivably offer their ideas anonymously, which should increase the likelihood that individuals will offer unique and creative ideas without fear of the harsh judgment of others.

Dialetical inquiry

Dialetical inquiry is a group decision-making technique that focuses on ensuring full consideration of alternatives. Essentially, it involves dividing the group into opposing sides, which debate the advantages and disadvantages of proposed solutions or decisions. A similar group decision-making method, devil's advocacy, requires that one member of the group highlight the potential problems with a proposed decision. Both of these techniques are designed to try and make sure that the group considers all possible ramifications of its decision.

Nominal group technique

The nominal group technique is a structured decision making process in which group members are required to compose a comprehensive list of their ideas or proposed alternatives in writing. The group members usually record their ideas privately. Once finished, each group member is asked, in turn, to provide one item from their list until all ideas or alternatives have been publicly recorded on a flip chart or marker board. Usually, at this stage of the process verbal exchanges are limited to requests for clarification—no evaluation or criticism of listed ideas is permitted. Once all proposals are listed publicly, the group engages in a discussion of the listed alternatives, which ends in some form of ranking or rating in order of preference. As with brainstorming, the prohibition against criticizing proposals as they are presented is designed to overcome individuals' reluctance to share their ideas. Empirical research conducted on group decision making offers some evidence that the nominal group technique succeeds in generating a greater number of decision alternatives that are of relatively high quality.

Delphi technique

The Delphi technique is a group decision-making process that can be used by decision-making groups when the individual members are in different physical locations. The technique was

developed at the Rand Corporation. The individuals in the Delphi "group" are usually selected because of the specific knowledge or expertise of the problem they possess. In the Delphi technique, each group member is asked to independently provide ideas, input, and/or alternative solutions to the decision problem in successive stages. These inputs may be provided in a variety of ways, such as e-mail, fax, or online in a discussion room or electronic bulletin board. After each stage in the process, other group members ask questions and alternatives are ranked or rated in some fashion. After an indefinite number of rounds, the group eventually arrives at a consensus decision on the best course of action.

ADVANTAGES AND DISADVANTAGES OF GROUP DECISION MAKING

Advantages

Group decision-making, ideally, takes advantage of the diverse strengths and expertise of its members. By tapping the unique qualities of group members, it is possible that the group can generate a greater number of alternatives that are of higher quality than the individual. If a greater number of higher quality alternatives are generated, then it is likely that the group will eventually reach a superior problem solution than the individual. Group decision-making may also lead to a greater collective understanding of the eventual course of action chosen, since it is possible that many affected by the decision implementation actually had input into the decision. This may promote a sense of "ownership" of the decision, which is likely to contribute to a greater acceptance of the course of action selected and greater commitment on the part of the affected individuals to make the course of action successful.

Disadvantages

There are many potential disadvantages to group decision-making. Groups are generally slower to arrive at decisions than individuals, so sometimes it is difficult to utilize them in situations where decisions must be made very quickly. One of the most often cited problems is groupthink. Irving Janis, in his 1972 book *Victims of Groupthink*, defined the phenomenon as the "deterioration of mental efficiency, reality testing, and moral judgment resulting from in-group pressure." Groupthink occurs when individuals in a group feel pressure to conform to what seems to be the dominant view in the group. Dissenting views of the majority opinion are suppressed and alternative courses of action are not fully explored. Research suggests that certain characteristics of groups contribute to groupthink. In the first place, if the group does not have an agreed upon process for developing and evaluating alternatives, it is possible that an incomplete set of alternatives will be considered and that different courses of action will not be fully explored. Many of the formal decision-making processes (e.g., nominal group technique and brain-storming) are designed, in part, to reduce the potential for groupthink by ensuring that group members offer and consider a large number of decision alternatives. Secondly, if a powerful leader dominates the group, other group members may quickly

conform to the dominant view. Additionally, if the group is under stress and/or time pressure, groupthink may occur. Finally, studies suggest that highly cohesive groups are more susceptible to groupthink. Group polarization is another potential disadvantage of group decision-making. This is the tendency of the group to converge on more extreme solutions to a problem. The "risky shift" phenomenon is an example of polarization; it occurs when the group decision is a riskier one than any of the group members would have made individually. This may result because individuals in a group sometimes do not feel as much responsibility and accountability for the actions of the group as they would if they were making the decision alone. Decision-making in groups is a fact of organizational life for many individuals. Because so many individuals spend at least some of their work time in decision-making groups, groups are the subjects of hundreds of research studies each year. Despite this, there is still much to learn about the development and functioning of groups. Research is likely to continue to focus on identifying processes that will make group decision-making more efficient and effective. It is also likely to examine how the internal characteristics of groups (demographic and cognitive diversity) and the external contingencies faced by groups affect their functioning.

INTERPERSONAL RELATIONSHIP

MEANING

An interpersonal relationship is an association between two or more people that may range from fleeting to enduring. This association may be based on love, solidarity, regular business interactions, or some other type of social commitment. Interpersonal relationships are formed in the context of social, cultural and other influences. The context can vary from family or kinship relations, friendship, marriage, relations with associates, work, clubs, neighborhoods, and places of worship. They may be regulated by law, custom, or mutual agreement, and are the basis of social groups and society as a whole.

WORKING ON INTERPERSONAL RELATIONSHIPS IN GROUPS

1. Allow time for introductions.
2. Acknowledge that all members have needs and sensitive feelings.
3. Understand and respect the background and cultural norms of group members; this is especially important if they differ from your own.
4. Make accommodations for differences [e.g., language interpreters for multi - cultural groups or logistical support to meet needs of people with disabilities]
5. Listen actively and non - judgmentally to what each person is saying.
6. Accept that there may be more uncertainty and perhaps anxiety in the meeting process when many types of people are involved.
7. Beware of your own biases; do not stereotype people.

8. Be honest.
9. Be humble.
10. Show enthusiasm

COMMUNICATION WITHIN GROUPS

Group communication is the messages that are sent and received within any group larger than two through verbal and non - verbal communication. Verbal communication is any message that is communicated with oral words while non-verbal communication is every other aspect that sends a message. For example, when the leader of the group makes an announcement, she / he will verbally communicate the instructions and then may walk by later to check - up on the group. The walking by is non - verbal communication saying, " I 'm watching."

Some of the points to be considered while communicating within groups. They are as follows.

1. Group communication is significant because it has the ability to either build the group or tear it down.
2. A misconception in group communication is that it is primarily verbal. In actuality, the non - verbal messages sent within the group can have a greater affect on the morale of the group.
3. It is important to consider delegation in group communication. Using delegation in the communication process helps to get the message out faster and more efficiently.
4. The function of group communication is to empower and inform the group with one vision and common goal which increases motivation and productivity.

CONTROL IN GROUPS

Controlling group performance is a close companion of the competency setting the example. The coordination of individual efforts for collective purpose is externally and internally controlled - by the leader and each individual herself. Setting the example is a personal, internal manner of control that we hope others will model [when it's positive and appropriate].

The leader sets the example by doing what he expects other to do:

1. Doing his own job well.
2. Following instructions with little or no supervision.
3. Trying his hardest.
4. Behaving maturely.
5. Showing a positive attitude.

3.3. TEAM BUILDING

DEFINITION OF TEAM

Team is defined as a small number of people with complementary skills who are committed to a common purpose, performance goals, and approach for which they hold themselves mutually accountable.

- ***Katzenbach and Smith***

FEATURES OF A TEAM

Members of a team:

- Are committed to goals they have defined.
- Support one another willingly.
- Trust and support others.
- Offer suggestions and give feedback to other members.
- May disagree but work to resolve differences and reach consensus.

NEED AND SIGNIFICANCE OF TEAMS AT WORK PLACE

- Increased employee satisfaction
- Improved communication
- Organizational flexibility
- Increased employee motivation
- Common commitment to goals
- Expanded job skills
- Higher level of productivity

TEAM BUILDING

MEANING

A team is a group of people working towards a common goal. 'Team Building' is the process of enabling that group of people to reach their goal.

TEAM BUILDING PROCESS

The following are the steps to be followed in the process of team building.

1. Problem - sensing

At this stage generally most of the members come forward with their arguments as to what the real problems are. The view may be quite different ranging from the organizational problem, group problems to even personal problems. In problem identification, the emphasis should be on consensus.

2. Examining differences

The perception of people on an issue differs because of their differing backgrounds, such as their value systems, personality and attitudes. The perception may be brought to conformity through the

process of exercise on perception which involves a number of psychological exercises particularly on perpetual differences.

3. Giving and receiving feedback

The step of perceiving things and listening to each other may be relayed back to the members as there is a possibility that such processes may create tense situation in the group often, members report about the painful feelings that they have at the time of evaluation of their feelings. The discussion should continue until all members of the team have commented. The feedback should be given to the members about their feelings, about the issue, the way people talk about the issue, etc. Such feedback generally provides members to evaluate the values but at the same time, also provides opportunity to understand themselves.

4. Developing interactive skills

The basic objective of this process is to increase the ability among the people as to how they should interact with others and engage in constructive and negative behaviours.

1. Constructive bahviour

- **Building:** Developing and expanding the ideas of others.
- **Bringing in:** Harmonizing, encouraging others to participate.
- **Clarifying:** Resting, ensuring, understanding, seeking relevant information.
- **Innovating**: Bringing in new relevant ideas, information, feelings, etc.

2. Negative behaviour

- **Over talk:** Interrupting, talking together with speaker
- **Attacking:** Deriding, criticizing person

At the time of discussion of feedback, people themselves take assignments to increase specific constructive behaviours and decrease negative behaviours. If this process is adopted several times, there is a strong possibility that members may learn constructive behaviours and leave negative behaviours. This is quite helpful in developing teamwork.

5. Follow - up action

This is the final stage in team building. At this stage, the total team is convened to review what has been learned and to identify what the next step should be. Follow - up action also helps in overcoming the drawback grouped at the initial stages of team building. It involves deciding who will take care of each area of the teams responsibilities and who will be responsible for team projects in a group that has not developed a satisfactory division of responsibility; clarifying and settling differences in perception concerning responsibility and authority in the team, with complex division of responsibility and authority among members.

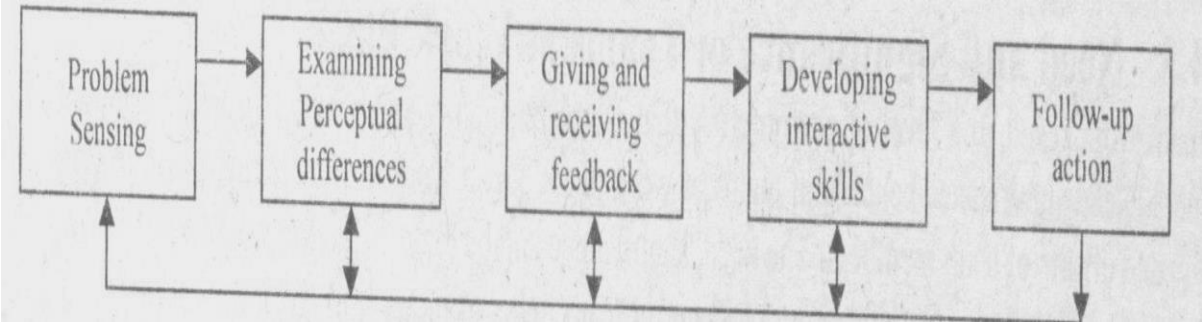


Figure3j: Process of Team Building

These attempts bring co-operative and supportive feelings among people involved in the team functioning. When this exercise is undertaken at the initial stage, it contributes positively towards the feelings of the people. However, to encourage and sustain such feelings, management should take such actions at regular intervals so that members feel reinforced and sustain their positive behaviour. Such actions will go a long way in shopping the organizational climate quite conducive to members for their efficient working.

GUIDELINES FOR TEAM BUILDING

1. Emphasize common interest and values
2. Use ceremonies and Rituals
3. Use symbols to develop identification with the group
4. Encourage and facilitate social interaction
5. Tell people about group activities and achievements
6. Conduct process analysis sessions
7. Conduct alignment sessions
8. Increase incentives for mutual cooperation

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QUESTION BANK

TWO MARKS

1. Define Organization Structure.
2. What are the features of good organization structure?
3. Define Group.
4. What are the characteristics of a group?

5. In what ways, informal groups help the organization?
6. Define Group Dynamics.
7. What is meant by Group Decision Making?
8. Brief on communication within groups.
9. Brief on control in groups.
10. Define Team.
11. What is Team Building?
12. What are the guidelines to be followed for team building?

SIXTEEN MARKS

1. What are the steps to be followed in the formation of organization structure?
2. What are the different types of organization structure?
3. What are the different types of group?
4. What are the features of group dynamics?
5. Discuss about the importance of group dynamics in the organization.
6. What are the different of methods of group decision making and discuss about advantages and disadvantages of group decision making in detail.
7. How to work on interpersonal relationships in group?
8. What are the features of a team and discuss about the significance of teams at workplace?
9. Explain the process of team building.

UNIT - IV

4. LEADERSHIP AND POWER

4.1. LEADERSHIP

- **MEANING**
- **IMPORTANCE**
- **LEADERSHIP STYLES**
- **THEORIES**
- **LEADERS Vs. MANAGERS**

4.2. POWER

- **SOURCES OF POWER**
- **POWER CENTERS**
- **POLITICS**

4.1. LEADERSHIP

MEANING

Leadership is the process of influencing the behaviour of others to work willingly and enthusiastically for achieving predetermined goals. It is the ability of a leader to induce subordinates to work with confidence and zeal. Leadership changes potential into reality. It is the final act that brings to success or the potential, i.e., in an organization and its people. Thus, leadership is the ability to influence a group toward the achievement of goals.

DEFINITION

Leadership is ultimately about creating a way for people to contribute to making something extraordinary happen.

- ***Alan Keith***

CHARACTERISTICS OF LEADERSHIP

1. Leadership is a process of influence
2. Leadership is related to a situation
3. Leadership is the function of simulation
4. Leadership gives an experience of helping attain the common objectives
5. Employees must be satisfied with the type of leadership provided
6. There must be followers
7. Working relationship between leader and followers
8. Community of interests

IMPORTANCE OF LEADERSHIP

Leadership is an important function of management which helps to maximize efficiency and to achieve organizational goals.

The following points justify the importance of leadership in a concern.

1. Initiates action

Leader is a person who starts the work by communicating the policies and plans to the subordinates from where the work actually starts.

2. Motivation

A leader proves to be playing an incentive role in the concern's working. He motivates the employees with economic and non-economic rewards and thereby gets the work from the subordinates.

3. Providing guidance

A leader has to not only supervise but also play a guiding role for the subordinates. Guidance here means instructing the subordinates the way they have to perform their work effectively and efficiently.

4. Creating confidence

Confidence is an important factor which can be achieved through expressing the work efforts to the subordinates, explaining them clearly their role and giving them guidelines to achieve the goals effectively. It is also important to hear the employees with regards to their complaints and problems.

5. Building morale

Morale denotes willing co-operation of the employees towards their work and getting them into confidence and winning their trust. A leader can be a morale booster by achieving full co-operation so that they perform with best of their abilities as they work to achieve goals.

6. Builds work environment

Management is getting things done from people. An efficient work environment helps in sound and stable growth. Therefore, human relations should be kept into mind by a leader. He should have personal contacts with employees and should listen to their problems and solve them. He should treat employees on humanitarian terms.

7. Co-ordination

Co-ordination can be achieved through reconciling personal interests with organizational goals. This synchronization can be achieved through proper and effective co-ordination which should be primary motive of a leader.

LEADERSHIP STYLES

Leadership style refers to a leader's behavior. It is the result of the philosophy, personality, and experience of the leader.

There are 3 major types of leadership style. They are as follows:

1. Authoritarian / Autocratic Leader

Under the autocratic leadership style, all decision-making powers are centralized in the leader, as with dictators. Leaders do not entertain any suggestions or initiatives from subordinates. The autocratic management has been successful as it provides strong motivation to the manager. It permits quick decision-making, as only one person decides for the whole group and keeps each decision to him/herself until he/she feels it needs to be shared with the rest of the group.

2. Participative / Democratic Leader

The democratic leadership style favors decision-making by the group. Such a leader gives instructions after consulting the group. They can win the cooperation of their group and can motivate them effectively and positively. The decisions of the democratic leader are not unilateral as with the autocrat because they arise from consultation with the group members and participation by them.

Figure 4a: Leadership styles

I WANT BOTH OF YOU TO.....
[Authoritarian / Autocratic Leader]

LET'S WORK TOGETHER TO SOLVE THIS
[Participative / Democratic Leader]

YOU TWO TAKE OF THE PROBLEM WHILE I GO.....
[Delegate / Free Rein / Laissez Faire Leader]

3. Delegate / Free Rein / Laissez Faire Leader

A free-rein leader does not lead, but leaves the group entirely to itself. Such a leader allows maximum freedom to subordinates; they are given a free hand in deciding their own policies and methods. Different situations call for different leadership styles. In an emergency when there is little time to converge on an agreement and where a designated authority has significantly more experience or expertise than the rest of the team, an autocratic leadership style may be most effective; however, in a highly motivated and aligned team with a homogeneous level of expertise, a more democratic or laissez-faire style may be more effective. The style adopted should be the one that most effectively achieves the objectives of the group while balancing the interests of its individual members.

Although good leaders use all three styles, with one of them normally dominant, bad leaders tend to stick with one style.

LEADERSHIP THEORIES

Many leadership theories have been suggested since time immemorial. Early leadership theories focused on the behaviour and qualities of successful leaders where as later theories gave more importance to the role of associates and followers.

Some of the leadership theories are as follows:

Great Man Theory

According to Great Man theory, a leader is born and cannot be made. This theory believed that leaders are people who have inborn exceptional qualities and are destined to lead. Here the term "Man" is used since leadership was considered as a concept that would be primarily dominated by males. Great leaders would arise only when there is an urgent need of it. It also suggests that leadership qualities are inherent.

Trait Theory

According to Trait theory, few people are born with qualities that are suited to leaderships. People who transform into good leaders posses right combination of leadership qualities. Through this approach, people with such leadership qualities could be separated and then people with such qualities could be recruited or selected into leadership positions. This approach was commonly used in military and is even today used to recruit candidates for commission.

Contingency Theory

This theory focuses on variables that are related to environment and that would determine which style of leadership is suitable for a particular situation. It says that it is impossible to determine which leadership style will suit best for any situation. Success depends on qualities of followers and other variables.

Situational Theories

This theory suggests that on the basis of situational variable, leaders should choose the course of action. Diverse styles of leadership will me more suitable to make certain types of decisions

Behavioral Theories

This theory believes that great leaders are not born but are made. The prime focus of this theory is on actions of leaders. The focus is not on internal states or mental qualities. This theory believes that people can become leaders through the process of teaching, learning and observation.

Participative Theory

This theory defines ideal leadership style. An ideal leadership style takes into consideration the input of its associates. Such leaders encourage contribution and participation from group members. The leader also has the right to say no to any suggestion of other team member.

Management Theories

This theory gives more importance to the role of organization, supervision and most importantly the group performance. This theory is based on the system of punishment and reward. Managerial theory is often used in many companies. When employee's performance is very good, he or she is given a reward. If the employee's performance decreases below a certain level, he or she is punished.

Relationship Theory

This theory also called Transformational theory focuses on the connections that are formed between followers and leaders. These leaders inspire and motivate people. They also help group members in case of any difficulty. Such leaders focus on performance of members of group. These leaders have high moral values.

Path Goal Theory

This theory focuses on what leaders should do to motivate and inspire people so that the employees can perform well.

LEADERS Vs. MANAGERS

"Leadership and managership are two synonymous terms" is an incorrect statement. Leadership doesn't require any managerial position to act as a leader. On the other hand, a manager can be a true manager only if he has got the traits of leader in him. By virtue of his position, manager has to provide leadership to his group. A manager has to perform all five functions to achieve goals, i.e., Planning, Organizing, Staffing, Directing, and Controlling. Leadership is a part of these functions. Leadership as a general term is not related to managership. A person can be a leader by virtue of qualities in him. For example: leader of a club, class, welfare association, social organization, etc. Therefore, it is true to say that, "All managers are leaders, but all leaders are not managers." A leader is one who influences the behavior and work of others in group efforts towards achievement of specified goals in a given situation. On the other hand, manager can be a true manager only if he has

got traits of leader in him. Manager at all levels are expected to be the leaders of work groups so that subordinates willingly carry instructions and accept their guidance. A person can be a leader by virtue of all qualities in him.

Leaders and Managers can be compared as follows:

- The manager **administers**; the leader **innovates**.
- The manager is a **copy**; the leader is an **original**.
- The manager **maintains**; the leader develops.
- The manager focuses on **systems and structure**; the leader focuses on **people**.
- The manager relies on **control**; the leader inspires **trust**.
- The manager accepts **reality**; the leader **investigates** it.
- The manager has a **short-range view**; the leader has a **long-range perspective**.
- The manager asks **how and when**; the leader asks **what and why**.
- The manager has his or her eye always on **the bottom line**; the leader has his or her **eye on the horizon**.
- The manager **imitates**; the leader **originates**.
- The manager accepts the **status quo**; the leader **challenges it**.
- The manager is the classic **good soldier**; the leader is his or her **own person**.
- The manager does **things right**; the leader does the **right thing**.

4.2. POWER

MEANING

The term 'Power' may be defined as the capacity to exert in influence over others. If a person has power, it means that he is able to influence the behaviour of other individuals. The essence of power is control over the behaviour of others. "In one's role as a supervisor, a manager's power may be seen as the ability to cause subordinates to do what the manager wishes him to do". A manager's power may be measured in terms of the ability to:

1] Give rewards

2] Promise rewards

3] Threaten to withdraw current rewards

4] Withdraw current rewards

5] Threaten punishment, and

6] Punish.

Power is the degree of influence an individual or group has in decision making, without being authorized by the organization to do so. Power is used not only in getting a certain result achieved but it includes impact on negative decisions, or the action of not deciding also. Therefore, power is

not only one's influence over the decision - making, but also one's capability of limiting the scope of actual decision - making.

DEFINITION

Power is defined as the ability to influence and control anything that is of value of others.

- Stephen P. Robbins

NATURE OF POWER

1. Power can be potential or enacted.
2. Power represents the capacity, ability or potential to influence the behaviour of other people to achieve a certain goal.
3. Leaders exercise power to accomplish goals of an organization.
4. Leaders have only as much power as others allow them to have.
5. Some times appearing to be powerful is just as important as being powerful.
6. Power is neither completely formal nor informal. It is rather a judicious mixture of two.

IMPORTANCE OF POWER

1. Necessary for coordinated activities
2. Basis for authority and responsibility.

SOURCES OF POWER

Power is a force of influence and authority. Most leaders wield power, but how power is manifested and used often differs between leaders. Where does a leader get power from? Or do a leader's followers give it to them? Well it's both. In this , we'll be looking at the five different sources of power a leader can use, with some advice on when these powers should be used, and perhaps when not.

The five sources of a leader's power come from distinctly different sources. Here's an overview:

1. Expert Power

When a leader has significant domain knowledge/skills. E.g. an expert accountant influences how junior accountants go about their tasks

Use expert power when:

- You have a genuine expertise in a subject
- You have access to resources within your control who do

Don't use expert power when:

- You're unsure of your competence in a subject

2. Positional Power

Comes when a leader has a legitimately held position of authority. E.g. typically, the CEO of an organization has the highest positional power

Use positional power when:

- You need something done quickly when you don't have time to explain why
- If a political situation has grown that needs stemming
- Your accountabilities are in serious jeopardy

Don't use positional power when:

- You are feeling impatient or frustrated
- You have purely personal reasons to influence an outcome
- Your values are at odds with someone else's
- You have recently entered a new post with an unfamiliar team

3. Reward Power

Is evident when a leader can give, or take away, a reward. E.g. a leader can influence a follower's behavior by awarding a bonus, or taking away perks

Use reward power when:

- You need something done quickly
- Your team needs a motivation boost
- You are asking your followers to go above and beyond their duty
- You want to create friendly competition

Don't use reward power when:

- Resources are scare, so that someone wins, someone loses
- You have doubts about your ability to provide the reward
- They are targeted towards individuals in situations where there are petty jealousies exhibited in your team

4. Coercive Power

This is felt when a leader creates the perception of a threat. E.g. a leader has coercive power if her followers believe that she will initiate disciplinary action

Use coercive power when:

- You need to ensure standards and policies are adhered to
- There is a significant risk in a situation
- You have no other opinion

Don't use coercive power when:

- You have the ability to apply other power. Rather, use positional power if you must.
- You won't be around to put things right, afterwards
- You are feeling frustrated and emotional

5. Personal Power

Influence gained by persuasion. E.g. a manager may have to rely on nothing more than a friendly please and thank you for an employee to perform a task

Use personal power when:

- There is a strong relationship between you and your followers
- Your desired outcomes does not conflict with your followers values, or the values of your organization
- Your desired outcome is flexible

Don't use personal power when:

- There is not a strong relationship between you and your followers

It is perhaps only personal power that can be used singularly, but this comes at a cost in terms of the time and resources it takes for you to build relationships. All other forms of power should be used in conjunction with each other. It is unlikely that you can use the same mix of power for every situation. The skill of leadership is knowing when to use these powers and when not too. Judgment is key. Like any other skill, using power must be practiced, and we will make mistakes. Don't be afraid! Let us learn from these mistakes.

POWER CENTERS

Power Center is a person who is in close vicinity of higher management and whom management trusts and takes feedback from. It is very important to understand the actual people who are powerful in the company. These people may not be on very important designations but may be the source of information to the boss. These people may not be necessarily being the part of your department. They must be other department heads, relatives or friends of the boss. Make a list of such people. You must not be astonished that this list may consists of the people like driver of your boss, the head guard of the company, if it is a small company or medium size company. It is very likely that these people are open to higher power centers and may give a favourable opinion about you are whenever your reference comes - or whenever your boss asks an opinion about you.

Power centers, are often defined by organizational charters or by laws. In case of schools, position status, authority structures, and rules and regulations prescribe the power centers. These could be central executive, regional office, district office, principal, head teachers, class coordinators, and classrooms teachers. Each of these individuals makes decisions that guide the decisions of others. Moreover, because of the positions they hold, others accept the fact that they have a right to do so. For example, teachers expect the principals to assign them to classrooms, and students expect teachers to make the best out of classroom time, rather than giving homework assignments. When individuals act in such ways and their directions are followed, we can say they are exercising authority. Authority relationships are essential guides to behaviour in schools as they are in other organizations. The concept of authority involves not only giving orders or directions but also the acceptance of such orders, by those within the organization as legitimate and binding.

HOW TO USE POWER CENTERS?

There are two ways to use these people.

1. You should use to advertise your achievements and your plan to these people in a very discrete manner, which does not disclose the full plan but gives only hints. Discuss what you are doing and what you will do in future with these people. Never ever criticize the company or your boss in front of these people.

2. Pass on the negative information about your competitors to these people and thus defame your competitors. Tell them how others are giving loss to company.

THINGS TO REMEMBER WHILE TALKING WITH THESE PEOPLE

- Identify and select more than one power center
- Selectively disclose the things
- Make them feel important
- Never criticize the company or your boss
- Develop deeper relations with these people

POLITICS

MEANING

Politics relates to the way a person is able to get power over others and the way in which he uses power over others. In other words, it is the process whereby power is acquired and exercised upon others to influence their behaviour or to get things done. Thus, it is a method of operating in order to influence the behaviour of others.

DEFINITION

Politics in organization are those activities that are not required as part of one's formal role in the organization, but that influence, or attempt to influence, the distribution of advantages and disadvantages within the organization.

- Stephen P Robbins

FEATURES OF POLITICS

- Political behaviour involves some kind of power either directly or indirectly. Power can be exercised by those who are in formal positions and enjoy authority. It can also be influenced by other persons close to those who hold formal authority.
- Politics involves behaviour that is self - serving. It suggests that either organizational resources are used for personal benefits or benefits to be given to one person are given to another. In both the cases, the decision is not rational from organization's point of view.

- Politics takes place when an individual recognises that achievement of his goals is influenced by the behaviour of others. In such a case, politicking involves the elimination of adversaries by the influential manueuvers of a member of the organization.
- All self - serving behaviours which do not involve use of power or threat of use of power cannot be termed as politics. For example, an employee's asking for a rise in pay is not political behaviour, but the use of threat to unionize to obtain a pay rise amounts to political behaviour.

FACTORS INFLUENCING POLITICAL BEHAVIOUR

A number of factors are responsible for political behaviour. These factors are grouped into individual factors and organizational factors.

1. Individual factors

- **High self - monitors**

Skilled in political behaviour

- **High Machiavellian personality**

Proactive and prone to manipulate situation in their favour

- **Investment in organization**

Investment in terms of expectations forces the individual to use illegitimate means.

- **Perceived job alternatives**

2. Organizational factors

- **Reallocation of resources**

The reallocation or resources is necessary when the resources available either increase or decrease. These situations force the individuals to resort to politics.

- **Promotion opportunities**

Normally, the opportunities for promotion or advancement are lesser than the candidates expecting promotion. This situation leads to competition and thereby political behaviour by the competing candidates.

- **Low trust**

Low trust in organization leads to tight control which in turn makes the subordinates to behave illegitimately.

- **Role ambiguity**

The unclear expectation from the employee makes him to act politically.

- **Unclear performance appraisal system**

Employee does not know what to do? And to what level of perfection he has to do? etc., under the unclear performance appraisal system. This situation creates ambiguity and leads to political behaviour.

- **Zero - sum reward system**

The win - lose approach in reward allocation is called zero - sum approach. People perceive that they won double if others lose. Therefore, this situation makes people take the chance, even through illegitimate means.

- **Democratic decision making**

The traditionally autocratic managers cannot make the decisions democratically in its true sense. Therefore, they refer the issues to committees and commissions to offer recommendations, and finally they make the decisions as they desire.

- **High performance pressures**

High performance pressures make the people to find short-cuts and politics to show superfluously high performance or through window - dressing.

- **Self - serving senior managers**

The political behaviour by the top management with rewards encourages the people at the lower level to resort to politics.

TACTICS USED TO GAIN POLITICAL POWER

- **Bargaining or Trade - off**

It refers to negotiation of a quid pro quo [this for that] agreement between two groups. Each party to the conflict offers some benefits to the other so that there can be some stability in their relationship.

- **Competition**

The resources at the command of the organization are limited. Various groups compete with each other to have a greater share of such resources. For this, they try to influence the criteria used as the basis for resource distribution in the form of funds, space, support staff, etc.

- **Co-optation**

Co-optation occurs when a group gives some of its important positions to members of other groups or includes them in its policy - making committees.

- **Coalition**

It is a temporary alliance of a number of individuals or groups who combine their efforts and energy for their common goals. For example, National Democratic Government was formed in India on the basis of coalition arrangement between a numbers of political parties. By forming a coalition, the members are able to increase their power or area of influence.

- **Pressure**

It is a hostile method of gaining power. For example, a trade union might threaten a strike or slow down if the management does not accept its demands. In a similar vein, the management might threaten a lock - out in the factory if the trade union does not accept its terms.

- **Control over information**

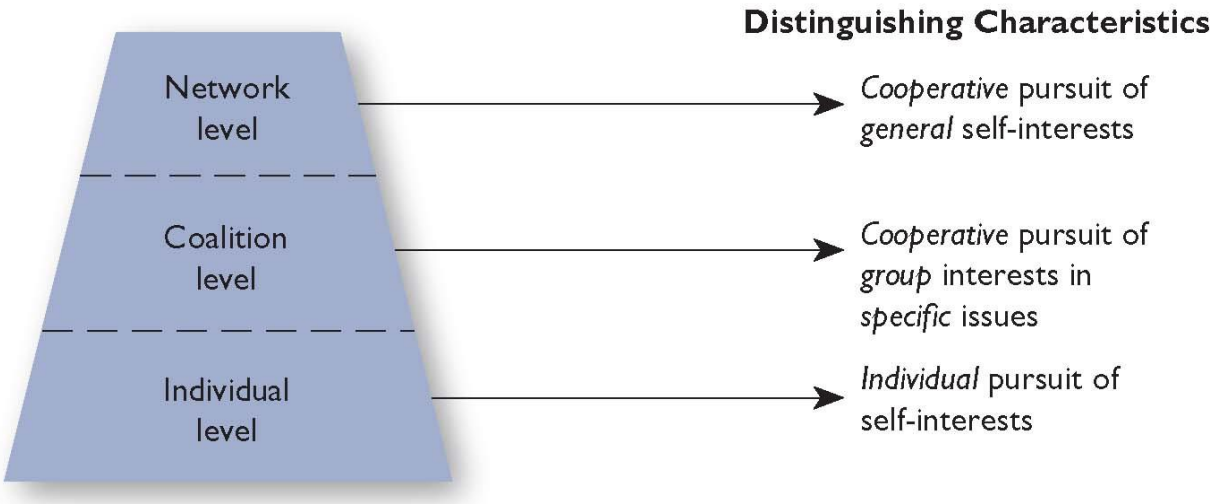
It is very much a part of political behaviour to control the dissemination of critical information to others. Releasing good or bad news when it is likely to have its fullest impact can promote someone's self interest and may ruin the hopes of others.

- **Control over communication channels**

People who are in lower level positions but have some control over the channels of communication can acquire considerable political power. For example, the secretary may have considerable power in deciding who sees the boss and who doesn't at a given time.

LEVELS OF POLITCAL ACTION IN ORGANIZATIONS

Figure4b: Levels of political action in organizations



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QUESTION BANK

TWO MARKS

1. Define Leadership.
2. What are the characteristics of leadership?
3. Who is a Leader?
4. Who is a Manager?
5. Define Power.
6. Define Power Center.
7. Define Politics.
8. What are the features of politics in organization?

9. What are the different tactics used to gain political power?
10. What are the three levels of political action in organizations?

ELEVEN MARKS

1. Discuss about the importance of leadership in the organization.
2. What are the major leadership styles?
3. Discuss about the theories of leadership.
4. Differentiate between Leader and Manager.
5. Discuss about the nature and importance of power in the organization.
6. What are the different sources of power?
7. How to use Power Centers?
8. What are the different factors influencing political behaviour in the organizational?

UNIT - V

5. DYNAMICS OF ORGANIZATIONAL BEHAVIOUR

5.1. ORGANIZATIONAL CULTURE AND CLIMATE

- **FACTORS AFFECTING ORGANIZATIONAL CLIMATE**
- **IMPORTANCE**

5.2. JOB SATISFACTION

- **DETERMINANTS**
- **MEASUREMENT**
- **INFLUENCE ON BEHAVIOUR**

5.3. ORGANIZATIONAL CHANGE

- **IMPORTANCE**
- **STABILITY Vs. CHANGE**
- **PROACTIVE Vs. REACTION CHANGE**
- **THE CHANGE PROCESS**
- **RESISTANCE TO CHANGE**
- **MANAGING CHANGE**

5.4. STRESS

- **WORK STRESSORS**
- **PREVENTION AND MANAGEMENT OF STRESS**
- **BALANCING WORK AND LIFE**

5.5. ORGANIZATIONAL DEVELOPMENT

- **CHARACTERISTICS**
- **OBJECTIVES**

5.1. ORGANIZATIONAL CULTURE AND CLIMATE

DEFINITION OF ORGANIZATIONAL CULTURE

Organization culture is the basic pattern of shared assumptions, values and beliefs considered to be the correct way of thinking about and acting on problems and opportunities facing the organization.

SOURCES OF ORGANIZATIONAL CULTURE

- **General influence from outside the area**

Covers the factors that can not be controlled or only a few can be controlled by the organization.

- **The influence of the values that exist in society**

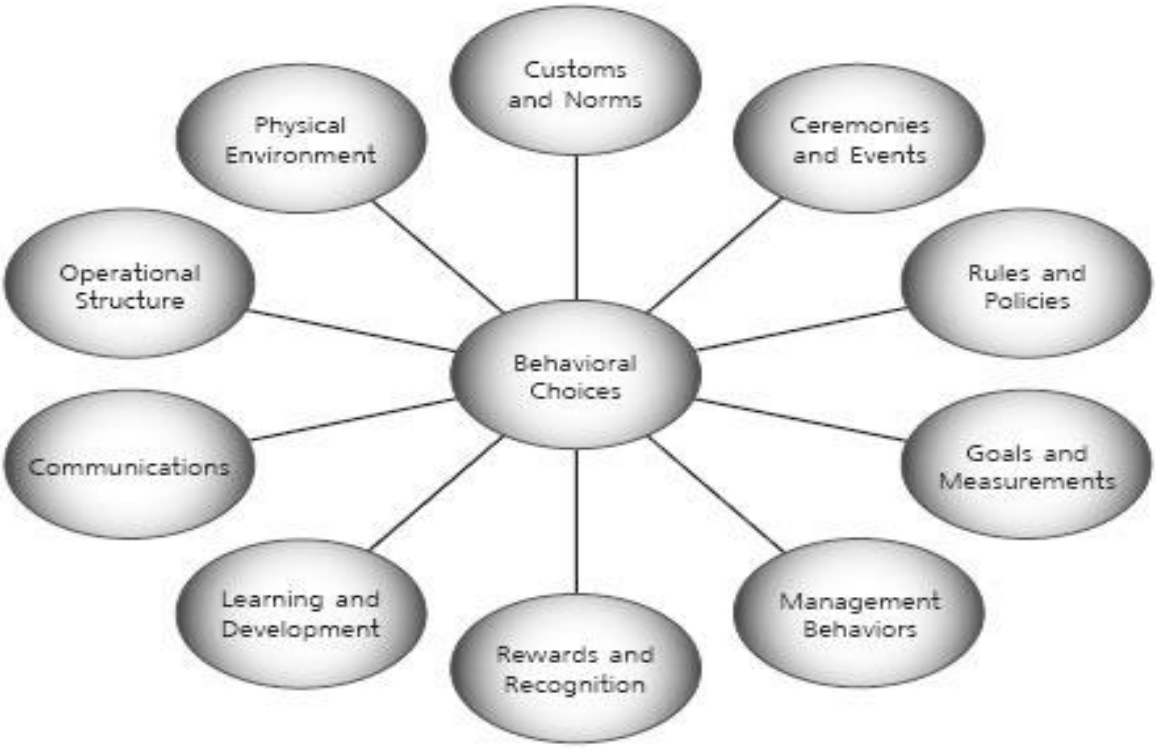
Beliefs and values are dominant from the wider community such as decent compensation and cleanliness.

- **Factors specific to the organization**

Organizations are always interacting with their environment. In addressing both external and internal problems the organization will get a successful completion. The success of overcoming these problems is the basis for the growth of organizational culture.

COMPONENTS OF ORGANIZATIONAL CULTURE

Figure 5a: Components of Organizational Culture



FUNCTIONS OF ORGANIZATIONAL CULTURE

- Culture creates a clear distinction between one organization and another.
- Culture brings a sense of identity to members of the organization.
- Cultural facilitate the emergence of a commitment to something larger than one's individual self interest.
- Culture is the social glue that helps unite the organization by providing the proper standards to be done by employees.
- Culture as meaning-making and control mechanisms that guide and shape employee attitudes and behavior.

CHARACTERISTICS OF ORGANIZATIONAL CULTURE

- **Innovation and risk aversion**

The extent to which employees are supported to be innovative and take risks.

- **Attention to detail**

The extent to which employees are expected to demonstrate their accuracy, analysis and attention to detail.

- **Orientation results**

The extent to which management focuses on results rather than on the techniques and processes used to achieve these results.

- **Orientation people**

The extent to which management decisions take into account the effects on people within the organization.

- **Orientation team**

The extent to which work activities are organized around teams rather than individuals.

- **Aggressiveness**

In connection with the aggressiveness of employees.

- **Stability**

The organization emphasizes the maintenance of organizational culture that is good.

IMPORTANCE OF ORGANIZATIONAL CULTURE

- It provides consistency for an organization and its people.
- It provides order and structure for activity within an organization.
- It establishes an internal way of life for people.
- It determines the conditions for internal effectiveness.
- It strongly influences how an organization is structured.
- It sets the patterns for internal relationships among people.
- It defines effective and ineffective performance.
- It fixes an organization's approach to management.
- It limits strategy.
- It is fundamental to an organization's productivity.
- It parallels individual character.

DEFINITION OF ORGANIZATIONAL CLIMATE

Organizational climate [sometimes known as Corporate Climate] is the process of quantifying the "culture" of an organization. It is a set of properties of the work environment, perceived directly or indirectly by the employees, that is assumed to be a major force in influencing employee behavior.

FACTORS AFFECTING ORGANIZATIONAL CLIMATE

Organisational climate is a manifestation of the attitudes of organisational members towards the organisation. These attitudes are based upon such things as management policies, supervisory techniques, the 'fairness' of management, labour's reactions to management, and literally anything that affects the work environment. Lawrence James and Allan Jones have classified the factors that influence organisational climate into five major components:

1. Organisational Context

The management philosophy of an organisation will be evident from the goals, policies and functions of the organisation and the manner in which the goals are put into operation. For instance, the reputation of a particular company regarding the treatment of employees would provide some indication of the managerial philosophy regarding the utilisation of human resources. This philosophy of management is expressed by policies, rules, regulations and, of course, by the actions of mangers. The reaction of the employees and the degree to which they agree within management's philosophy is critical to the development of a favourable climate. If management is able to match employee's goals to organisational goals, it is most likely to put a positive influence on climate. The management's attitude towards employees is indeed a major determinant to the overall organisation climate.

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2. Organisation Structure

An organisation structure is the framework of authority-responsibility relationships in an organisation. It clarifies who is to supervise whom and who is responsible to whom. It serves as the basis of inter-personal relationships between the superiors and the subordinates and the peers (people of same rank in the organisation).

The organisation structure followed by management is critical organisational climate. If the top management feels the need of giving greater importance to t he subordinates, it will follow a decentralised structure. There will be fewer layers in the organisational hierarchy and participative decision-making will be encouraged. The organisational climate will be inducive to the development of the employees. But if the top management like to maintain a greater degree of consistency in decision-making, it would follow a centralized structure. This would enable greater control over decisions; and organisational climate will encourage centralised information management and decision-making.

3. Relationship between superior and subordinates

Every employee has to interact with his superior or boss for necessary instructions and guidance. It is the immediate superior who allows (or disallows) the subordinate to participate in decision-making, gives assignments, does performance appraisals, conducts performance reviews, interprets policies, determines pay increments, and decides who

has the potential to be promoted. These functions are inherent in managing and every manger is concerned with these functions.

The relationship between superior and subordinate is not only of an interpersonal nature, but it also represents the primary interface between the organisation and the employee. All mangers must therefore be aware of the possible influence on climate when deciding the type of leadership (autocratic or participative to be provided to the subordinates. The effectiveness of a leadership style is determined mainly by the particular situation. In other words, the leadership style must suit the situation faced by the manger. If it is not so, the motivation level of the workers will be low, they will feel frustrated and dissatisfied and productivity may also go down. If the workers are not satisfied with the type of leadership provided, effective communication will be hindered and their morale will also be low. Therefore, every manager must consider the likely impact of this style of functioning on the organisational climate.

4. Physical environment

It has been observed that office decor, office size and the physical space allotted to a person at work (private office or general office) etc. have an important influence to the development of a favourable attitude towards the job. Noise has also been considered instrumental in influencing the climate of organisation. High level of noise may bring a bad feeling and lead to frustration, nergousness and aggression and thus have a negative effect upto organisational climate. Some degree of immunity to noise may be possible when it is a steady part of the external environment. Therefore, noise to a tolerable extent may not adversely affect the organisational climate.

5. Values and Norms

Over a period of time every organisation develops a culture of its own. Culture is the social or normality glue that holds an organisation together. It expenses the values or social ideals and beliefs that organisation members come to share. In the words of Bro Utal, "Organisation culture is a system of shared values (what is important) and the

beliefs (how things work) that interact with a company's people, organization structures, and control systems to produce behavioural norms (the way we do things).

IMPORTANCE OF ORGANIZATIONAL CLIMATE

The modern work environment is vastly different from the work environment in the previous three decades. The reasons for this difference is the overwhelming challenges organizations have to face. These challenges include increased competition, high degrees of technological innovation, changes in the nature and structure of organizations and the challenges facing employees such as redefining the employment contract, getting to grips with new business processes, flexible work patterns and work life balance. These challenges are compounded by the implementation of legislation impacting on the employer - employee relationship. Organizational restructures [downsizing and mergers] in order to stay competitive in a global market, diversity and transformation practices and the outsourcing of non - core departments. All of the above changes can affect the climate in an organization and impact on employees' motivation levels, which in turn, influences the organization's profitability. One of the primary challenges facing managers today is to manage work teams in these ever - changing environments and to create a work environment or climate in which employees can thrive and apply their expertise. Hence an organization's ability to develop and maintain conditions conducive to the creation of a high - performing climate is or critical importance.

DIFFERENCE BETWEEN ORGANIZATIONAL CULTURE AND CLIMATE

It is always difficult to distinguish between organization culture and climate, without getting drawn into heavy theoretical or abstract analysis; they are intangible features of organization life and as such can be hard to put into simple terms. However, they are vital concepts for all of us to understand so it is important that you have some handle one each of them

Culture might be described as the foundation upon which any organization is built. It develops over the longer term and consists of the values – stated and implicit- beliefs, norms and traditions which guide how the organization does its business and in turn how people behave. In simple terms, culture could be described as the personality of the organization and, often, the culture of a particular enterprise can be traced back to those personal values held by the founder, or it is a reflection of the senior management in the business. Although, it is somewhat intangible, culture has a significant role in influencing all aspects of life within the organization and indeed how it interacts with the outside

world; think how different the culture might be in a brokerage firm on Wall Street from that pervading within a charitable organization. Consider too the various places you may have worked in your career; they all likely had a uniqueness about them and this is a manifestation of its culture. In certain jobs you probably felt very comfortable working there, in others you might not have felt the same affinity with the organization.

Climate, on the other hand, could be described as something more surface level and relates to the here and now; it is about what it feels like to work in the organization. If culture is the personality, then climate has more to do with the mood or prevailing atmosphere within the business. The climate is prone to more short term fluctuations and is determined by many factors which include leadership, structure, rewards and recognition.

5.2. JOB SATISFACTION

DEFINITION

Job satisfaction is defined as "the extent to which people like [satisfaction] or dislike [dissatisfaction] their jobs" . This definition suggests job satisfaction is a general or global affective reaction that individuals hold about their job. While researchers and practitioners most often measure global job satisfaction, there is also interest in measuring different "facets" or "dimensions" of satisfaction. Examination of these facet conditions is often useful for a more careful examination of employee satisfaction with critical job factors. Traditional job satisfaction facets include: co-workers, pay, job conditions, supervision, nature of the work and benefits."

DETERMINANTS OF JOB SATISFACTION

Job satisfaction is a multi-variable and indescribable concept. There are number of factors that influence job satisfaction of employees. These factors can be classified into two categories viz. organizational and personal variables.

a) Organizational variables

i) Wages

Wage can be described as the amount of reward that a worker expects from the job. Wages are an instrument of fulfilling the needs as every worker expects to get an appropriate reward. The wages are supposed to be fair, reasonable and equitable. A feeling of job satisfaction is felt by attaining fair and equitable rewards.

ii) Nature of Work

Job satisfaction is highly influenced by the nature of work. Employees are satisfied with job that involves intelligence, skills, abilities, challenges and scope for greater freedom. Job dissatisfaction arises with a feeling of boredom, poor variety of tasks, frustration and failures.

iii) Working Conditions

Employees are highly motivated with good working conditions as they provide a feeling of safety, comfort and motivation. On contrary, poor working conditions brings out a fear of bad health in employees.

iv) Job Content

Factors like recognition, responsibility, advancement, achievement etc can be referred to as job content. A job that involves variety of tasks and less monotonous results delivers greater job satisfaction. A job that involves poor content produces job dissatisfaction.

v) Organizational Level

The jobs that are at higher levels are viewed as prestigious, esteemed and opportunity for self-control. The employees that are working at higher level jobs express greater job satisfaction than the ones working at lower level jobs.

vi) Opportunities for Promotion

Promotion can be reciprocated as a significant achievement in the life. It promises and delivers more pay, responsibility, authority, independence and status. So, the opportunities for promotion determine the degree of satisfaction to the employees.

vii) Work Group

There is a natural desire of human beings to interact with others and so existence of groups in organizations is a common observable fact. This characteristic results in formation of work groups at the work place. Isolated workers dislike their jobs. The work groups make use of a remarkable influence on the satisfaction of employees. The satisfaction of an individual is dependent on largely on the relationship with the group members, group dynamics, group cohesiveness and his own need for affiliation.

viii) Leadership Styles

The satisfaction level on the job can be determined by the leadership styles. Job satisfaction is greatly enhanced by democratic style of leadership. It is because democratic leaders promote friendship, respect and warmth relationships among the employees. On contrary, employees working under authoritarian and dictatorial leaders express low level of job satisfaction.

b) Personal variables

i) Personality

The personality of an individual can be determined by observing his individual psychological conditions. The factors that determine the satisfaction of individuals and his psychological conditions is perception, attitudes and learning.

ii) Age

Age can be described as a noteworthy determinant of job satisfaction. It is because younger age employees possessing higher energy levels are likely to be having more job satisfaction. In older age, the aspiration levels in employees increase. They feel completely dissatisfied in a state where they are unable to find their aspiration fulfilled,

iii) Education

Education plays a significant determinant of job satisfaction as it provides an opportunity for developing one's personality. Education develops and improvises individual wisdom and evaluation process. The highly educated employees can understand the situation and asses it positively as they possess persistence, rationality and thinking power.

iv) Gender Differences

The gender and race of the employees plays important determinants of Job satisfaction. Women, the fairer sex, are more likely to be satisfied than their male counterpart even if they are employed in small jobs.

The job satisfaction can also be determined by other factors like learning, skill autonomy, job characteristics, unbiased attitude of management, social status etc. It is important for managers to consider all these factors in assessing the satisfaction of the employees and increasing their level of job satisfaction.

MEASUREMENT OF JOB SATISFACTION

The commonly applied techniques employed to measure job satisfaction are discussed below:

i) Rating Scales

Rating scales are the commonly adopted method that is used for the measuring job satisfaction. It comprises of certain statements describing the attitude of the employees with respect to the job, organization and personal factors. For each declaration or statement, the employee is invited to express his opinion on a scale consisting of different expressions.

ii) Personal Interviews

The experts conduct these personal interviews where employees express their opinions on job satisfaction. The responses delivered through these interviews are analyzed to find their level of job satisfaction. It is believed that this method is likely to have personal biased views of the interviewer also.

iii) Tendencies

The employees are asked to express their tendency or inclination on several aspects and this reveals their satisfaction or dissatisfaction.

iv) Critical Incidents

Herzberg made developed approach to measure job satisfaction. In this particular method, the employees were asked to describe incidents on their job when they were particularly satisfied or

dissatisfied. These set of incidents were then analyzed to determine their positive and negative attitudes.

INFLUENCE OF JOB SATISFACTION ON BEHAVIOUR

Job satisfaction has a variety of effects. Here are the 10 most important reasons why happiness at work is the number 1 productivity booster.

1. Happy people work better with others

Happy people are a lot more fun to be around and consequently have better relations at work. This translates into:

- Better teamwork with your colleagues
- Better employee relations if you're a manager
- More satisfied customers if you're in a service job
- Improved sales if you're a sales person

2. Happy people are more creative

If people are in a good mood on a given day, they're more likely to have creative ideas that day, as well as the next day, even if we take into account their mood that next day.

There seems to be a cognitive process that gets set up when people are feeling good that leads to more flexible, fluent, and original thinking, and there's actually a carryover, an incubation effect, to the next day.

3. Happy people fix problems instead of complaining about them

When you don't like your job, every molehill looks like a mountain. It becomes difficult to fix any problem without agonizing over it or complaining about it first. When you're happy at work and you run into a snafu – you just fix it.

4. Happy people have more energy

Happy people have more energy and are therefore more efficient at everything they do.

5. Happy people are more optimistic

Happy people have a more positive, optimistic outlook, and as research shows, optimists are way more successful and productive. It's the old saying "Whether you believe you can or believe you can't, you're probably right" all over again.

6: Happy people are way more motivated

Low motivation means low productivity, and the only sustainable, reliable way to be motivated at work is to be happy and like what you do.

7. Happy people get sick less often

Getting sick is a productivity killer and if you don't like your job you're more prone to contract a long list of diseases including ulcers, cancer and diabetes. You're also more prone to workplace stress and burnout.

One study assessed the impact of job strain on the health of 21,290 female nurses in the US and found that the women most at risk of ill health were those who didn't like their jobs. The impact on their health was a great as that associated with smoking and sedentary lifestyles.

8. Happy people learn faster

When you're happy and relaxed, you're much more open to learning new things at work and thereby increasing your productivity.

9. Happy people worry less about making mistakes – and consequently make fewer mistakes

When you're happy at work the occasional mistake doesn't bother you much. You pick yourself up, learn from it and move on. You also don't mind admitting to others that you screwed up – you simply take responsibility, apologize and fix it. This relaxed attitude means that less mistakes are made, and that you're more likely to learn from them.

10. Happy people make better decisions

Unhappy people operate in permanent crisis mode. Their focus narrows, they lose sight of the big picture, their survival instincts kick in and they're more likely to make short-term, here-and-now choices. Conversely, happy people make better, more informed decisions and are better able to prioritize their work.

5.3. ORGANIZATIONAL CHANGE

MEANING

Organizational changes are the changes of attitude, natures and interest of employees, technological and environmental changes related to an organization and changes in rules and regulations affecting the organization.

NATURE / CHARACTERISTICS OF ORGANIZATIONAL CHANGE

- Change disturbs the old equilibrium
- Change affects the whole organization
- Change is a continuous process
- Change may be reactive or proactive
- Change is perceptual and behavioural
- Change affects individuals in the multiple roles
- Change is natural, as is death
- Change may be planned or unplanned
- Change may be incremental or transformational
- Change may originate in response to internal needs

IMPORTANCE OF ORGANIZATIONAL CHANGE

Organizational change is important because of the following reasons.

- **Changes in environment**
  - Economic and market changes
  - Technological changes
  - Legal / political changes
  - Resource availability changes
- **Changes in managerial level**
  - Retirement of managers at different levels
  - Promotion of junior level managers to higher level
  - Demotion / transfer / long leave
  - Dismissal / lay - off from the job of the managers
  - Resignation or turnover of managers from company service
- **Deficiency in present organization**
  - Shortcomings, defects, duplication of work, resource time and efforts
  - Deficiencies in the organizational structure, working procedure, management process
  - Lack of cooperation, increasing conflict, decreasing productivity, increasing cost and scrap losses, barriers in communication process
- **Check the growth of Inflexibility**

Each organization desires to advance, grow and develop. Hence the organization should achieve flexibility to meet the growth and development needs. Leaders / managers constantly work for making the organization dynamic and flexible to achieve growth and development. So whenever experiences or foresees inflexibility, organizational changes are to be carried - out. Changes under such circumstances benefit the organization as a whole.

Because of above causes, organizational changes can take place in all, some or any of the following internal changes:

- Employee goal changes
- Work / job technology changes
- Organizational structure changes
- Organizational climate changes
- Organizational goal changes

STABILITY Vs. CHANGE

While some individuals are open to change [risk - takers],other individuals have a high need for stability [risk - averse]. The same is true for organizations. Risk - taking organizations are said to be innovative with a push for constant, continuous improvement. Risk - averse organizations focus on

not rocking the boat. Hence, an important aspect of an organization's security culture is its tolerance for change and innovation. Organizations that have a high requirement for security often favour stability over change. Change is often seen as bad for security, as it can result in the introduction of new risks or in the invalidation or bypass of controls to existing risks. However, when change is carefully managed, such organizations will need to ensure that their security posture is not static. Security is never 100% and in today's complex environment tight centralized control over decision - making can result in a lack of flexibility. Organizations and individual employees increasingly are pursuing change in how work is organized, how it is managed, and in who is carrying - it - out. Organizations seek flexibility so that they can quickly adapt to environmental changes, explore new ideas of processes, reduce fixed costs, and thereby realize an advantage over their competitors. Individuals seek simulation and variety in their work in order to fulfill self - development needs and maintain interest in, and satisfaction with, their jobs. At the same time, that organizations and individuals are pursuing change, there are numerous individual, organizational, and societal forces promoting stability in work and employment relations. Individuals wish to reduce uncertainty and maintain a stable self - concept propelled by consistency in their actions. They also are better able to manage relationships at work that are predictable and stable. Similarly, organizations can reduce the costs of transactions with employees when there is stability in these relationships. A stable, skilled workforce also can provide a firm with a competitive advantage that is not easily imitated. Some level of tension between stability and change is an inevitable part of organizational life - a part that poses both opportunities and challenges for participants.

PROACTIVE Vs. REACTION CHANGE

Proactive change takes place when some forces to change lead an organization to conclude that a particular change is desirable. Reactive change occurs when these forces to change make it necessary for a change to be implemented. For example, introduction of a new employee - benefit scheme is proactive as the management strongly believes that it enhances satisfaction and motivation to employees. The change [introduction of scheme] would be reactive if the benefit plan was introduced because of demands made by an organization, because it is identified as desirable [i.e. it is not forced on the organization]. On the other hand, reactive change is the change implemented in an organization because it is made necessary by outside forces.

Proactive and Reactive changes can be differentiated as follows:

- **Proactive change** involves **creation** whereas **reactive change** involves **correction.**
- **Proactive change** involves **improvement** whereas **reactive change** involves **variation.**
- **Proactive change** involves **migration** whereas **reactive change** involves **expansion.**
- **Proactive change** involves **modification** whereas **reactive change** involves **re - configuration.**

FORCES OF CHANGE

Internal forces

- Changes in managerial personnel
- Changes in operative personnel
- Deficiencies in existing structure

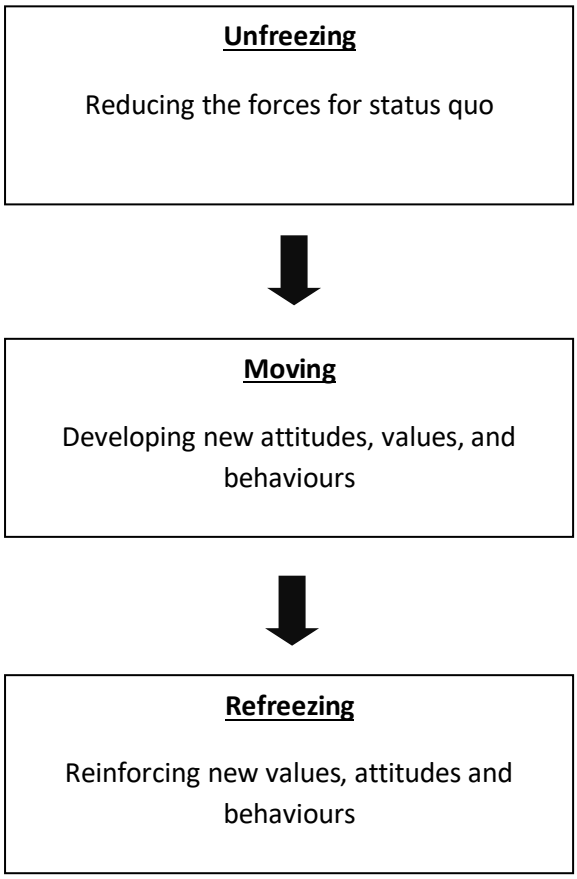
External forces

- Technology
- Marketing conditions
- Social changes
- Political forces

THE CHANGE PROCESS

According to **Kurt Lewin's Force Field model,** effective change occurs by unfreezing the current situation, moving to a desired condition, and then refreezing the system so that it remains in this desired state and this model is popularly called, **three - stage model of change system.**

Figure 5b: Lewin's Change Model



1. Unfreezing

Unfreezing calls for loosening or emotional link with the status quo, i.e., old work methods and practices, it leads to unlearning of old things to learn new ones. The individuals are made to feel that

they have to give up the old work - habits, for learning new types of behaviour. The forces which drive change should be strengthened and the forces which discourage change should be weakened. Rewards may be offered to those who accept the change. The workers who resist change should be persuaded to accept the change.

2. Introducing change or moving to the new level

Change is presented through role models from whom individuals can learn new behaviour patterns by identifying them and trying to become like them. In other words, individuals are educated about the nature and implications of change and motivated to develop favourable attitude about the change. They are persuaded to learn new work methods and patterns of behaviour by observing their superiors or role models.

3. Refreezing at the new level

It is the phase of stabilization, assimilation and institutionalization of the changes which are successfully implemented. The changes which are accomplished should remain as a stable and permanent characteristic of the system until need arises for another change. The new roles, relationships and behavioural patterns must take on the characteristics of habits. If this is not done, the individuals may revert back to the old patterns after some time. Change becomes stabilized only if enough reinforcements [rewards] are provided for desired behaviour. The individuals should get a genuine feeling that the benefits generated by the change are worthwhile.

RESISTANCE TO CHANGE

Resistance to change involves employees' behaviour designed to discredit, delay or prevent the changes introduced for the development of an organization.

DEFINITIONS

Resistance is an incomplete transition in response to change.

- ***Bridges***

Resistance is any conduct that serves to maintain the status quo in the face of pressure to alter the status quo.

- ***Zaltman and Duncan***

TOP TEN REASONS FOR CHANGE RESISTANCE

1. The risk of change is seen as greater than the risk of standing still
2. People feel connected to other people who are identified with the old way
3. People have no role models for the new activity
4. People fear they lack the competence to change

5. People feel overloaded and overwhelmed

6. People have a healthy skepticism and want to be sure new ideas are sound

7. People fear hidden agendas among would - be reformers

8. People feel the proposed change threatens their notions of themselves

9. People anticipate a loss of status or quality of life

10. People genuinely believe that the proposed change is a bad idea

MANAGING CHANGE

The key phases for managing employees during change are as follows:

1. Awareness of the need to change

2. Desire to participate and support the change

3. Knowledge of how to change

4. Ability to implement the change on day - to - day basis

5. Reinforcement to keep the change in place

5.4. STRESS

MEANING

Stress is the body's reaction to a change that requires a physical, mental or emotional adjustment or response. Stress can come from any situation or thought that makes you feel frustrated, angry, nervous, or anxious. Stress is caused by an existing stress-causing factor or "stressor."

DEFINITION

Stress is an adaptive response to an external situation that results in physical, psychological and / or behavioural deviations for organizational participants.

- *Fred Luthans*

WORK STRESSORS

- Excessively **high workloads**, with unrealistic deadlines making people feel rushed, under pressure and overwhelmed.
- **Insufficient workloads**, making people feel that their skills are being underused.
- A **lack of control** over work activities.
- A **lack of interpersonal support** or **poor working relationships** leading to a sense of isolation.
- People being asked to do a job for which they have **insufficient experience or training**.
- Difficulty settling into a new promotion, both in terms of **meeting the new role's requirements** and adapting to possible **changes in relationships with colleagues.**
- Concerns about **job security, lack of career opportunities, or level of pay.**
- **Bullying or harassment**.

- A **blame culture** within your business where people are afraid to get things wrong or to admit to making mistakes.
- **Weak or ineffective management** which leaves employees feeling they don't have a sense of direction, or **over-management**, which can leave employees feeling undervalued and affect their self-esteem.
- **Multiple reporting lines** for employees, with each manager asking for their work to be prioritized.
- **Failure to keep employees informed about significant changes to the business**, causing them uncertainty about their future.
- A **poor physical working environment**, e.g., excessive heat, cold or noise, inadequate lighting, uncomfortable seating, malfunctioning equipment, etc.

PREVENTION AND MANAGEMENT OF STRESS

COPING STRATEGIES AT THE ORGANIZATIONAL LEVEL

- Organizational role clarity
- Job redesign
- Stress reduction and stress management programs
- Collateral programs [Personal wellness]
- Supportive organizational climate
- Counseling

COPING STRATEGIES BY INDIVIDUAL

Stress management strategy #1: Avoid unnecessary stress

- Learn how to say "no"
- Avoid people who stress you out
- Take control of your environment
- Avoid hot - button topics
- Pare down your to - do list

Stress management strategy #2: Alter the situation

- Express your feelings instead of bottling them up
- Be willing to compromise
- Be more assertive
- Manage your time better

Stress management strategy #3: Adapt to the stressor

- Reframe problems
- Look at the big picture
- Adjust your standards

- Focus on the positive

Stress management strategy #4: Accept the things you can't change

- Don't try to control the uncontrollable
- Look for the upside
- Share your feelings
- Learn to forgive

Stress management strategy #5: Make time for fun and relaxation

- Set aside relaxation time
- Connect with others
- Do something you enjoy everyday
- Keep your sense of humour

Stress management strategy #6: Adopt a healthy lifestyle

- Exercise regularly
- Eat a healthy diet
- Reduce caffeine and sugar
- Avoid alcohols, cigarettes, and drugs
- Get enough sleep

BALANCING WORK AND LIFE

DEFINITION

Work - life balance or home - work balance has been defined as a "balance between an individual's work and his life outside work".

IMPORTANCE OF WORK - LIFE BALANCE

Balance is the key to lead a successful and beautiful life which includes everything but in balance. It is important in everyone's life be it in the life of an entrepreneur, student or a housewife to maintain a balance between various aspects of their daily routine. A student must know how to balance between his studies and curricular activities; otherwise he will fail in one or the other thing. It is equally important that we maintain our balance between materialistic and spiritual or religious life as well. Our life has so many things to deal with, like our relationships, work, health, entertainment , responsibilities for family and country etc and to be successful in all these aspects, we must know how maintain balance between all of them. In our everyday life, it is the work which occupies the major part of our life and many people get so occupied with their work that they end up neglecting other important things of their life. In corporate world where there is huge pressure on employees to meet their deadlines and long working hours, people really have lost balance in their lives. There is no denial that one can not survive without work because this is what ultimately gives you the money which is the source of everyone's survival but along with work other things are also necessary.

Sometimes some goal or target grabs so much of our attention that we forget everything else and devote all our energy in accomplishing that goal. Achieving goals or targets is not bad but leaving everything else behind for that one particular goal or target can be harmful for an individual. Time management is the solution to most of our problems. Everybody is provided with twenty four hours only but it depends upon us how we utilize them. And within these limited hours only we have to accomplish all our tasks along with giving rest to our bodies and minds. And to manage the time, it is very important that we set our priorities for our life. When we set our priorities, then it becomes easy to divide our attention according them. For some people it's their work which is a priority, so they spend more time with their work. When we divide our time according to our priorities, then there are very few chances that we will not be leading a balanced life. In the end what matters is that we live a life in which we are happy and does not hold any regret that we are missing out something because we don't have enough time. When we will manage our time wisely according to our priorities, then it will never be so difficult for us to maintain balance in our life.

TIPS FOR BETTER WORK - LIFE BALANCE

AT WORK

- **Schedule brief breaks for yourself throughout the day**

Your productivity and effectiveness will increase if you take even a ten-minute break every two hours and overall, you will get more accomplished.

- **At the end of each day, set your priorities for the following day**

Be realistic about what you can achieve in the time you have available.

- **Only respond to email once or twice a day**

Then, shut off your email program to avoid being distracted as messages come in.

- **Make a distinction between work and the rest of your life**

Protect your private time by turning off electronic communications. Don't be available 24/7.

- **Address concerns about deadlines and deliverables early**

As soon as you see that a deadline is unrealistic, communicate your concern to your employer - don't wait until the deadline passes.

- **Take all of your allotted vacation time**

Taking vacation allows you to come back to work refreshed and more productive.

AT HOME

- **Create a buffer between work and home**

After work, take a brief walk, do a crossword puzzle, or listen to some music before beginning the evening's routine.

- **Decide what chores can be shared or let go**

Determine which household chores are critical and which can be done by someone else. Let the rest go.

- **Exercise**

Even if it's only for 15 minutes at a time, you'll feel more energized and refreshed.

- **Create and implement a household budget**

Start by setting aside some money from each pay cheque for the future.

- **Make healthy food choices**

Healthy eating will gives you and your family more energy.

- **Pursue a hobby**

Either with friends or family or for some quality time on your own.

IN YOUR COMMUNITY

- **Make choices**

Social, community and volunteer obligations pull us in many directions. Choose the ones that are most fulfilling and learn to say 'no' to the rest.

- **Manage expectations**

Be clear at the outset about how much time or support you can contribute to community organizations or your children's school events.

5.5. ORGANIZATIONAL DEVELOPMENT [OD]

DEFINITIONS

OD is the strengthening of those human processes in organizations, which improve the functioning of the organic systems, so as to achieve its objectives.

- ***Lippitt.G.L.***

OD is the systematic application of behavioural science knowledge at various levels, such as group, inter - group, organization, etc., to bring about planned change.

- ***Newstrom & Davis***

CHARACTERISTICS

1. Humanistic Values

Positive beliefs about the potential of employees

2. Systems Orientation

All parts of the organization, to include structure, technology, and people, must work together.

3. Experiential Learning

The learners' experiences in the training environment should be the kind of human problems they encounter at work. The training should not be all theory and lecture.

4. Problem Solving

Problems are identified, data is gathered, corrective action is taken, progress is assessed, and adjustments in the problem solving process are made as needed. This process is known as Action Research.

5. Contingency Orientation

Actions are selected and adapted to fit the need.

6. Change Agent

Stimulate, facilitate, and coordinate change.

7. Levels of Interventions

Problems can occur at one or more level in the organization so the strategy will require one or more interventions.

OBJECTIVES

- Making individuals in the organization aware of the vision of the organization. Organizational development helps in making employees align with the vision of the organization.
- Encouraging employees to solve problems instead of avoiding them.
- Strengthening inter-personnel trust, cooperation, and communication for the successful achievement of organizational goals.
- Encourage every individual to participate in the process of planning, thus making them feel responsible for the implementation of the plan.
- Creating a work atmosphere in which employees are encouraged to work and participate enthusiastically.
- Replacing formal lines of authority with personal knowledge and skill.
- Creating an environment of trust so that employees willingly accept change.

According to organizational development thinking, organization development provides managers with a vehicle for introducing change systematically by applying a broad selection of management techniques. This, in turn, leads to greater personal, group, and organizational effectiveness.

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QUESTION BANK

TWO MARKS

1. Define organizational culture.
2. What are the sources of organization culture?
3. What are the components of organization culture?
4. What are the functions and characteristics of organizational culture?
4. Define organizational climate.
5. Define job satisfaction.
6. Define organizational change.
7. What are the characteristics of organizational change?
8. Differentiate between stability and change.
9. Differentiate between proactive and reactive change.
10. Define resistance.
11. How to manage change?
12. Define stress.
13. Define WLB.
14. Define OD.
15. What are the characteristics of OD?

16. List out the objectives of OD.
17. Define organizational effectiveness.
18. What are the approaches to measure organizational effectiveness?

ELEVEN MARKS

1. Discuss about the importance of organizational culture.
2. What are the factors affecting organizational climate?
3. Differentiate between organizational climate and culture.
4. What are the determinants of job satisfaction?
5. What are the ways to measure job satisfaction?
6. Discuss about the importance of organizational change.
7. What are the forces of change?
9. Explain Kurt Lewin's change model.
10. What are the reasons for resisting change?
11. List out the work stressors.
12. What are the stress coping strategies at organizational and individual level?
13. Discuss about the importance of WLB.
14. What are the tips for better WLB?
15. What are the different levels of effectiveness and list out the causes at each level?

CASE STUDY

HARDBYTE COMPUTER PERIPHERALS LTD.

Hari Sinha is a Marketing executive with Hardbyte Computer Peripherals Ltd. Hardbyte is a company with 10 years of existence and has a sound product range in computer peripherals. It sells its products at a slightly higher price in the market because of its goodwill for quality. Hari Sinha is one of the best marketing executives of the company and enjoys several company benefits for his excellent performance. Hari's boss Sudhir Pradhan is thoroughly satisfied with his work and likes Hari. Hari on the other hand, likes to sell to institutional buyers rather than small-time domestic customers. Hari also likes to work on challenging customers but not at the cost of wasting too much time on really hard to please ones. He constantly keeps himself focused on the targets to be achieved for the month and tries to reach the maximum. For him, it matters to be ahead in the race of selling and therefore he works very hard and smart. Sudhir has always tried to ensure that Hari is given enough scope to explore the potential customers on his own. He of course, feels a little worried about Hari's attitude towards those marketing executives who sell to small customers. Hari is at times belittling [criticism] in his attitude towards them and even ridicules [laughter / mock] their efforts. However, Sudhir has tried to ignore this because of Hari's performance. Due to the recent slack in the IT industry, Harbyte's business with corporate customers has dipped. Because of this Sudhir has reallocated the targets to all the marketing executives. However, he knows Hari's fetish [craze / fixation] for corporate clients too well. But he also knows that Hari will have to be forced to go to small customers for promoting the product. He is aware of the fact that Hari is a man of strong likes and dislikes and hence he is in a fix. He is also apprehensive [worried / concerned] that if Hari is not given an appropriate assignment then he may even consider leaving his job. Sudhir was fully aware that Hari had no dearth [lack / shortage] of opportunities. Sudhir knows that the dilemma that he is facing is serious and will have to be resolved suitably.

Questions

1. From the above description of Hari's character, what seems to be the key motivator for Hari? According to David McClelland's Needs Theory, what kind of orientation does Hari possess?

2. What should Sudhir do to motivate Hari and retain him in the organization?

SOLUTION

About the company

Name of the company	:	Hardbyte Computer Peripherals Limited
Type of Industry	:	IT Industry

Roles played by

Name and Designation of the roles played	:	1. Hari Sinha, Marketing Executive 2. Sudhir Pradhan, Hari's Boss

About Hari Sinha

- One of the best marketing executive of the company.
- Enjoys several company benefits for his excellent performance.
- His boss, Sudhir Pradhan is thoroughly satisfied with his work and likes him.
- Likes to sell to institutional buyers rather than small - time domestic customers.
- Likes to work on challenging customers.
- Constantly keeps himself focused on the targets to be achieved for the month and tries reach the maximum.
- Works very hard and smart.
- At times, he even ridicules the efforts of other marketing executives.

- He is very fetish for corporate clients.
- If he is not given an appropriate assignment then he may even consider leaving his job.
- Had no lack of opportunities.

Problems faced by Sudhir Pradhan

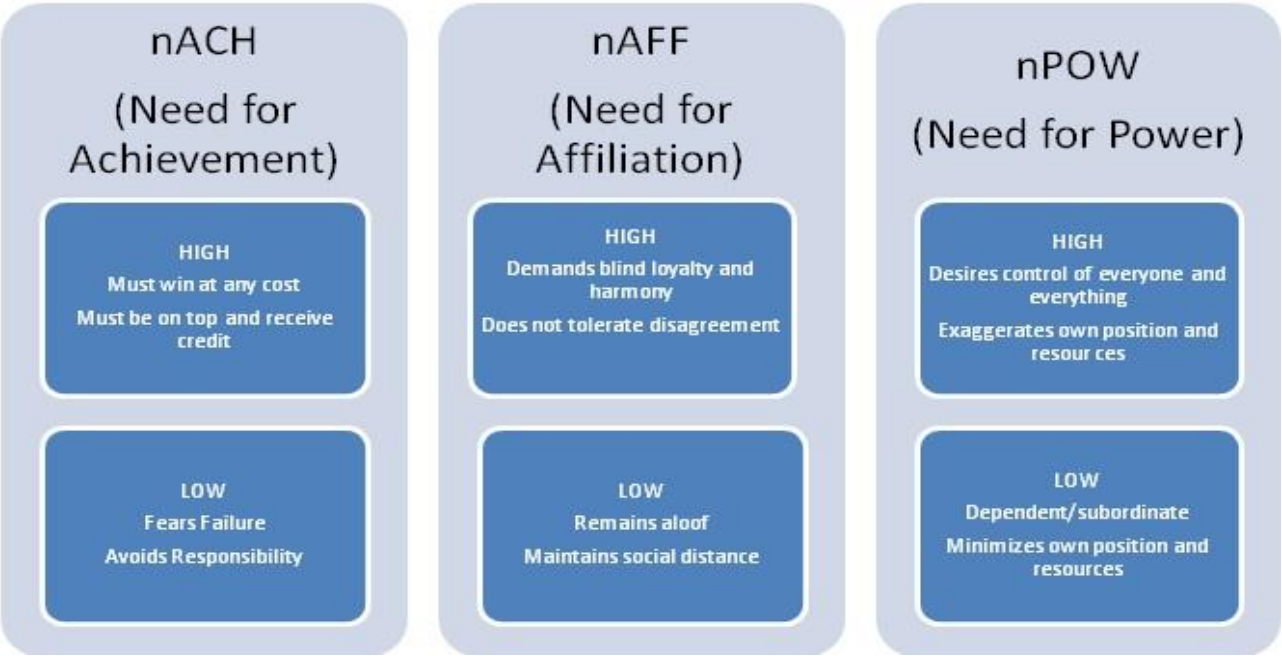
- Company's business with corporate customers has dipped due to recent slack in IT industry.
- Hari Sinha's attitude to be changed towards other marketing executives of the company.
- Wants Hari Sinha to go and meet small - time domestic customer instead of institutional buyers due to recent slack in IT industry.
- At the same, he don't want to leave Hari Sinha as he is one of the best marketing executive of the company.

Answers for questions

1. From the above description of Hari Sinha's character, key motivator for Hari Sinha is competing and challenging work. According to David McClelland's Needs Theory, human behaviour is affected by three needs and they are as follows:

- Need for Power
- Need for Achievement
- Need for Affiliation.

David McClelland's Needs Theory



As per this theory, Hari Sinha's behaviour is affected by **Need for Achievement** and this kind of people look for promotional opportunities in his job and have strong urge for feedback. Such individuals try to get satisfaction in performing things better. High achievement is directly related to high performance. Individuals who are better and above average performers are highly motivated. They assume responsibility for solving the problems at work. McClelland called such individuals as gamblers as they set challenging targets for themselves and they take deliberate risk to achieve those set targets. Such individuals look for innovative ways of performing job. They perceive achievement of goals as a reward, and value it more than a financial reward.

2. Sudhir Pradhan should motivate and retain Hari Sinha by giving him a competing and challenging work environment. He should explain the problem faced by the company due to recent slack in IT industry and give him responsibility for solving the problems at work through innovative ways. Hari Sinha should be always set with challenging targets as he tries to get satisfaction in performing challenging things better because he perceive achievement of goals as a reward, and value it more than a financial reward.